

In the opinion of Quint & Thimmig LLP, Larkspur, California, Bond Counsel, subject to compliance by the District with certain covenants, under present law, interest on the Bonds is excludable from gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the federal alternative minimum tax for individuals. In addition, in the opinion of Bond Counsel, interest on the Bonds is exempt from personal income taxation imposed by the State of California. See “LEGAL MATTERS—Tax Matters” herein.



\$60,000,000
NATOMAS UNIFIED SCHOOL DISTRICT
(SACRAMENTO COUNTY, CALIFORNIA)
GENERAL OBLIGATION BONDS, ELECTION OF 2018, SERIES 2019

DATED: Date of Delivery

DUE: August 1, as shown on the inside cover

The Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2018, Series 2019 in the aggregate principal amount of \$60,000,000 (the “Bonds”) are being issued by the Natomas Unified School District (the “District”) to (i) finance the specific school facilities projects set forth in the ballot measure approved by the District’s voters at an election held on November 6, 2018, and (ii) pay certain costs of issuance of the Bonds. See “PLAN OF FINANCE” herein.

The Bonds are general obligation bonds of the District payable from *ad valorem* property taxes levied and collected by Sacramento County. The Board of Supervisors of Sacramento County is empowered and obligated to annually levy and collect *ad valorem* property taxes without limitation as to rate or amount on all taxable property in the District (except for certain personal property which is taxable at limited rates) for the payment of principal of and interest on the Bonds. See “SECURITY AND SOURCE OF PAYMENT” herein.

The Bonds are being issued as current interest bonds in denominations of \$5,000 principal amount or any integral multiple thereof. The Bonds mature on August 1, in the years and amounts set forth on the inside cover page hereof. Interest on the Bonds accrues from the date of delivery and is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2020. The Bonds are subject to redemption prior to their maturity. See “THE BONDS—Payment of Principal and Interest” and “—Redemption Provisions” herein.

The Bonds are being issued as fully registered bonds, without coupons, in book-entry form only. When delivered, the Bonds will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company (“DTC”), acting as securities depository for the Bonds. Individual purchases of the Bonds will be made in book-entry only form and only in authorized denominations as described in this Official Statement. So long as Cede & Co. is the registered owner of the Bonds, payments of principal of and interest on the Bonds will be made by the Director of Finance of the County of Sacramento as paying agent (the “Paying Agent”) to DTC for subsequent disbursement to DTC participants who will remit such payments to the Beneficial Owners. See “APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM” attached hereto.



The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the Bonds by Assured Guaranty Municipal Corp. See “BOND INSURANCE” herein and “APPENDIX F—SPECIMEN MUNICIPAL BOND INSURANCE POLICY” attached hereto.

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT INTENDED TO BE A SUMMARY OF ALL FACTORS RELEVANT TO AN INVESTMENT IN THE BONDS. INVESTORS SHOULD READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION. CAPITALIZED TERMS USED ON THIS COVER PAGE NOT OTHERWISE DEFINED WILL HAVE THEIR MEANINGS SET FORTH HEREIN.

MATURITY SCHEDULE

See Inside Cover

The Bonds are offered when, as, and if issued by the District and received by the Underwriter, subject to approval as to their legality by Quint & Thimmig LLP, Larkspur, California, Bond Counsel, and subject to certain other conditions. It is anticipated that the Bonds, in book-entry form, will be available for delivery through the facilities of DTC on or about August 1, 2019.

This Official Statement is dated July 17, 2019.

MATURITY SCHEDULE

\$60,000,000
 NATOMAS UNIFIED SCHOOL DISTRICT
 (SACRAMENTO COUNTY, CALIFORNIA)
 GENERAL OBLIGATION BONDS, ELECTION OF 2018, SERIES 2019

SERIAL BONDS

Maturity Date August 1	Principal Amount	Interest Rate	Yield	Price	CUSIP ⁺
2020	\$3,740,000	5.000%	1.020%	103.949%	63877N LC9
2021	4,660,000	5.000	1.040	107.818	63877N LD7
2030	655,000	5.000	1.650 C	122.060	63877N LE5
2031	800,000	5.000	1.810 C	120.884	63877N LF2
2032	910,000	4.000	2.000 C	113.003	63877N LG0
2033	1,080,000	4.000	2.120 C	112.170	63877N LH8
2034	1,185,000	3.000	2.500 C	103.192	63877N LJ4
2035	1,350,000	3.000	2.600 C	102.544	63877N LK1
2036	1,530,000	3.000	2.650 C	102.222	63877N LL9
2037	1,705,000	3.000	2.750 C	101.582	63877N LM7
2038	1,920,000	3.000	2.800 C	101.263	63877N LN5
2039	2,150,000	3.000	2.850 C	100.945	63877N LP0
2040	2,400,000	3.000	2.900 C	100.629	63877N LQ8
2041	2,665,000	3.000	2.950 C	100.314	63877N LR6
2042	2,945,000	3.000	3.000	100.000	63877N LS4
2043	3,245,000	3.000	3.030	99.490	63877N LT2
2044	3,570,000	3.000	3.040	99.303	63877N LU9
2045	3,915,000	3.000	3.050	99.106	63877N LV7
2046	4,280,000	3.000	3.060	98.902	63877N LW5
2047	4,675,000	3.000	3.070	98.691	63877N LX3
2048	5,090,000	3.000	3.080	98.473	63877N LY1
2049	5,530,000	3.000	3.090	98.248	63877N LZ8

C = Yield to call at par on August 1, 2026.

⁺ CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services. Neither the District nor the Underwriter is responsible for the selection or correctness of the CUSIP numbers set forth herein.

Use of Official Statement. This Official Statement is submitted with respect to the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose. This Official Statement is not to be construed as a contract between any owner of Bonds and the District or the Underwriter.

No Securities Laws Registration. The Bonds have not been registered under the Securities Act of 1933, as amended, or the Securities Exchange Act of 1934, as amended, in reliance upon exceptions therein for the issuance and sale of municipal securities. The Bonds have not been registered or qualified under the securities law of any state.

No Unlawful Offers of Solicitations. This Official Statement does not constitute an offer to sell nor the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make an offer, solicitation or sale.

No Offering Except by This Official Statement. No dealer, broker, salesperson or other person has been authorized by the District or the Underwriter to give any information or to make any representations, other than those contained herein, and if given or made, such other information or representations must not be relied upon as having been authorized by the District or the Underwriter.

Information in Official Statement. The information set forth herein has been furnished by the District and other sources that are believed to be reliable, but is not guaranteed as to accuracy or completeness. The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof.

Website. The District maintains a website; however, the information presented there is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the Bonds.

Estimates and Projections. Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995, Section 21E of the Securities Exchange Act of 1934, as amended, and Section 27A of the Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “project,” “budget” or similar words. The achievement of certain results or other expectations contained in such forward-looking statements involves known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The District does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based change.

Statement of Underwriter. The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities under federal securities laws, as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

Stabilization of and Changes to Offering Prices. In connection with the offering, the Underwriter may over-allot or effect transactions that stabilize or maintain the market price of the Bonds offered hereby at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time. The Underwriter may offer and sell the Bonds to certain dealers, institutional investors, banks or others at prices lower or higher than the public offering prices stated on the inside cover page hereof, and such public offering prices may be changed from time to time by the Underwriter.

Bond Insurance. Assured Guaranty Municipal Corp. (“AGM”) makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading “BOND INSURANCE” herein and “APPENDIX F—SPECIMEN MUNICIPAL BOND INSURANCE POLICY” attached hereto.

\$60,000,000
NATOMAS UNIFIED SCHOOL DISTRICT
(SACRAMENTO COUNTY, CALIFORNIA)
GENERAL OBLIGATION BONDS, ELECTION OF 2018, SERIES 2019

DISTRICT BOARD OF TRUSTEES

Susan Heredia, President
Lisa Kaplan, Vice President
Jag Bains, Clerk
Scott Dosick, Member
Micah Grant, Member

DISTRICT ADMINISTRATION

Chris Evans, Superintendent
Javetta Cleveland, Deputy Superintendent, Business and Operations
William C. Young, Deputy Superintendent, Student Support
Doug Orr, Associate Superintendent, School Leadership and Support
Angela Herrera, Associate Superintendent, Human Resources / Labor

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(916) 567-5400

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BOND COUNSEL

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(415) 925-4200

PAYING AGENT

Director of Finance of the County of Sacramento
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Sacramento, California 95814
(916) 874-6744

\$60,000,000
NATOMAS UNIFIED SCHOOL DISTRICT
(SACRAMENTO COUNTY, CALIFORNIA)
GENERAL OBLIGATION BONDS, ELECTION OF 2018, SERIES 2019

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\$60,000,000
NATOMAS UNIFIED SCHOOL DISTRICT
(SACRAMENTO COUNTY, CALIFORNIA)
GENERAL OBLIGATION BONDS, ELECTION OF 2018, SERIES 2019

OFFICIAL STATEMENT

INTRODUCTORY STATEMENT

General

The purpose of this Official Statement, which includes the cover page, inside cover page, table of contents and attached appendices (the “Official Statement”), is to provide certain information concerning the sale and delivery of the Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2018, Series 2019 in the aggregate principal amount of \$60,000,000 (the “Bonds”).

This INTRODUCTORY STATEMENT is not a summary of this Official Statement—it is only a brief description of and guide to this Official Statement. This INTRODUCTORY STATEMENT is qualified by more complete and detailed information contained in this entire Official Statement. A full review of this entire Official Statement should be made by a person interested in investing in the Bonds. The offering of the Bonds to potential investors is made only by means of this entire Official Statement.

The District

Natomas Unified School District (the “District”), a political subdivision of the State of California (the “State”) originally established in 1950 and unified in 1992, is located in the northern central portion of the State approximately four miles north of the downtown area of the City of Sacramento (the “City”), the State capital. The District serves a population of approximately 76,100 people residing in an approximately 38 square mile area in the northwestern portion of Sacramento County (the “County”).

The District operates four K-5 schools, five K-8 schools, one middle school, two high schools and one continuation high school serving approximately 10,250 students as well as additional students in a charter school, preschool programs and adult education. A five-member Board of Trustees (the “District Board”) governs the District. See “THE DISTRICT” and “DISTRICT FINANCIAL INFORMATION” herein.

Purpose of Issue

The Bonds are being issued by the District to (i) finance the specific school facilities projects set forth in the ballot measure approved by the District’s voters at an election held on November 6, 2018, and (ii) pay costs of issuance of the Bonds. See “THE BONDS—Authority for Issuance” herein.

Authority for Issuance

The Bonds are being issued by the District under and pursuant to the California Constitution (the “State Constitution”), Article 4.5 (commencing with Section 53506) of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (the “Government Code”) and certain provisions of the California Education Code (the “Education Code”), and a resolution adopted by the District Board on June 19, 2019 (the “Resolution”). The Bonds were authorized at an election of the registered voters of the District held on November 6, 2018. See “THE BONDS—Authority for Issuance” herein.

Pursuant to the Education Code, the District may not issue bonds in excess of 2.5 percent of the assessed valuation of taxable property within its boundaries unless a waiver from such requirement is obtained from the State of California Board of Education (the “State Board of Education”). On May 8, 2019, the State Board of Education adopted a resolution approving the District’s request to increase its bond issuance limit from 2.5 percent of the assessed valuation of taxable property within its boundaries to 3.0 percent through July 15, 2021 (the “Bonding Capacity Waiver”). The District’s gross bonding capacity after consideration of the Bonding Capacity Waiver is approximately \$309.9 million. Upon issuance of the Bonds, the District will have approximately \$20.6 million of remaining bonding capacity.

Description of the Bonds

The Bonds are being issued in fully registered form, without coupons, in book-entry form only. When delivered, the Bonds will be initially registered in the name of Cede & Co. as nominee of The Depository Trust Company (“DTC”). So long as Cede & Co. is the registered owner of the Bonds, payments of principal of and interest on the Bonds will be made by the Director of Finance of the County of Sacramento as paying agent (the “County Director of Finance” or “Paying Agent”) to DTC for subsequent disbursement to DTC participants who will remit such payments to the beneficial owners of the Bonds (the “Beneficial Owners”). See “APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM” attached hereto.

The Bonds are being issued as current interest bonds in denominations of \$5,000 principal amount or any integral multiple thereof. The Bonds are dated their date of delivery and mature on August 1 in each of the years and in the amounts set forth on the inside cover page hereof. Interest on the Bonds is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2020. Interest on the Bonds is computed on the basis of a 360-day year comprised of 12 months of 30 days each. See “THE BONDS—Payment of Principal and Interest” herein.

The Bonds are subject to redemption prior to maturity. See “THE BONDS—Redemption Provisions” herein.

Source of Payment for the Bonds

The Bonds are general obligation bonds of the District payable from *ad valorem* property taxes, levied pursuant to the provisions of the State Constitution and other State law, which the Board of Supervisors of Sacramento County (the “County Board”) is empowered and obligated to annually levy and collect, without limitation as to rate or amount, on all taxable property in the District (except for certain personal property which is taxable at limited rates) for the payment of principal of and interest on the Bonds, and from amounts on deposit in the Tax Collection Fund (as defined herein). See “SECURITY AND SOURCE OF PAYMENT” herein.

Bond Insurance

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy (the “Bond Insurance Policy”) to be issued concurrently with the delivery of the Bonds by Assured Guaranty Municipal Corp. (“AGM”). See “BOND INSURANCE” herein and “APPENDIX F—SPECIMEN MUNICIPAL BOND INSURANCE POLICY” attached hereto.

Tax Matters

In the opinion of Quint & Thimmig LLP, Larkspur, California, Bond Counsel, subject to compliance by the District with certain covenants, under present law, interest on the Bonds is excludable from gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the federal alternative minimum tax for individuals. In addition, in the opinion of Bond Counsel, interest on the Bonds is exempt from personal income taxation imposed by the State of California. See “LEGAL MATTERS—Tax Matters” herein. A complete copy of the proposed opinion of Bond Counsel is included with this Official Statement. See “APPENDIX C—FORM OF OPINION OF BOND COUNSEL” attached hereto.

Continuing Disclosure

The District will covenant for the benefit of the Registered Owners (as defined herein) and Beneficial Owners to make available annually certain financial information and operating data relating to the District and to provide notices of the occurrence of certain enumerated events in compliance with Securities and Exchange Commission (the “SEC”) Rule 15c2-12(b)(5). The specific nature of the information to be made available annually and the enumerated events for which notice will be given are set forth in “APPENDIX B—FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto. See also “CONTINUING DISCLOSURE” herein.

Professionals Involved

Government Financial Strategies inc., Sacramento, California, has acted as municipal advisor (the “Municipal Advisor”) to the District with respect to the sale and delivery of the Bonds. See “MUNICIPAL ADVISOR” herein. Certain proceedings in connection with the sale and delivery of the Bonds are subject to the approving legal opinion of Quint & Thimmig LLP, Larkspur, California, as Bond Counsel to the District. The County Director of Finance will act as paying agent with respect to the Bonds. Quint & Thimmig LLP and the County Director of Finance will receive compensation contingent upon the sale and delivery of the Bonds.

Events Subsequent to the Preliminary Official Statement

This Official Statement contains updated information regarding the fiscal year 2019-20 State budget which became available after the release of the Preliminary Official Statement. See “FUNDING OF PUBLIC EDUCATION IN THE STATE—The 2019-20 State Budget” herein.

Other Information

This Official Statement may be considered current only as of its date that has been made a part of the cover page hereof, and the information contained herein is subject to change. A description of the Bonds and the District, together with summaries of certain provisions of the Resolution and other legal documents related to the Bonds (collectively, the “Legal Documents”) are included in this Official Statement. Such summaries do not purport to be comprehensive or definitive, and all references made herein to the Legal Documents approved by the District are qualified in their entirety by reference to such document, and all references made herein to the Bonds are qualified in their entirety by reference to the form thereof included in the Legal Documents.

Interested parties may obtain copies of the Legal Documents, audited financial statements, annual budgets, or other information which is generally made available to the public by contacting Natomas Unified School District, 1901 Arena Boulevard, Sacramento, California 95834, telephone (916) 567-5400, Attention: Deputy Superintendent, Business and Operations, or by contacting the Municipal Advisor, Government Financial Strategies inc., 1228 N Street, Suite 13, Sacramento, California 95814-5609, telephone (916) 444-5100.

THE BONDS

Purpose of Issue

The Bonds are being issued by the District to (i) finance the specific school facilities projects set forth in the ballot measure approved by the District’s voters at an election held on November 6, 2018, and (ii) pay certain costs of issuance of the Bonds. See “—Authority for Issuance” and “PLAN OF FINANCE” herein.

Authority for Issuance

The Bonds are being issued by the District under and pursuant to the provisions of Article XIII A, Section 1 and Article XVI, Section 18 of the State Constitution, the provisions of Government Code Section 53506 *et seq.*, and all laws amendatory to or

supplemental thereof, certain provisions of Education Code Section 15100 *et seq.*, and all laws amendatory to or supplemental thereof, and pursuant to the provisions of the Resolution. The District may incur bonded indebtedness upon the vote of 55 percent or more of the qualified electors of the District voting on the proposition pursuant to Article XIII A, subject to the debt limitations set forth in Article XVI of the State Constitution and the Education Code.

Pursuant to provisions of State law, the District Board adopted a resolution calling for an election to authorize the issuance of \$172.0 million in aggregate principal amount of general obligation bonds for authorized school purposes. On November 6, 2018, at an election duly held pursuant to State law (the “2018 Election”), more than 55 percent of the votes received from qualified voters within the boundaries of the District approved “Measure L” as follows:

To enhance quality education in Natomas, increasing student safety/security, upgrading classrooms for 21st century learning and college/career readiness with technology/equipment, upgrading aging infrastructure/utilities and repairing/constructing facilities, shall Natomas Unified School District issues \$172,000,000 of bonds with an estimated \$11,000,000 in taxes raised annually on average for 32 years at maximum projected tax rates of 6¢ per \$100 of assessed valuation with citizen oversight, annual audits and no money for administrator’s salaries/pensions?”

The Sacramento County Registrar of Voters certified the results of the election as follows:

**General Obligation Bond Election of 2018
Natomas Unified School District**

<u>Yes Votes</u>	<u>No Votes</u>
16,545 (68.15%)	7,733 (31.85%)

Source: Sacramento County Registrar of Voters.

The Bonds represent the first series of bonds to be issued by the District under the authorization of the 2018 Election. Upon the issuance of the Bonds, the District will have \$112.0 million of authorization remaining under the 2018 Election. See “DISTRICT FINANCIAL INFORMATION—Long-Term Borrowings” herein.

Form and Initial Registration

The Bonds are being issued as fully registered bonds, without coupons, in book-entry form only. Pursuant to the Resolution, the Paying Agent will keep and maintain, for and on behalf of the District, registration books (the “Bond Register”) for recording the owners of the Bonds (the “Registered Owners”), the transfer and exchange of the Bonds, and the payment of the principal of and interest on the Bonds to the Registered Owners. All transfers and exchanges of the Bonds will be noted in the Bond Register.

The person in whose name a Bond is registered on the Bond Register will be regarded as the absolute owner of that Bond for all purposes of the Resolution. Payment of or on account of the principal of and interest on any Bond will be made only to or upon the order of that person; neither the District nor the Paying Agent will be affected by any notice to the contrary, but the registration may be changed as provided in the Resolution. The Bond Register will at all times be open to inspection during normal business hours.

The Bonds will be initially executed and delivered as one fully registered bond for each maturity, without coupons, in the name of Cede & Co., as nominee of DTC, or its registered assign, acting as securities depository for the Bonds. Purchases of Bonds under the DTC book-entry system must be made by or through a DTC participant in the principal amount of \$5,000 or integral multiples thereof for each maturity, and ownership interests in Bonds will be recorded as entries on the books of said participants. So long as Cede & Co., or its registered assign, is the registered owner of the Bonds, payments of principal of and interest on the Bonds will be made by the Paying Agent to DTC for subsequent disbursement to Beneficial Owners by or through a DTC participant. Except in the event that use of this book-entry system is discontinued for the Bonds, Beneficial Owners will not receive physical certificates representing their ownership interests in the Bonds. See “APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM” attached hereto.

So long as the Bonds are registered in the name of Cede & Co., or its registered assigns, as nominee for DTC, references in this Official Statement to the Registered Owners mean Cede & Co., or its registered assigns, and do not mean the purchasers or Beneficial Owners of the Bonds.

Payment of Principal and Interest

The Bonds are dated their date of delivery and mature on August 1 in each of the years and in the amounts set forth on the inside cover page hereof. The Bonds are issued in denominations of \$5,000 principal amount, or any integral multiple thereof. Interest on the Bonds is payable semiannually on February 1 and August 1 of each year (each, an “Interest Payment Date”), commencing February 1, 2020, at the annual interest rates shown on the inside cover page hereof. Interest on the Bonds is computed from their dated date on the basis of a 360-day year comprised of twelve 30-day months.

Each Bond bears interest from the Interest Payment Date next preceding the date of registration and authentication thereof, unless (i) it is registered and authenticated as of an Interest Payment Date, in which event it bears interest from such date, or (ii) it is registered and authenticated prior to an Interest Payment Date and after the close of business on the fifteenth day of the month preceding such Interest Payment Date (the “Record Date”), in which event it bears interest from such Interest Payment Date, or (iii) it is registered and authenticated prior to January 15, 2020, in which event it bears interest from its date of delivery, provided, however, that if at the time of authentication of a Bond, interest is in default thereon, such Bond bears interest from the Interest Payment Date to which interest has previously been paid or made available for payment thereon.

The principal of and interest on the Bonds is payable in lawful money of the United States of America by wire transfer on each payment date to Cede & Co., so long as Cede & Co. is the sole Registered Owner. In the event the book-entry system is no longer in use, principal will be payable to the Registered Owner upon surrender thereof at maturity or earlier redemption at the principal office of the Paying Agent, and interest is payable by check of the Paying Agent mailed via first-class mail to the Registered Owner thereof at such Registered Owner’s address as it appears on the Bond Register on each Record Date, or at such other address as the Registered Owner may have filed with the Paying Agent for that purpose; provided however, that payment of interest may be by wire transfer in immediately available funds to an account in the United States of America to any Registered Owner of Bonds in the aggregate principal amount of \$1,000,000 or more who furnishes written wire instructions to the Paying Agent at least five days before the applicable Record Date.

Redemption Provisions

Optional Redemption. The Bonds maturing on or before August 1, 2026 are not subject to redemption prior to their respective maturity dates. The Bonds maturing on or after August 1, 2027, are subject to redemption prior to their respective stated maturities, at the option of the District, from any source of available funds, as a whole or in part on any date on or after August 1, 2026, at a redemption price equal to the principal amount of the Bonds called for redemption, plus accrued interest to the date fixed for redemption, without premium.

Selection of Bonds for Redemption. Whenever provision is made for the optional redemption of Bonds of more than one maturity, the Bonds to be redeemed will be selected by the District evidenced by a written request of the District filed with the Paying Agent or, absent such selection by the District, on a *pro rata* basis among the maturities subject to redemption; and in each case, the Paying Agent will select the Bonds to be redeemed within any maturity by lot in any manner which the Paying Agent in its sole discretion deems appropriate and fair. For purposes of such selection, all Bonds will be deemed to be comprised of separate \$5,000 portions and such portions will be treated as separate Bonds, which may be separately redeemed.

Partial Redemption of Bonds. In the event only a portion of any Bond is called for redemption, then upon surrender of such Bond, the District will execute and the Paying Agent will authenticate and deliver to the Registered Owner thereof, at the expense of the District, a new Bond or Bonds of the same maturity date, of authorized denominations in aggregate principal amount equal to the unredeemed portion of the Bond to be redeemed. Bonds need not be presented for mandatory sinking fund redemptions.

Notice of Redemption. The Paying Agent shall, on behalf and at the expense of the District, mail, by first class mail at least 30 but not more than 60 days prior to the redemption date, notice of any redemption to (i) the respective Registered Owners of any Bonds designated for redemption at their respective addresses appearing on the Bond Register, and (ii) DTC or a

replacement municipal registered securities depository and the Electronic Municipal Market Access system (“EMMA”) operated by the Municipal Securities Rulemaking Board (the “MSRB”) or a replacement national information service. Neither failure to receive such notice nor any defect in any notice so mailed will affect the sufficiency of the proceedings for the redemption of such Bonds nor the cessation of the accrual of interest thereon. Such notice will state the date of the notice, the redemption date, the redemption place and the redemption price and will designate the CUSIP numbers, the Bond numbers and the maturity or maturities (in the event of redemption of all of the Bonds of such maturity or maturities in whole) of the Bonds to be redeemed, and will require that such Bonds be surrendered at the principal office of the Paying Agent for redemption at the redemption price, giving notice also that further interest on such Bonds will not accrue from and after the redemption date.

Notwithstanding the foregoing, in the case of any optional redemption of the Bonds, the notice of redemption will state that the redemption is conditioned upon receipt by the Paying Agent of sufficient moneys to redeem the Bonds on the scheduled redemption date, and that the optional redemption will not occur if, by no later than the scheduled redemption date, sufficient moneys to redeem the Bonds have not been deposited with the Paying Agent. In the event that the Paying Agent does not receive sufficient funds by the scheduled optional redemption date to so redeem the Bonds to be optionally redeemed, the Paying Agent will send written notice to the Registered Owners, to DTC or a replacement municipal registered securities depository and to one or more national information services that disseminate securities redemption notices to the effect that the redemption did not occur as anticipated, and the Bonds for which notice of optional redemption was given shall remain outstanding for all purposes.

Effect of Redemption. From and after the date fixed for redemption, if funds available for the payment of the principal of and interest, and premium, if any, on the Bonds so called for redemption shall have been duly provided, such Bonds so called shall cease to be entitled to any benefit under the Resolution other than the right to receive payment of the redemption price, and no interest shall accrue thereon from and after the redemption date specified in such notice.

Transfer and Exchange

If the book-entry system as described herein is no longer used with respect to the Bonds, the provisions in the Resolution summarized below will govern the transfer and exchange of the Bonds. See “APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM” attached hereto.

Any Bond may be transferred upon the Bond Register by the person in whose name it is registered, in person or by his or her duly authorized attorney, upon surrender of such Bond for cancellation at the principal office of the Paying Agent, accompanied by delivery of a written instrument of transfer in a form approved by the Paying Agent, duly executed. Whenever any Bond or Bonds is surrendered for transfer, the District will execute and the Paying Agent will authenticate and deliver a new Bond or Bonds, for like aggregate principal amount. Bonds may be exchanged at the principal office of the Paying Agent for a like aggregate principal amount of Bonds of authorized denominations and of the same series and maturity.

All fees and costs of any transfer or exchange of Bonds shall be paid by the Registered Owner requesting such transfer or exchange. The Paying Agent is not required to transfer or exchange any Bonds (i) 15 days prior to the date established by the Paying Agent for selection of Bonds for redemption or (ii) with respect to a Bond after such Bond has been selected for redemption.

Defeasance

Discharge of Resolution. Bonds may be paid by the District in any one or more of the following ways, provided that the District also pays or causes to be paid any other sums payable under the Resolution by the District: (i) by paying or causing to be paid the principal of and interest on such Bonds, as and when the same become due and payable; (ii) by depositing with an escrow agent, in trust, at or before maturity, money or securities in the necessary amount, including investment earnings thereon, to pay or redeem such Bonds; or (iii) by delivering to the Paying Agent, for cancellation by it, such Bonds.

If the District pays all Bonds as described above, then, at the election of the District, and notwithstanding that any Bonds may not have been surrendered for payment, the Resolution and all covenants, agreements and other obligations of the District under such Resolution will cease, terminate, become void and be completely discharged and satisfied, except only as provided in such Resolution.

Discharge of Liability on Bonds. Upon the deposit in trust, at or before maturity, of money or securities in the necessary amount to pay or redeem any outstanding Bond, provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption will have been given, then all liability of the District in respect of such Bond will cease and be completely discharged, except that thereafter the Registered Owner thereof will be entitled to payment of the principal of and interest on or redemption price of such Bond, but only out of such money or securities deposited in trust.

Deposit of Moneys or Securities with Paying Agent. Whenever in the Resolution it is provided or permitted that there be deposited with or held in trust with an escrow holder money or securities in the necessary amount to pay or redeem any Bonds, the money or securities so to be deposited or held may include money or securities held by the Paying Agent in the funds and accounts established pursuant to the Resolution and shall be: (i) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the Resolution or provision satisfactory to the Paying Agent will have been made for the giving of such notice, the amount to be deposited or held will be the principal amount or redemption price of such Bonds and all unpaid interest thereon to the redemption date; or (ii) federal securities (not callable by the issuer thereof prior to maturity), the principal of and interest on which when due, in the opinion of a certified public accountant delivered to the District, will provide money sufficient to pay the principal or redemption price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or redemption price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption will have been given as provided in the Resolution or provision satisfactory to the Paying Agent shall have been made for the giving of such notice; provided, in each case, that the Paying Agent shall have been irrevocably instructed (by the terms of the Resolution or by request of the District) to apply such money to the payment of such principal or redemption price and interest with respect to such Bonds.

Payment of Bonds After Discharge of Resolution. Notwithstanding any provisions of the Resolution, any moneys held by an escrow holder in trust for the payment of the principal or redemption price of, or interest on, any Bonds and remaining unclaimed for one year after the principal of all of the Bonds has become due and payable (whether at maturity or upon call for redemption or by acceleration as provided in the Resolution), if such moneys were so held at such date, or one year after the date of deposit of such moneys if deposited after said date when all of the Bonds became due and payable, shall, upon request of the District, be repaid to the District free from the trusts created by the Resolution, and all liability of the escrow holder with respect to such moneys shall thereupon cease; provided, however, that before the repayment of such moneys to the District as aforesaid, the Paying Agent may (at the cost of the District) first mail to the Registered Owners of all Bonds which have not been paid at the addresses shown on the Bond Register a notice in such form as may be deemed appropriate by the Paying Agent, with respect to the Bonds so payable and not presented and with respect to the provisions relating to the repayment to the District of the moneys held for the payment thereof.

PLAN OF FINANCE

Application and Investment of Bond Proceeds

A portion of the proceeds of the sale of the Bonds, exclusive of any premium, will be transferred to the County Director of Finance for deposit in the Natomas Unified School District, General Obligation Bonds, Election of 2018, Series 2019 Building Fund (the "Building Fund") to be created and established in the Sacramento County treasury (the "County Treasury") in accordance with Education Code Section 15146(g). Moneys deposited in the Building Fund will be used solely for the purpose for which the Bonds are authorized. Interest earned on moneys held in the Building Fund will be retained in the Building Fund and used for the purposes thereof. Any proceeds of the sale of the Bonds deposited in the Building Fund not needed for the purposes of the Bonds will be transferred to the Natomas Unified School District, General Obligation Bonds Tax Collection Fund (the "Tax Collection Fund") maintained by the County Director of Finance in the County Treasury pursuant to Education Code Section 15251 to be applied to the payment of principal of and interest on general obligations bonds of the District including the Bonds.

A portion of the proceeds of the sale of the Bonds, exclusive of any premium, will be transferred to Zions Bancorporation, N.A. (the "Costs of Issuance Custodian") for deposit into the Natomas Unified School District, General Obligation Bonds, Election of 2018, Series 2019 Costs of Issuance Fund (the "Costs of Issuance Fund") to pay costs associated with the issuance of the Bonds. Moneys deposited in the Costs of Issuance Fund will be used solely for the payment of costs of issuance of the

Bonds and will be held as cash, uninvested. Any proceeds of the sale of the Bonds deposited in the Costs of Issuance Fund not needed to pay costs of issuance of the Bonds will be transferred by the Costs of Issuance Custodian to the County Director of Finance for deposit in the Building Fund.

The premium, if any, received by the District from the sale of the Bonds will be transferred to the County Director of Finance for deposit in the Tax Collection Fund.

Permitted Investments

Under State law, the District is generally required to pay all moneys received from any source into the County Treasury to be held on behalf of the District. All funds held by the County Director of Finance in the Building Fund and the Tax Collection Fund are expected to be invested at the sole discretion of the County Director of Finance, on behalf of the District, in such investments as are authorized by Government Code Sections 16429.1, 53601 and 53635 and following, and by the Sacramento County Annual Investment Policy (the “County Investment Policy”), as either may be amended or supplemented from time to time. See “SACRAMENTO COUNTY POOLED INVESTMENT FUND” herein and “APPENDIX D—SACRAMENTO COUNTY ANNUAL INVESTMENT POLICY” attached hereto for a description of the permitted investments under the County Investment Policy.

Sources and Uses of Funds

The sources and uses of funds in connection with the sale and delivery of the Bonds are set forth in the following table.

**Sources and Uses of Funds
General Obligation Bonds, Election of 2018, Series 2019**

SOURCES OF FUNDS	
Par Amount of Bonds	\$60,000,000.00
Net Original Issue Premium	<u>915,277.25</u>
TOTAL SOURCES OF FUNDS	<u>\$60,915,277.25</u>
USES OF FUNDS	
Building Fund	\$59,820,000.00
Tax Collection Fund	66,550.05
Costs of Issuance Fund ¹	180,000.00
Underwriter’s Discount	<u>848,727.20</u>
TOTAL USES OF FUNDS	<u>\$60,915,277.25</u>

¹The Costs of Issuance Fund will be used to pay costs of issuance of the Bonds including fees and expenses of Bond Counsel, the Municipal Advisor, the Paying Agent, the rating agencies and certain other expenses related to the issuance of the Bonds.

Debt Service Schedules

Scheduled debt service on the Bonds (assuming no optional redemption) is shown in the table on the following page.

Debt Service Schedule
General Obligation Bonds, Election of 2018, Series 2019

<u>Date</u>	<u>Principal</u>	<u>Interest</u>	<u>Semiannual Debt Service</u>
February 1, 2020	-	\$1,008,500.00	\$1,008,500.00
August 1, 2020	\$3,740,000.00	1,008,500.00	4,748,500.00
February 1, 2021	-	915,000.00	915,000.00
August 1, 2021	4,660,000.00	915,000.00	5,575,000.00
February 1, 2022	-	798,500.00	798,500.00
August 1, 2022	-	798,500.00	798,500.00
February 1, 2023	-	798,500.00	798,500.00
August 1, 2023	-	798,500.00	798,500.00
February 1, 2024	-	798,500.00	798,500.00
August 1, 2024	-	798,500.00	798,500.00
February 1, 2025	-	798,500.00	798,500.00
August 1, 2025	-	798,500.00	798,500.00
February 1, 2026	-	798,500.00	798,500.00
August 1, 2026	-	798,500.00	798,500.00
February 1, 2027	-	798,500.00	798,500.00
August 1, 2027	-	798,500.00	798,500.00
February 1, 2028	-	798,500.00	798,500.00
August 1, 2028	-	798,500.00	798,500.00
February 1, 2029	-	798,500.00	798,500.00
August 1, 2029	-	798,500.00	798,500.00
February 1, 2030	-	798,500.00	798,500.00
August 1, 2030	655,000.00	798,500.00	1,453,500.00
February 1, 2031	-	782,125.00	782,125.00
August 1, 2031	800,000.00	782,125.00	1,582,125.00
February 1, 2032	-	762,125.00	762,125.00
August 1, 2032	910,000.00	762,125.00	1,672,125.00
February 1, 2033	-	743,925.00	743,925.00
August 1, 2033	1,080,000.00	743,925.00	1,823,925.00
February 1, 2034	-	722,325.00	722,325.00
August 1, 2034	1,185,000.00	722,325.00	1,907,325.00
February 1, 2035	-	704,550.00	704,550.00
August 1, 2035	1,350,000.00	704,550.00	2,054,550.00
February 1, 2036	-	684,300.00	684,300.00
August 1, 2036	1,530,000.00	684,300.00	2,214,300.00
February 1, 2037	-	661,350.00	661,350.00
August 1, 2037	1,705,000.00	661,350.00	2,366,350.00
February 1, 2038	-	635,775.00	635,775.00
August 1, 2038	1,920,000.00	635,775.00	2,555,775.00
February 1, 2039	-	606,975.00	606,975.00
August 1, 2039	2,150,000.00	606,975.00	2,756,975.00
February 1, 2040	-	574,725.00	574,725.00
August 1, 2040	2,400,000.00	574,725.00	2,974,725.00
February 1, 2041	-	538,725.00	538,725.00
August 1, 2041	2,665,000.00	538,725.00	3,203,725.00
February 1, 2042	-	498,750.00	498,750.00
August 1, 2042	2,945,000.00	498,750.00	3,443,750.00
February 1, 2043	-	454,575.00	454,575.00
August 1, 2043	3,245,000.00	454,575.00	3,699,575.00
February 1, 2044	-	405,900.00	405,900.00
August 1, 2044	3,570,000.00	405,900.00	3,975,900.00
February 1, 2045	-	352,350.00	352,350.00
August 1, 2045	3,915,000.00	352,350.00	4,267,350.00
February 1, 2046	-	293,625.00	293,625.00
August 1, 2046	4,280,000.00	293,625.00	4,573,625.00
February 1, 2047	-	229,425.00	229,425.00
August 1, 2047	4,675,000.00	229,425.00	4,904,425.00
February 1, 2048	-	159,300.00	159,300.00
August 1, 2048	5,090,000.00	159,300.00	5,249,300.00
February 1, 2049	-	82,950.00	82,950.00
August 1, 2049	<u>5,530,000.00</u>	<u>82,950.00</u>	<u>5,612,950.00</u>
Total	\$60,000,000.00	\$38,007,550.00	\$98,007,550.00

Upon issuance of the Bonds, scheduled debt service on the District's outstanding general obligation bond debt (assuming no optional redemption) is shown in the following table. See "DISTRICT FINANCIAL INFORMATION—Long-Term Borrowings" for more information on the District's outstanding bonded debt.

Outstanding General Obligation Bond Debt Service
Natomas Unified School District

Year Ended June 30	Outstanding General Obligation Bonds	General Obligation Bonds Election of 2018, Series 2019	Total General Obligation Bond Debt Service
2020	\$19,513,203	\$1,008,500	\$20,521,703
2021	18,984,409	5,663,500	24,647,909
2022	18,850,188	6,373,500	25,223,688
2023	19,212,931	1,597,000	20,809,931
2024	19,713,756	1,597,000	21,310,756
2025	20,699,406	1,597,000	22,296,406
2026	21,763,206	1,597,000	23,360,206
2027	22,848,956	1,597,000	24,445,956
2028	23,772,981	1,597,000	25,369,981
2029	24,649,731	1,597,000	26,246,731
2030	21,286,022	1,597,000	22,883,022
2031	15,816,025	2,235,625	18,051,650
2032	12,876,263	2,344,250	15,220,513
2033	21,602,388	2,416,050	24,018,438
2034	7,809,588	2,546,250	10,355,838
2035	8,207,663	2,611,875	10,819,538
2036	8,500,381	2,738,850	11,239,231
2037	8,695,700	2,875,650	11,571,350
2038	9,066,900	3,002,125	12,069,025
2039	9,456,200	3,162,750	12,618,950
2040	9,866,700	3,331,700	13,198,400
2041	10,262,100	3,513,450	13,775,550
2042	7,304,900	3,702,475	11,007,375
2043	7,716,300	3,898,325	11,614,625
2044	--	4,105,475	4,105,475
2045	--	4,328,250	4,328,250
2046	--	4,560,975	4,560,975
2047	--	4,803,050	4,803,050
2048	--	5,063,725	5,063,725
2049	--	5,332,250	5,332,250
2050	--	5,612,950	5,612,950

SECURITY AND SOURCE OF PAYMENT

Introduction

The Bonds are general obligation bonds of the District payable from *ad valorem* property taxes levied and collected by the County solely for the payment of principal of and interest on the Bonds and from amounts on deposit in the Tax Collection Fund. The County Board is empowered and obligated to levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates) in order to provide sufficient funds for repayment of principal of and interest on the Bonds when due. Although the County is obligated to levy and collect the *ad valorem* tax for the payment of the Bonds, the Bonds are not a debt of the County.

The proceeds of such *ad valorem* tax, when collected, will be deposited into the Tax Collection Fund pursuant to Education Code Section 15251, which *ad valorem* taxes, together with the amounts on deposit in the Tax Collection Fund, are irrevocably pledged for the payment of principal of and interest on the Bonds when and as the same fall due, and such pledge constitutes a lien on and security interest in such *ad valorem* taxes and amounts in the Tax Collection Fund. The County will take all actions necessary to levy such *ad valorem* tax in accordance with Education Code Section 15250 *et seq.*, and cause the proceeds from such levy to be deposited into the Tax Collection Fund to pay the principal of and interest on the Bonds when due. Interest earned on moneys held in the Tax Collection Fund shall be retained in the Tax Collection Fund and used for the purposes thereof. Any moneys remaining in the Tax Collection Fund after the principal of and interest on the Bonds have been paid shall be used to pay other general obligation bonds of the District or, if there are no other general obligation bonds of the District outstanding, shall be transferred to the general fund of the District (the “General Fund”) pursuant to Education Code Section 15234.

Various officers of the County are responsible for the performance of each function in the property taxation system within the County. Property tax revenues result from the application of the appropriate tax rate to the total net assessed value of taxable property in the District. All property, including real, personal and intangible property, is taxable, unless granted an exemption by the State Constitution or United States law. Under the State Constitution, exempt classes of property include household and personal effects, intangible personal property (such as bank accounts, stocks and bonds), business inventories, and property used for religious, hospital, scientific and charitable purposes. The California Legislature (the “State Legislature”) may create additional exemptions for personal property, but not for real property. Taxes on property located in a school district with boundaries extending into more than one county are administered separately by each county in which the property is located (the District is located only in the County).

Taxes on real property located within the District are assessed and collected by the County in the same manner, at the same time, and in the same installments as other *ad valorem* taxes on real property located in the County. In addition to general obligation bonds issued by the District, other entities with jurisdiction in or overlapping with the District may issue debt payable from *ad valorem* taxes also levied on parcels in the District. Such taxes have the same priority, become delinquent at the same times and in the same proportionate amounts, and bear the same proportionate penalties and interest after delinquency, as *ad valorem* taxes levied for the payment of the Bonds and other general obligation bonds of the District.

In no event is the District obligated to pay principal of and interest and redemption premium, if any, on the Bonds from any source of funds other than *ad valorem* taxes. However, nothing in the Resolution prevents the District from making advances of its moneys, howsoever derived, to any use or purpose permitted by law.

Statutory Lien on *Ad Valorem* Tax Revenues

Government Code Section 53515, which became effective as of January 1, 2016, provides that all general obligation bonds issued and sold by or on behalf of a local agency in the State, including the Bonds, are secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax. The lien automatically arises without the need for any action or authorization by the local agency or its governing board and is valid and binding from the time the bonds are executed and delivered. In addition, the revenues received pursuant to the levy and collection of the tax will be immediately subject to the lien, and the lien will automatically attach to the revenues and be effective, binding, and enforceable against the local agency, such as the District, as applicable, its successor, transferees, and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for physical delivery, recordation, filing, or further tax.

Assessed Valuation of Property

The county assessor of Sacramento County (the “County Assessor”) must annually assess all taxable property in the County (except for “utility” property, assessed by the State) to the person, business or legal entity owning, claiming, possessing or controlling the property on January 1, the lien date. Property assessed by the County Assessor is subject to the reappraisal provisions set forth in the State Constitution. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES—Article XIII A of the State Constitution” herein. The duties of the County Assessor are to discover all assessable property, to inventory and list all taxable property, to value the property, and to enroll the property on the local assessment roll. Locally assessed taxable property is classified as either “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The secured roll contains real property sufficient, in the opinion of the County Assessor, to secure the payment of the taxes as a lien on real property. All other property is unsecured and assessed on the unsecured roll.

The secured roll also includes certain “utility” property, entered on the utility roll, located in the County but assessed by the State Board of Equalization (the “SBE”) rather than by the County Assessor. Such property includes property owned or used by State-regulated transportation and communications utilities such as railways, telephone and telegraph companies, companies transmitting or selling gas or electricity, and pipelines, flumes, canals and aqueducts lying within two or more counties. Property assessed by the SBE is not subject to the provisions of Proposition 13 (1978) and is annually reappraised at its market value as of January 1 and then allocated by formula among all the taxing jurisdictions in the County, including the District. The growth or decline in the assessed valuation of utility property is shared by all jurisdictions in the County. The District can make no predictions regarding the impact of the reorganization of regulated utilities and the transfer of electricity-generating property to non-utility companies on the amount of tax revenue collected. In general, the transfer of State-assessed property located in the District to non-utility companies will increase the assessed value of property in the District, since the property’s value will no longer be divided among taxing jurisdictions in the County; the transfer of property located and taxed in the District to a State-assessed utility will, in general, reduce the assessed value in the District, as the value is shared among the other jurisdictions in the County. The greater the total assessed value of all taxable property in the District, the lower the tax rate necessary to generate taxes sufficient to pay scheduled debt service on the Bonds.

Shown in the following table are 11 years of the District’s historical assessed valuation. Total secured assessed value includes net local secured, secured homeowner exemption and utility value. Total unsecured assessed value includes net local unsecured and unsecured homeowner exemption value.

**Historical Total Secured and Unsecured Assessed Valuation
Natomas Unified School District**

<u>Year Ended June 30</u>	<u>Total Secured Assessed Value</u>	<u>Total Unsecured Assessed Value</u>	<u>Total Assessed Value</u>	<u>Percentage Change</u>
2009	\$8,592,300,393	\$820,523,213	\$9,412,823,606	--
2010	7,853,436,294	841,903,393	8,695,339,687	(7.6)%
2011	7,254,214,576	762,778,799	8,016,993,375	(7.8)
2012	6,873,865,646	707,239,089	7,581,104,735	(5.4)
2013	6,450,240,442	716,732,324	7,166,972,766	(5.5)
2014	6,782,444,552	694,869,005	7,477,313,557	4.3
2015	7,339,284,494	679,098,477	8,018,382,971	7.2
2016	7,557,633,589	749,176,414	8,306,810,003	3.6
2017	7,914,011,862	756,243,270	8,670,255,132	4.4
2018	8,512,304,339	806,316,917	9,318,621,256	7.5
2019	9,395,914,018	935,418,589	10,331,332,607	10.9

Source: Sacramento County Assessor.

Pursuant to Education Code, the District may not issue bonds in excess of 2.5 percent of the assessed valuation of taxable property within its boundaries unless a waiver from such requirement is obtained from the State Board of Education. On May 8, 2019, the State Board of Education adopted a resolution approving the District’s request to increase its bond issuance limit from 2.5 percent of the assessed valuation of taxable property within its boundaries to 3.0 percent through July 15, 2021. The District’s gross bonding capacity after consideration of the Bonding Capacity Waiver is approximately \$309.9 million. Upon issuance of the Bonds, the District will have remaining bonding capacity of approximately \$15.4 million. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES—Article XIII A of the State Constitution” herein.

The remaining tables under this caption "SECURITY AND SOURCE OF PAYMENT" have been prepared by California Municipal Statistics, Inc. They have been included for general information purposes only. The District has not independently verified and does not guarantee the accuracy of the information in such tables.

Shown in the following table is the distribution of total assessed value among the cities and unincorporated areas encompassed by the District for fiscal year 2018-19.

**Assessed Valuation by Jurisdiction
Natomas Unified School District**

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>Percent of District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>Percent of Jurisdiction in District</u>
City of Sacramento	\$8,812,781,409	85.30%	\$50,797,052,535	17.35%
Unincorporated Sacramento County	<u>1,518,551,198</u>	<u>14.70</u>	58,456,133,790	2.60
Total District	\$10,331,332,607	100.00%		
Sacramento County	\$10,331,332,607	100.00%	\$161,119,543,526	6.41%

Source: California Municipal Statistics, Inc.

Shown in the following table is a distribution of taxable real property located in the District by principal purpose for which the parcels are used along with the local secured assessed valuation (excluding homeowners' exemption) and number of parcels for each use for fiscal year 2018-19.

**Assessed Valuation and Parcels by Land Use
Natomas Unified School District**

	2018-19 <u>Assessed Valuation¹</u>	Percent of <u>Total</u>	Number of <u>Parcels</u>	Percent of <u>Total</u>
<u>Non-Residential:</u>				
Agricultural/Rural	\$20,114,535	0.21%	72	0.30%
Commercial	524,404,948	5.58	138	0.58
Vacant Commercial	112,719,959	1.20	136	0.57
Office Building	810,932,826	8.63	183	0.77
Industrial	467,363,103	4.97	74	0.31
Vacant Industrial	61,871,608	0.66	60	0.25
Recreational	99,318,131	1.06	29	0.12
Government/Social/Institutional	47,508,334	0.51	30	0.13
Miscellaneous	<u>1,944,147</u>	<u>0.02</u>	<u>175</u>	<u>0.74</u>
Subtotal Non-Residential	\$2,146,177,591	22.84%	897	3.77%
<u>Residential:</u>				
Single Family Residence	\$5,543,913,084	59.00%	17,651	74.23%
Condominium/Townhouse	330,324,483	3.52	2,373	9.98
Mobile Home	3,093,963	0.03	117	0.49
Mobile Home Park	9,155,520	0.10	1	0.00
Hotel/Motel	134,838,077	1.44	12	0.05
2-4 Residential Units	13,314,321	0.14	34	0.14
5+ Residential Units/Apartments	1,027,106,508	10.93	77	0.32
Vacant Residential	<u>187,990,471</u>	<u>2.00</u>	<u>2,616</u>	<u>11.00</u>
Subtotal Residential	\$7,249,736,427	77.16%	22,881	96.23%
Total	\$9,395,914,018	100.00%	23,778	100.00%

¹Local secured assessed valuation, excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

The following table sets forth the assessed valuation of single-family homes within the District's boundaries for fiscal year 2018-19.

**Per-Parcel Assessed Valuation of Single-Family Homes
Natomas Unified School District**

	Number of Parcels	2018-19 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single-Family Residential	17,651	\$5,543,913,084	\$314,085	\$310,671

2018-19 Assessed Valuation	Number of Parcels ¹	Percent of Total	Cumulative Percent of Total	Total Valuation	Percent of Total	Cumulative Percent of Total
\$0 - \$24,999	11	0.062%	0.062%	\$128,985	0.002%	0.000%
\$25,000 - \$49,999	31	0.176	0.238	1,413,939	0.026	0.028
\$50,000 - \$74,999	166	0.940	1.178	11,053,798	0.199	0.227
\$75,000 - \$99,999	227	1.286	2.464	20,031,998	0.361	0.589
\$100,000 - \$124,999	394	2.232	4.697	44,912,536	0.810	1.399
\$125,000 - \$149,999	630	3.569	8.266	87,446,837	1.577	2.976
\$150,000 - \$174,999	798	4.521	12.787	129,998,984	2.345	5.321
\$175,000 - \$199,999	993	5.626	18.413	186,194,792	3.359	8.679
\$200,000 - \$224,999	987	5.592	24.004	209,591,454	3.781	12.460
\$225,000 - \$249,999	1,189	6.736	30.740	283,046,929	5.106	17.566
\$250,000 - \$274,999	1,280	7.252	37.992	336,183,326	6.064	23.630
\$275,000 - \$299,999	1,452	8.226	46.218	416,930,790	7.521	31.150
\$300,000 - \$324,999	1,633	9.252	55.470	510,373,583	9.206	40.356
\$325,000 - \$349,999	1,721	9.750	65.220	580,280,358	10.467	50.823
\$350,000 - \$374,999	1,393	7.892	73.112	504,115,992	9.093	59.916
\$375,000 - \$399,999	1,103	6.249	79.361	427,040,943	7.703	67.619
\$400,000 - \$424,999	920	5.212	84.573	379,272,279	6.841	74.460
\$425,000 - \$449,999	741	4.198	88.771	323,738,406	5.840	80.300
\$450,000 - \$474,999	524	2.969	91.740	241,538,245	4.357	84.657
\$475,000 - \$499,999	358	2.028	93.768	174,277,266	3.144	87.800
\$500,000 and greater	<u>1,100</u>	<u>6.232</u>	100.000	<u>676,341,644</u>	<u>12.200</u>	100.000
Total	17,651	100.000%		\$5,543,913,084	100.000%	

¹Improved single-family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Flood Zone

In December 2008, the Federal Emergency Management Agency ("FEMA") remapped the Natomas Basin (within which the District is located) as an "AE" flood hazard zone, based on the findings of an evaluation study conducted by the U.S. Army Corps of Engineers (the "Corps"). The AE flood zone designation required that all new construction within the Natomas Basin be elevated by up to 20 feet, thereby creating a *de facto* building moratorium.

The Corps closely examined two Sacramento River levee sections and found seepage and unstable slopes in both sections. The study also used a new methodology for assessing flood risk called "risk analysis." The traditional levee-certification method used historical weather records to set a target water elevation, and levees were then designed to meet that elevation plus an additional three feet. The Corps' new risk analysis method starts with a similar approach, but also uses statistical sampling to estimate the uncertainty behind the data. The levee height required for 100-year certification using this new methodology must be a height such that 90 percent of the possible 100-year floods will fall below this elevation. The levee sections examined within the study did not pass the elevation requirement, based on the new risk analysis methodology.

The Sacramento Area Flood Control Agency (“SAFCA”), a joint powers agency of the City, the County, the Sacramento County Water Agency, the County of Sutter, the Sutter County Water Agency, and the American River Flood Control District and Reclamation District 1000, is working closely with the Corps to upgrade the Natomas levees to 100-year flood protection, and ultimately provide 200-year protection. The entire project is divided into four major phases, with construction in the first two phases being the responsibility of SAFCA and the last two the responsibility of the Corp. Funding for the project comes from local, State and federal sources.

SAFCA completed the first two phases of the project, including upgrades to 18 miles of the most vulnerable levees, in 2012. The Corps is responsible for completing the remainder of the project along the southern and eastern portions of the Natomas Basin. In June 2014, the Water Resources Reform and Development Act (the “WRRDA”) was signed into law authorizing, among other projects, the Corps to complete the final two phases of the upgrade to the Natomas levees. The re-mapping of the flood risk for the Natomas Basin from a FEMA AE Zone to an “A99” Zone (indicative of substantial progress towards 100-year protection) was granted in March 2015. The re-mapping of the flood risk for the Natomas Basin to an A99 Zone was effective as of June 16, 2015, at which time the *de facto* building moratorium was lifted.

While the WRRDA authorized construction of the remaining phases of the levee upgrade, it does not appropriate the funds required to complete the project. In August 2016, the Corps, the State and SAFCA signed a project partnership agreement affirming the commitment of federal, State and local agencies to cooperatively complete upgrades to the levees surrounding the Natomas Basin and formally shifting the project into its construction phase. Construction on the remaining phases of the project began in 2018 and is expected to be completed in several years.

If substantial flooding occurs before the completion of levee improvements, there could be substantial delinquencies in the payment of *ad valorem* taxes within the District.

Reassessments and Appeals of Assessed Value

State law allows for the appeal of a property’s assessed value by property owners. Appeals may be based on Proposition 8 (1978) which requires that for each January 1 lien date, the taxable value of real property must be the lesser of its base year value, annually adjusted by the inflation factor pursuant to Article XIII A of the State Constitution, or its full cash value, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property or other factors causing a decline in value. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution” herein.

Under State law, property owners in the District may apply for a Proposition 8 reduction of their property tax assessment by filing a written application, in form prescribed by the SBE, with the County board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value.

Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. These reductions are subject to yearly reappraisals and are adjusted back to their original values, adjusted for inflation, when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

Proposition 8 reductions may also be unilaterally applied by the County Assessor.

The District can make no predictions as to the changes in assessed values within the District that might result from pending or future appeals of assessed valuation by taxpayers or temporary reductions in assessed valuation of property, as allowed under the State Constitution. Any reduction in aggregate District assessed valuation will cause the tax rate necessary to repay the Bonds to increase accordingly. Any refund of paid taxes triggered by a successful assessment appeal will be debited by the County Director of Finance against all taxing agencies receiving tax revenues, including the District.

Tax Rates

The State Constitution permits the levy of an *ad valorem* tax on taxable property not to exceed one percent of the property's full cash value, plus the amount necessary to make annual payments due on general obligation bonds or other indebtedness incurred prior to July 1, 1978, any bonded indebtedness for the acquisition or improvement or real property approved by a two-thirds majority of voters on or after July 1, 1978, and certain bonded indebtedness for school facilities approved by 55 percent of the voters. The auditor controller of Sacramento County (the "County Auditor-Controller") computes the additional rate of tax necessary to pay such scheduled debt service and presents the tax rates for all taxing jurisdictions in the County to the County Board.

The tax rate necessary to pay debt service in a given year largely depends on the net assessed value of taxable property in that year. The net assessed value of taxable property may be affected by several factors, such as a general market decline in property values, reclassification of property to a class exempt from taxation, such as property owned by federal, State and local agencies or property used for certain educational, hospital, charitable or religious purposes, or the destruction of taxable property caused by natural or manmade disaster, such as earthquake, flood, fire, drought, toxic dumping, *etc.* Any of these instances could cause a reduction in the net assessed value of taxable property within the District, necessitating a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the Bonds. Issuance of additional authorized bonds in the future might also cause the tax rate to increase.

One factor in the ability of taxpayers to pay additional taxes for general obligation bonds is the cumulative rate of tax on each parcel. The following table shows *ad valorem* property tax rates per \$100 of assessed value for the last five years in a typical tax rate area of the District (TRA 3-325). The fiscal year 2018-19 assessed valuation of TRA 3-325 is \$3,408,584,528, approximately 32.99 percent of the total assessed value of taxable property in the District.

**Typical Total Tax Rates per \$100 of Assessed Valuation
TRA 3-325
Natomas Unified School District**

	<u>2014-15</u>	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>
General Tax Rate	\$1.0000	\$1.0000	\$1.0000	\$1.0000	\$1.0000
Natomas Unified School District	0.1614	0.2136	0.2257	0.1858	0.1928
Los Rios Community College District	<u>0.0113</u>	<u>0.0091</u>	<u>0.0141</u>	<u>0.0130</u>	<u>0.0131</u>
Total Tax Rate	\$1.1727	\$1.2227	\$1.2398	\$1.1988	\$1.2059

Source: California Municipal Statistics, Inc.

The more property (by assessed value) that is owned by a single taxpayer, the more tax collections are exposed to weakness in the taxpayer's financial situation and their ability or willingness to pay property taxes. In fiscal year 2018-19, no single taxpayer owned more than 1.39 percent of the total secured taxable property in the District.

The 20 taxpayers in the District with the greatest combined secured assessed valuation of taxable property on the fiscal year 2018-19 tax roll own property that comprises 13.38 percent of the local assessed valuation of secured property in the District. These taxpayers, ranked by aggregate assessed value of taxable property as shown on the fiscal year 2018-19 secured tax roll and the amount of each owner's assessed valuation for all taxing jurisdictions within the District are shown in the following table.

Each taxpayer listed is a unique name on the tax rolls. The District cannot determine from assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the list of largest taxpayers identified in the following table.

**Largest Taxpayers
Natomas Unified School District**

<u>Property Owner</u>	<u>2018-19 Primary Land Use</u>	<u>Percent of Assessed Valuation</u>	<u>Total¹</u>
1. RELP Metro LLC	Industrial	\$130,786,561	1.39%
2. Ragingwire Data Centers Inc.	Industrial	97,235,264	1.03
3. ARA Woodlands LP	Apartments	87,887,785	0.94
4. BRE Delta Industrial Sacramento LP	Industrial	86,648,997	0.92
5. PAC West Office Equities LP	Office Building	81,254,652	0.86
6. Homecoming at Creekside LLC	Apartments	79,865,656	0.85
7. Bannon Investors Ltd.	Office Building	62,427,626	0.66
8. CLPF Promenade LP	Commercial	61,000,000	0.65
9. Prim Natomas LLC	Office Building	55,500,000	0.59
10. Riverpoint – 714 LLC	Apartments	54,612,246	0.58
11. Demmon Harbor Oaks Partners LP	Apartments	50,896,343	0.54
12. MSP Del LLC	Apartments	49,727,658	0.53
13. Tuscaro Sterling LLC	Apartments	48,898,800	0.52
14. Fieldstone North 100 LLC	Office Building	47,500,000	0.51
15. Donahue Schriber Realty Group LP	Commercial	45,805,521	0.49
16. 2645 Stonecreek Apartments Sacramento LLC	Apartments	45,223,585	0.48
17. Villagio Apartment Homes LLC	Apartments	45,039,312	0.48
18. TFO Reva LEI Gateway LLC	Office Building	43,860,000	0.47
19. LW Partners LLC	Apartments	41,550,850	0.44
20. Miramonte Ray LLC/Miramonte KS LLC	Apartments	<u>41,404,596</u>	<u>0.44</u>
		\$1,257,125,452	13.38%

¹Fiscal year 2018-19 local secured assessed valuation in the District is \$9,395,914,018.

Source: California Municipal Statistics, Inc.

Direct and Overlapping Bonded Debt

Contained within the District's boundaries are numerous overlapping local entities providing public services which may have outstanding long-term obligations in the form of general obligation, lease revenue and special assessment bonds. Such obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The following table generally includes long-term obligations sold in the public credit markets by the public agencies listed. The first column in the table names each public agency which has outstanding debt as of July 1, 2019 and whose territory overlaps the District in whole or in part. The second column shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (not shown) produces the amount shown in the third column, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District. Property owners within the District may be subject to other special taxes and assessments levied by other taxing authorities providing services within the District. Such *non-ad valorem* special taxes and assessments (which are not levied to fund debt service) are not represented in the statement of direct and overlapping bonded debt.

Statement of Direct and Overlapping Bonded Debt (As of July 1, 2019)
Natomas Unified School District

<u>2018-19 Assessed Valuation:</u>		\$10,331,332,607
	<u>Percent</u>	<u>Debt as of</u>
	<u>Applicable</u>	<u>July 1, 2019</u>
<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>		
Los Rios Community College District	5.282%	\$20,926,756
Natomas Unified School District	100.000	234,512,719 ¹
City of Sacramento Community Facilities Districts	6.925-100.000	109,148,264
City of Sacramento Reassessment District No. 2006-01	100.000	2,915,000
Sacramento County Community Facilities District No. 2000-1	100.000	88,870,000
Sacramento Area Flood Control Capital Districts Assessment Districts	Various	<u>81,957,002</u>
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$538,329,741
<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
Sacramento County General Fund Obligations	6.412%	\$11,158,645
Sacramento County Pension Obligation Bonds	6.412	56,789,164
Sacramento County Board of Education Certificates of Participation	6.412	254,877
Natomas Unified School District Certificates of Participation	100.000	56,450,000
City of Sacramento General Fund Obligations	17.349	<u>121,711,042</u>
TOTAL GROSS DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$246,363,728
Less: Sacramento County supported obligations		1,093,087
City of Sacramento supported obligations		<u>85,959,583</u>
TOTAL NET DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$159,311,058
GROSS COMBINED TOTAL DEBT		\$784,693,469 ²
NET COMBINED TOTAL DEBT		\$697,640,799
<u>Ratios to 2018-19 Assessed Valuation:</u>		
Direct Debt (\$234,512,719)	2.27%	
Total Direct and Overlapping Tax and Assessment Debt	5.21%	
Combined Direct Debt (\$290,962,719)	2.82%	
Gross Combined Total Debt	7.60%	
Net Combined Total Debt	6.75%	

¹Excludes the Bonds to be sold.

²Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.
Source: California Municipal Statistics, Inc.

Tax Collections and Delinquencies

Property taxes are levied for each fiscal year on taxable real and personal property situated in the taxing jurisdiction assessed as of January 1, at which time the tax lien attaches. The tax collector of Sacramento County (the "County Tax Collector") is presented with a tax roll created from the combined rolls of the County Assessor and the SBE. The County Tax Collector prepares and mails tax bills to taxpayers and collects the taxes.

Property taxes on the regular secured roll are due in two equal installments. The annual tax bill is mailed by November 1; the first installment is delinquent after December 10 and the second installment is delinquent after April 10. Delinquent taxes are subject to penalty of 10 percent and a \$15 cost. If taxes remain unpaid by July 1, the tax is deemed to be in default. After five years, the County generally has the power to sell tax-defaulted property that is not redeemed; proceeds from such sale are applied to the payment of the delinquent taxes.

Property taxes on the unsecured roll are due annually. The bills are mailed during July; taxes on the unsecured roll are due and, if unpaid, are delinquent on August 31, and thereafter subject to a 10 percent penalty and additional collection costs.

Upon delinquency, the County may use the following collection methods: filing of liens, filing of summary judgments, seizure and sale of personal property, or seizure of State tax refunds or State lottery winnings.

As long as the Teeter Plan (as defined herein) remains in effect in the County, the District will be credited with the full amount of the secured tax levy no matter the delinquency rate within the District. See “—Alternative Method of Tax Apportionment” herein.

The following table shows a five-year history of real property tax collections and delinquencies in the District.

**Secured Tax Charges and Delinquencies
Natomas Unified School District**

<u>Fiscal Year</u>	<u>Secured Tax Charge¹</u>	<u>Amount Delinquent As of June 30</u>	<u>Percent Delinquent As of June 30</u>
2013-14	\$12,233,290	\$101,912	0.83%
2014-15	11,692,087	81,387	0.70
2015-16	15,889,658	90,785	0.57
2016-17	17,681,171	81,713	0.46
2017-18	15,629,729	72,032	0.46

¹The District’s general obligation bond debt service levy only.

Source: California Municipal Statistics, Inc.

Alternative Method of Tax Apportionment

The County Board has approved implementation of the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “Teeter Plan”) pursuant to the California Revenue and Taxation Code (the “Revenue and Taxation Code”) Section 4701 *et seq.* The Teeter Plan guarantees distribution to each local agency in the County an amount equal to 100 percent of the *ad valorem* taxes levied on their behalf on the secured roll within the County, with the County retaining all penalties and interest affixed upon delinquent properties and redemptions of subsequent collections.

The cash position of the County Director of Finance is protected by a special fund, known as the “Tax Loss Reserve Fund,” which accumulates moneys from interest and penalty collections. In any given fiscal year, when the amount in the Tax Loss Reserve Fund exceeds a specified amount as prescribed by law, such excess amounts may be credited for the remainder of that fiscal year to the County’s general fund. Amounts required to be maintained in the Tax Loss Reserve Fund may be drawn on to the extent of the amount of uncollected taxes credited to each agency in advance of receipt.

The Teeter Plan is to remain in effect in the County unless the County Board orders its discontinuance or unless, prior to the commencement of any fiscal year (which commences on July 1 for the County), the County Board receives a petition for its discontinuance from two-thirds of the participating revenue districts in the County. The County Board may also, after holding a public hearing on the matter, discontinue the implementation of the Teeter Plan with respect to any tax levying agency or assessment levying agency in the County if the rate of secured tax delinquency in that agency in any year exceeds three percent of the total of all taxes and assessments levied on the secured rolls in that agency.

If the Teeter Plan were discontinued in the County, only those secured property taxes actually collected in the County would be allocated to political subdivisions in the County, including the District. The District’s tax revenues would be subject to taxpayer delinquencies; however, the District would realize the benefit of interest and penalties collected from delinquent taxpayers, pursuant to law.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Bonds, AGM will issue its municipal bond insurance policy for the Bonds (the “Bond Insurance Policy”). The Bond Insurance Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Bond Insurance Policy included as “APPENDIX F” to this Official Statement.

The Bond Insurance Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Assured Guaranty Municipal Corp.

AGM is a New York domiciled financial guaranty insurance company and an indirect subsidiary of Assured Guaranty Ltd. (“AGL”), a Bermuda-based holding company whose shares are publicly traded and are listed on the New York Stock Exchange under the symbol “AGO.” AGL, through its operating subsidiaries, provides credit enhancement products to the U.S. and global public finance, infrastructure and structured finance markets. Neither AGL nor any of its shareholders or affiliates, other than AGM, is obligated to pay any debts of AGM or any claims under any insurance policy issued by AGM.

AGM’s financial strength is rated “AA” (stable outlook) by S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”), “AA+” (stable outlook) by Kroll Bond Rating Agency, Inc. (“KBRA”) and “A2” (stable outlook) by Moody’s Investors Service, Inc. (“Moody’s”). Each rating of AGM should be evaluated independently. An explanation of the significance of the above ratings may be obtained from the applicable rating agency. The above ratings are not recommendations to buy, sell or hold any security, and such ratings are subject to revision or withdrawal at any time by the rating agencies, including withdrawal initiated at the request of AGM in its sole discretion. In addition, the rating agencies may at any time change AGM’s long-term rating outlooks or place such ratings on a watch list for possible downgrade in the near term. Any downward revision or withdrawal of any of the above ratings, the assignment of a negative outlook to such ratings or the placement of such ratings on a negative watch list may have an adverse effect on the market price of any security guaranteed by AGM. AGM only guarantees scheduled principal and scheduled interest payments payable by the issuer of bonds insured by AGM on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the relevant insurance policy), and does not guarantee the market price or liquidity of the securities it insures, nor does it guarantee that the ratings on such securities will not be revised or withdrawn.

Current Financial Strength Ratings

On June 27, 2019, S&P announced it had affirmed AGM’s financial strength rating of “AA” (stable outlook). AGM can give no assurance as to any further ratings action that S&P may take.

On December 21, 2018, KBRA announced it had affirmed AGM’s insurance financial strength rating of “AA+” (stable outlook). AGM can give no assurance as to any further ratings action that KBRA may take.

On May 7, 2018, Moody’s announced it had affirmed AGM’s insurance financial strength rating of “A2” (stable outlook). AGM can give no assurance as to any further ratings action that Moody’s may take.

For more information regarding AGM’s financial strength ratings and the risks relating thereto, see AGL’s Annual Report on Form 10-K for the fiscal year ended December 31, 2018.

Capitalization of AGM

At March 31, 2019:

- The policyholders’ surplus of AGM was approximately \$2,523 million.
- The contingency reserves of AGM and its indirect subsidiary Municipal Assurance Corp. (“MAC”) (as described below) were approximately \$1,054 million. Such amount includes 100 percent of AGM’s contingency reserve and 60.7 percent of MAC’s contingency reserve.

- The net unearned premium reserves and net deferred ceding commission income of AGM and its subsidiaries (as described below) were approximately \$1,848 million. Such amount includes (i) 100 percent of the net unearned premium reserve and deferred ceding commission income of AGM, (ii) the net unearned premium reserves and net deferred ceding commissions of AGM's wholly owned subsidiary Assured Guaranty (Europe) plc ("AGE"), and (iii) 60.7 percent of the net unearned premium reserve of MAC.

The policyholders' surplus of AGM and the contingency reserves, net unearned premium reserves and deferred ceding commission income of AGM and MAC were determined in accordance with statutory accounting principles. The net unearned premium reserves and net deferred ceding commissions of AGE were determined in accordance with accounting principles generally accepted in the United States of America.

Incorporation of Certain Documents by Reference

Portions of the following documents filed by AGL with the SEC that relate to AGM are incorporated by reference into this Official Statement and shall be deemed to be a part hereof:

- (i) the Annual Report on Form 10-K for the fiscal year ended December 31, 2018 (filed by AGL with the SEC on March 1, 2019); and
- (ii) the Quarterly Report on Form 10-Q for the quarterly period ended March 31, 2019 (filed by AGL with the SEC on May 10, 2019).

All consolidated financial statements of AGM and all other information relating to AGM included in, or as exhibits to, documents filed by AGL with the SEC pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as amended, excluding Current Reports or portions thereof "furnished" under Item 2.02 or Item 7.01 of Form 8-K, after the filing of the last document referred to above and before the termination of the offering of the Bonds shall be deemed incorporated by reference into this Official Statement and to be a part hereof from the respective dates of filing such documents. Copies of materials incorporated by reference are available over the internet at the SEC's website at <http://www.sec.gov>, at AGL's website at <http://www.assuredguaranty.com>, or will be provided upon request to Assured Guaranty Municipal Corp.: 1633 Broadway, New York, New York 10019, Attention: Communications Department (telephone (212) 974-0100). Except for the information referred to above, no information available on or through AGL's website shall be deemed to be part of or incorporated in this Official Statement.

Any information regarding AGM included herein under the heading "BOND INSURANCE—Assured Guaranty Municipal Corp." or included in a document incorporated by reference herein (collectively, the "AGM Information") shall be modified or superseded to the extent that any subsequently included AGM Information (either directly or through incorporation by reference) modifies or supersedes such previously included AGM Information. Any AGM Information so modified or superseded shall not constitute a part of this Official Statement, except as so modified or superseded.

Miscellaneous Matters

AGM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading "BOND INSURANCE."

SACRAMENTO COUNTY POOLED INVESTMENT FUND

This section provides a general description of the Sacramento County Investment Policy and current portfolio holdings. The information set forth under this section relating to the Sacramento County Pooled Investment Fund has been obtained from the County Department of Finance and is believed to be reliable but is not guaranteed as to accuracy or completeness. The District makes no representation as to the accuracy or completeness of such information. Further information may be obtained by contacting the County of Sacramento, Office of the County Department of Finance, 700 H Street, Suite 1710, Sacramento, California 95814, telephone (916) 874-6744.

The County Director of Finance manages the Sacramento County Pooled Investment Fund (the “County Pool”) in which certain funds of the County and certain funds of other participating entities are pooled and invested pending disbursement. General participants are those government agencies within the County, including the District, for which the County Director of Finance is statutorily designated as the custodian of such funds. The County Director of Finance is the *ex officio* treasurer of each of these participating entities, and such entities are legally required to deposit their cash receipts and revenues in the County Treasury. Under State law, withdrawals are allowed only to pay for expenses that have become due. The governing board of each school district and special district within the County may allow, by appropriate board resolution, certain withdrawals of non-operating funds for purposes of investing outside the County Pool. Some districts have from time to time authorized the County Director of Finance to purchase specified investments for certain district funds to mature on predetermined future dates when cash would be required for disbursements. Other local agencies, such as special districts and cities for which the County Director of Finance is not the statutorily designated fund custodian, may participate in the County Pool. Such participation is subject to the consent of the County Director of Finance and must be in accordance with State law.

Funds held in the County Pool are invested by the County Director of Finance in accordance with State law and the County Investment Policy, which is prepared by the County Director of Finance and approved by the County Board. A copy of the County Investment Policy is attached hereto as “APPENDIX D.” The County Director of Finance neither monitors investments for arbitrage compliance, nor does it perform arbitrage calculations. The District will maintain or cause to be maintained detailed records with respect to the applicable proceeds.

The County Pool is invested in order to earn a reasonable return while awaiting application for governmental purposes. The specific objectives for the County Pool are ranked in order of importance: safety of principal, liquidity, public trust, and maximum rate of return. The gross earned interest yield of the County Pool for the quarter ended June 30, 2019 was 2.484 percent, with weighted average maturity of 320 days.

A summary description of the composition of the County Pool from the quarterly investment report as of June 30, 2019 is provided in the following table.

Sacramento County Pooled Investment Fund
As of June 30, 2019

<u>Type</u>	<u>Interest Rate</u>	<u>Trading Yield</u>	<u>Par Value</u>	<u>Book Value</u>	<u>Market Value</u>	<u>Percent of Market Value</u>
Variable Rates (Muni)	2.492%	2.492%	\$21,460,128	\$21,460,128	\$21,460,128	0.49%
Federal Farm Credit Bonds (FFCB)	2.032	2.072	335,000,000	334,719,830	336,813,650	7.74
Federal Home Loan Banks	2.291	2.104	310,000,000	312,187,577	314,010,150	7.21
FFCB Discount Notes	2.400	2.422	65,000,000	64,406,333	64,833,167	1.49
FHLB Discount Notes	2.406	2.434	155,000,000	153,234,328	154,407,050	3.55
Federal National Mortgage Assoc.	1.758	1.831	170,000,000	169,410,895	169,932,700	3.90
FHLMC	1.375	1.753	50,000,000	49,436,950	49,708,000	1.14
Commercial Paper (Discount)	2.485	2.510	1,380,000,000	1,366,456,211	1,374,766,122	31.58
Certificates of Deposit/Thrift Notes	2.559	2.557	1,130,000,000	1,130,010,024	1,130,449,154	25.97
CD-Act Over 365/366	2.800	2.800	5,000,000	5,000,000	4,911,313	0.11
Supranationals	2.250	2.471	660,000,000	655,913,586	666,739,850	15.32
Passbook Accounts	<u>2.449</u>	<u>2.449</u>	<u>65,000,000</u>	<u>65,000,000</u>	<u>65,000,000</u>	<u>1.49</u>
Sacramento County Pool Total	2.374%	2.413%	\$4,346,460,128	\$4,327,235,862	\$4,353,031,283	100.00%

Source: County of Sacramento Department of Finance.

Neither the District nor the Underwriter has made an independent investigation of the investments in the County Pool and has made no assessment of the current County Investment Policy. The value of the various investments in the County Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the County Director of Finance, upon the approval by the County Board, may change the County

Investment Policy at any time. Therefore, there can be no assurance that the values of the various investments in the County Pool will not vary significantly from the values described therein.

CITY AND COUNTY ECONOMIC PROFILE

The information in this section concerning the economy of the City and the County is provided as supplementary information only, and is not intended to be an indication of security for the Bonds. The Bonds are payable from the proceeds of an ad valorem tax, approved by the voters of the District pursuant to applicable laws and State Constitutional requirements, and required to be levied by the County on all taxable property in the District in an amount sufficient for the timely payment of principal of and interest on the Bonds. See "SECURITY AND SOURCE OF PAYMENT" herein.

General Information

The County, incorporated in 1850, is located in the central region of the State approximately 75 miles east of the City of San Francisco, encompassing approximately 994 square miles of the northern section of the Central Valley, the State's prime agricultural region. The County extends to the low delta lands in its southern portion, with direct access to the San Francisco Bay, and east to the Sierra Nevada foothills. The County has seven incorporated cities, the largest of which, the City of Sacramento, is the seat of government for the State. Based on data compiled by CoreLogic, Inc., the median sale price of a single-family home in the County was \$370,000 in May 2019, an increase of approximately 2.8 percent from \$360,000 in May 2018.

The City, founded in 1849, is the State capital as well as the County seat of government and the sixth largest city by population in the State. Encompassing approximately 99 square miles, the City is located in the northern section of the State's Central Valley at the confluence of the Sacramento and American rivers. Based on data compiled by CoreLogic, Inc., the median sale price of a single-family home in the City was \$340,000 in May 2019, an increase of approximately 2.1 percent from \$333,000 in May 2018.

Population

The following table displays estimated population as of January 1 for the past five years for the City, County and State.

Historical Population
City of Sacramento, County of Sacramento and State of California

	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>
City of Sacramento	483,303	486,154	493,771	500,724	508,172
County of Sacramento	1,484,379	1,498,127	1,515,015	1,530,242	1,546,174
State of California	38,952,462	39,214,803	39,504,609	39,740,508	39,927,315

Source: State Department of Finance.

Personal Income

Total personal income includes income from all sources including net earnings, dividends, interest and rent, and personal current transfer receipts received by residents in the region. *Per capita* personal income (“PCPI”) was \$50,197 in the County in 2017, an increase of 2.8 percent from 2016 levels, compared to an increase of 4.0 percent statewide and 3.6 percent nationally. The following table shows PCPI for the County as well as for the State and the United States for the past five years for which data is available.

Per Capita Personal Income
Sacramento County, State of California and United States

	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>
County of Sacramento	42,887	45,148	47,811	48,850	50,197
State of California	49,173	52,237	55,679	57,497	59,796
United States	44,826	47,025	48,940	49,831	51,640

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Labor Force and Employment

The following table contains a summary of the City’s historical unemployment data for the past four years and for the most recent month available in the current year, not seasonally adjusted.

Historical Unemployment
City of Sacramento

	Annual <u>2015</u>	Annual <u>2016</u>	Annual <u>2017</u>	Annual <u>2018</u>	May <u>2019</u> ¹
Total Labor Force	226,600	229,200	231,000	235,100	234,800
Number of Employed	212,200	216,600	220,000	225,900	227,000
Number of Unemployed	14,400	12,600	11,000	9,200	7,800
Unemployment Rate	6.3%	5.5%	4.8%	3.9%	3.3%

¹Preliminary.

Source: State Employment Development Department.

The following table contains a summary of the County's historical unemployment data for the past four years and for the most recent month available in the current year, not seasonally adjusted.

**Historical Unemployment
County of Sacramento**

	Annual <u>2015</u>	Annual <u>2016</u>	Annual <u>2017</u>	Annual <u>2018</u>	May <u>2019</u> ¹
Total Labor Force	685,100	694,500	698,100	710,400	709,600
Number of Employed	644,100	657,000	665,600	683,500	686,800
Number of Unemployed	41,100	37,500	32,500	27,000	22,800
Unemployment Rate	6.0%	5.4%	4.7%	3.8%	3.2%

¹Preliminary.

Source: State Employment Development Department.

Employment by Industry

The following table shows labor patterns by type of industry from 2013 through 2017 by annual average, not seasonally adjusted, in the County.

Historical Employment by Industry County of Sacramento

<u>Type of Industry</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
Total, All Industries	599,800	621,300	644,000	648,300	666,200
Total Farm	2,600	2,700	2,200	3,200	2,600
Total Nonfarm	597,200	618,600	641,800	645,000	663,600
Goods Producing	49,900	51,900	54,300	56,700	59,400
Mining and Logging	200	100	200	100	200
Construction	28,500	31,000	32,900	35,500	37,800
Manufacturing	21,300	20,800	21,100	21,100	21,500
Durable Goods	14,200	14,200	14,000	13,800	13,800
Nondurable Goods	7,100	6,700	7,200	7,300	7,700
Service Providing	547,300	566,700	587,500	588,300	604,200
Trade, Transportation & Utilities	87,500	90,800	94,100	96,100	99,400
Wholesale Trade	15,200	15,100	15,700	16,300	17,900
Retail Trade	59,300	62,100	64,100	64,600	64,600
Transportation, Warehousing & Utilities	13,000	13,600	14,400	15,200	16,900
Information	10,200	10,000	9,700	8,500	8,400
Financial Activities	31,200	32,700	33,200	33,400	33,800
Finance & Insurance	23,000	24,400	24,500	24,200	24,300
Real Estate & Rental & Leasing	8,200	8,300	8,700	9,100	9,400
Professional & Business Services	88,100	88,400	94,400	94,900	98,700
Professional, Scientific & Technical Services	38,300	39,200	40,400	40,300	40,800
Management of Companies & Enterprises	7,600	7,600	8,000	9,200	9,800
Administrative & Support & Waste Services	42,100	41,600	46,000	45,400	48,000
Educational & Health Services	93,300	102,000	109,500	106,800	111,400
Leisure & Hospitality	56,000	58,700	60,800	62,500	64,800
Arts, Entertainment & Recreation	7,600	7,600	8,300	8,300	8,500
Accommodation & Food Services	48,400	51,100	52,600	54,200	56,300
Other Services	20,300	20,800	21,200	22,400	23,200
Government	160,700	163,300	164,700	163,800	164,600
Federal Government	9,900	10,000	10,200	10,400	10,300
State Government	86,500	87,900	88,100	89,400	90,900
Local Government	64,400	65,400	66,400	64,000	63,400

Figures may not foot due to rounding.

Source: State Employment Development Department.

Major Employers

The following table provides a list of 10 major employers, corresponding number of employees and percent of total employment, in the City for fiscal year 2017-18.

Major Employers City of Sacramento

	<u>Employer</u>	<u>Number of Employees</u>	<u>Percent of Total County Employment</u>
1	State of California	75,801	11.28%
2	UC Davis Health System	12,840	1.91
3	Sacramento County	12,208	1.82
4	Kaiser Permanente	11,005	1.64
5	US Government	10,325	1.54
6	Sutter Health	8,177	1.22
7	Dignity Health	7,000	1.04
8	Elk Grove Unified School District	6,210	0.92
9	Intel Corporation	6,000	0.89
10	Apple, Inc.	5,000	0.74

Source: City of Sacramento, Comprehensive Annual Financial Report for the Year Ended June 30, 2018.

The following table provides a list of 10 largest private-sector employers, corresponding number of employees and percent of total employment in the County for fiscal year 2017-18.

Major Employers (Private-Sector) County of Sacramento

	<u>Employer</u>	<u>Number of Employees</u>	<u>Percent of Total County Employment</u>
1	Kaiser Permanente	10,517	1.57%
2	UC Davis Health System	10,467	1.56
3	Sutter / California Health Services	9,911	1.48
4	Dignity/ Mercy Healthcare	8,039	1.20
5	Intel Corporation	6,000	0.90
6	Apple Inc.	5,000	0.75
7	Raley's Inc. / Bel Air	3,147	0.47
8	Health Net of California Inc.	3,000	0.45
9	VSP Global	2,927	0.44
10	Wells Fargo & Co.	1,804	0.27
	Total	60,812	9.09%

Source: County of Sacramento, Comprehensive Annual Financial Report for the Fiscal Year Ended June 30, 2018.

Commercial Activity

Total taxable sales during calendar year 2017 in the City were reported to be \$6,751,021,000, a 4.7 percent increase from the total taxable sales of \$6,445,465,000 reported during calendar year 2016.

The valuation of taxable transactions in the City for the past five years is presented in the following table.

Taxable Retail Sales City of Sacramento

	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>
Taxable Sales (000's)	\$5,704,121	\$5,863,222	\$6,183,425	\$6,445,465	\$6,751,021

Sources: State Board of Equalization for years 2013 – 2016, California Department of Tax and Fee Administration for 2017.

Total taxable sales during calendar year 2017 in the County were reported to be \$24,405,149,000, a 5.3 percent increase from the total taxable sales of \$23,184,499,000 reported during calendar year 2016.

The valuation of taxable transactions in the County for the past five years is presented in the following table.

Taxable Retail Sales County of Sacramento

	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>
Taxable Sales (000's)	\$20,097,095	\$21,061,901	\$22,043,195	\$23,184,499	\$24,405,149

Sources: State Board of Equalization for years 2013 – 2016, California Department of Tax and Fee Administration for 2017.

Construction Activity

Estimated new privately owned residential housing units authorized by building permits and total construction costs in the County for the past five years for which data is available are shown in the following table.

New Residential Building Permits County of Sacramento

	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
Single-Family Residential Units	1,680	2,261	2,681	3,159	3,579
Multi-Family Residential Units	<u>81</u>	<u>749</u>	<u>669</u>	<u>1,669</u>	<u>1,089</u>
Total New Building Permits	1,761	3,010	3,350	4,828	4,668
Total Construction Costs	\$439,041,222	\$711,956,461	\$808,875,635	\$1,115,114,693	\$1,078,576,491

Source: U.S. Bureau of the Census, Building Permit Estimates.

THE DISTRICT

It should not be inferred from the inclusion of the information in this section concerning the operations of the District and its finances that the principal of or interest on the Bonds is payable from the General Fund. The Bonds are payable from the proceeds of an ad valorem tax, approved by the voters of the District pursuant to applicable laws and State Constitutional requirements, and required to be levied by the County on all taxable property in the District in an amount sufficient for the timely payment of principal of and interest on the Bonds. See “SECURITY AND SOURCE OF PAYMENT” herein.

All tables included in this section “THE DISTRICT” are from the District unless a source is otherwise indicated.

General Information

The District, originally established in 1950 as an elementary school district and unified in 1992, occupies approximately 38 square miles in the northwestern portion of the County approximately four miles north of the City’s downtown area. The District serves a population of approximately 76,100 people. The District provides education to approximately 10,250 students (excluding students enrolled in a fiscally dependent charter school operated by the District) in transitional kindergarten through grade twelve. The District operates four K-5 schools, five K-8 schools, one middle school, two high schools, one continuation high school and one charter school. See “—Charter Schools” herein.

The District Board of Trustees and Key Administrative Personnel

The District Board governs all activities related to public education within the jurisdiction of the District. The District Board has decision-making authority, the power to designate management, the responsibility to significantly influence operations and is accountable for all fiscal matters relating to the District.

The District Board consists of five members. Each member of the District Board is elected by the public for a four-year term of office. Elections for the District Board are held every two years, alternating between two and three positions available. A president of the District Board is elected by the members each year.

The members of the District Board, together with their office and the date their term expires, are set forth in the following table.

District Board of Trustees Natomas Unified School District

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Susan Heredia	President	December 2020
Lisa Kaplan	Vice President	December 2022
Jag Bains	Clerk	December 2022
Scott Dosick	Member	December 2020
Micah Grant	Member	December 2020

The Superintendent of the District is appointed by and reports to the District Board. The Superintendent is responsible for managing the District’s day-to-day operations and supervising the work of other key District administrators. The current members of the District’s administration and positions held are set forth on page “iv” of this Official Statement.

Enrollment

Student enrollment determines to a large extent the amount of funding a State public school district receives for program, facilities and staff needs. Average daily attendance (“ADA”) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of

State funds are made to school districts. Enrollment can fluctuate due to factors such as population growth, competition from private, parochial, and public charter schools, inter-district transfers in or out, and other causes. Losses in enrollment will cause a school district to lose operating revenues, without necessarily permitting the school district to make adjustments in fixed operating costs. The ADA as of the last day of the last full attendance month concluding prior to April 15 (“P-2 ADA”) is used by the State as the basis for State apportionments.

Set forth in the following table is the historical and current fiscal year estimated P-2 ADA for the District (excluding charter school P-2 ADA).

**Average Daily Attendance
Natomas Unified School District**

	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20¹</u>
District P-2 ADA	8,943	9,222	9,537	9,323	9,363	9,753	9,883

¹Estimated as of the fiscal year 2019-20 adopted budget.

Charter Schools

There are six charter schools operating within the District:

- Leroy Greene Academy serves sixth through twelfth grade with enrollment of 778 in fiscal year 2018-19;
- Natomas Charter School serves kindergarten through twelfth grade with enrollment of 1,833 in fiscal year 2018-19;
- Natomas Pacific Pathways Prep Elementary School serves kindergarten through fifth grade with enrollment of 300 in fiscal year 2018-19;
- Natomas Pacific Pathways Prep Middle School serves sixth through eighth grade with enrollment of 514 in fiscal year 2018-19;
- Natomas Pacific Pathways Prep High School serves ninth through twelfth grade with enrollment of 619 in fiscal year 2018-19; and
- Westlake Charter School serves kindergarten through eighth grade with enrollment of 948 in fiscal year 2018-19.

Leroy Greene Academy is operated by the District, and its financial information is included in the District’s Charter School Fund activity. Natomas Pacific Pathways Prep Elementary School, Natomas Pacific Pathways Prep Middle School, Natomas Pacific Pathways Prep High School and Westlake Charter School contract with the District to provide financial support services, and their financial information is also included in the District’s Charter School Fund activity. Natomas Charter School operates independently of the District, and its financial information is not included in the District’s Charter School Fund activity. See “APPENDIX A—THE FINANCIAL STATEMENTS OF THE DISTRICT FOR THE YEAR ENDED JUNE 30, 2018” attached hereto.

Charter schools can adversely affect school district funding, either by reducing funded enrollment at the school district or, for community-funded districts, by increasing the in-lieu property tax transfer. However, certain per-pupil expenditures of a school district also decrease based upon the number of students enrolled in charter schools. Pursuant to Proposition 39, school districts are required to provide facilities reasonably equivalent to those provided to regular district students for charter schools having a projected average daily attendance of at least 80 or more students from that district.

Employee Relations

State law provides that employees of public school districts of the State are to be divided into appropriate bargaining units which then may be represented by an exclusive bargaining agent. The District has two recognized bargaining agents representing its non-management employees. The Natomas Teachers’ Association (“NTA”) is the exclusive bargaining unit for the non-management, certificated employees of the District. The California School Employees Association, Chapter #745 (“CSEA #745”) is the exclusive bargaining unit for the District’s non-management, classified employees.

Set forth in the following table are the District's bargaining units, number of full-time equivalents ("FTEs") budgeted for fiscal year 2019-20, and contract status.

**Bargaining Units, Number of Employees and Contract Status
Natomas Unified School District**

<u>Bargaining Unit</u>	<u>Full-Time Equivalents</u>	<u>Contract Status</u>
NTA	596	In negotiations for fiscal year 2019-20
CSEA #745	368	Settled through fiscal year 2021-22

The District has an additional 74 management and confidential FTEs not represented by a bargaining unit budgeted for fiscal year 2019-20.

Pension Plans

All full-time employees of the District, as well as certain part-time employees, are eligible to participate under defined benefit retirement plans maintained by agencies of the State. Qualified certificated employees are eligible to participate in the cost-sharing multiple-employer State Teachers' Retirement System ("STRS"). Qualified classified employees are eligible to participate in the cost-sharing multiple-employer Public Employees' Retirement Fund of the Public Employees' Retirement System ("PERS"), which acts as a common investment and administrative agent for participating public entities within the State.

The District accounts for its pension costs and obligations pursuant to *Governmental Accounting Standards Board* ("GASB") *Statement No. 67, Financial Reporting for Pension Plans* ("GASB 67") and *Statement No. 68, Accounting and Financial Reporting for Pensions* ("GASB 68") which replaced GASB Statements Nos. 25 and 27, respectively. GASB 68 requires an employer that provides a defined benefit pension, such as the District, to recognize and report its long-term obligation for pension benefits as a liability as it is earned by employees. See "APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR THE YEAR ENDED JUNE 30, 2018" attached hereto.

STRS—Description and Contributions. STRS operates under the Education Code sections commonly known as the State Teachers' Retirement Law. Membership is mandatory for all certificated employees of State public schools meeting the eligibility requirements. STRS provides retirement, disability and death benefits to beneficiaries. Benefits are based on members' final compensation, age and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, none of the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, in 2014 the State passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by statute to contribute 8.25 percent of eligible salary expenditures, while participants contributed 8.0 percent of their respective salaries. On June 24, 2014, the Governor of California (the "Governor") signed AB 1469 ("AB 1469") into law as a part of the State's fiscal year 2014-15 budget. AB 1469 sought to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the "2014 Liability"), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing on July 1, 2014, the employee contribution rate increased over a three-year phase-in period. Pursuant

to the California Public Employees' Pension Reform Act of 2013, the contribution rates for members hired after January 1, 2013 will be adjusted if the normal cost increases by more than one percent since the last time the member contribution was set. The following table sets forth STRS member contribution rates for the past five years and the current year.

**Member Contribution Rates
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired On or after January 1, 2013</u>
July 1, 2014	8.150%	8.150%
July 1, 2015	9.200	8.560
July 1, 2016	10.250	9.205
July 1, 2017	10.250	9.205
July 1, 2018	10.250	10.205
July 1, 2019	10.250	10.205

Sources: AB 1469 and STRS.

Pursuant to AB 1469, K-14 school districts' contribution rate will increase over a seven-year phase in period in accordance with the schedule set forth in the following table.

**Employer Contribution Rates
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>K-14 School Districts¹</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13 ²
July 1, 2020	19.10 ²

¹Percentage of eligible salary expenditures to be contributed.

²Does not reflect the supplemental STRS payments to be made by the State in the proposed State budget for fiscal year 2019-20.

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter, the STRS Teachers' Retirement Board (the "STRS Board") is required to increase or decrease the K-14 school districts' contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than one percent of creditable compensation upon which members' contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25 percent. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the State Legislature every five years (commencing with a report due on or before July 1, 2019) on the fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

The State also contributes to STRS, currently in an amount equal to 7.828 percent of covered STRS member payroll for fiscal year 2019-20. The State's contribution reflects a base contribution rate of 2.017 percent plus a supplemental contribution rate that will vary from year to year based on statutory criteria. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State's contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to

benefits in effect before July 1, 1990. In addition, the State is currently required to make an annual general fund contribution up to 2.5 percent of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the “SBPA”), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85 percent of the purchasing power of their initial allowance.

The District’s actual STRS contributions for fiscal years 2011-12 through 2017-18, estimated contributions for fiscal year 2018-19 and budgeted contributions for fiscal year 2019-20 are set forth in the following table.

**STRS Employer Contributions
Natomas Unified School District**

<u>Fiscal Year</u>	<u>District Contribution Rate</u>	<u>District Contribution¹</u>	<u>Total District Governmental Funds Expenditures</u>	<u>District Contributions as Percentage of Total Governmental Funds Expenditures</u>
2011-12	8.25%	\$3,297,468	\$111,211,531	2.97%
2012-13	8.25	3,602,114	112,424,352	3.20
2013-14	8.25	3,925,817	120,284,940	3.26
2014-15	8.88	4,901,009	137,781,971	3.56
2015-16	10.73	6,257,620	188,393,893	3.32
2016-17	12.58	8,293,425	224,101,777	3.70
2017-18	14.43	8,315,675	203,647,429	4.08
2018-19 ²	16.28	14,859,137 ³	204,168,687	7.28
2019-20 ⁴	18.13 ⁵	17,464,599 ⁶	167,725,550	10.41

¹In each instance equal to 100 percent of the required contribution.

²Estimated.

³Includes the State on-behalf payment equal to 7.328 percent of covered STRS member payroll.

⁴Budgeted as of the fiscal year 2019-20 adopted budget.

⁵Does not reflect the supplemental STRS payments to be made by the State in the proposed State budget for fiscal year 2019-20.

⁶Includes the State on-behalf payment equal to 7.828 percent of covered STRS member payroll.

PERS—Description and Contributions. All full-time classified employees of the District as well as certain part-time classified employees participate in PERS, which provides retirement and disability benefits, annual cost-of-living adjustments and death benefits to plan members and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member’s final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 55 with benefits equal to 2.0 percent of final compensation for each year of service credit. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 62 with benefits equal to 2.0 percent of final compensation for each year of service credit. All members are eligible for non-duty disability benefits after five years of service. Active plan members with an enrollment date prior to January 1, 2013 are required to contribute seven percent of their salary, while active plan members with an enrollment date on or after January 1, 2013 are required to contribute the greater of 50 percent of normal costs or six percent of their salary, and for fiscal year 2019-20 the rate is also 7.0 percent. The District is required to pay an actuarially determined rate.

The District's actual PERS contributions for fiscal years 2011-12 through 2017-18, estimated contributions for fiscal year 2018-19 and budgeted contributions for fiscal year 2019-20 are set forth in the following table.

**PERS Employer Contributions
Natomas Unified School District**

<u>Fiscal Year</u>	<u>District Contribution Rate</u>	<u>District Contribution¹</u>	<u>Total District Governmental Funds Expenditures</u>	<u>District Contributions as Percentage of Total Governmental Funds Expenditures</u>
2011-12	10.923%	\$1,254,889	\$111,211,531	1.13%
2012-13	11.417	1,461,062	112,424,352	1.30
2013-14	11.442	1,659,242	120,284,940	1.38
2014-15	11.771	1,975,605	137,781,971	1.43
2015-16	11.847	2,198,301	188,393,893	1.17
2016-17	13.888	3,147,406	224,101,777	1.32
2017-18	15.531	3,155,035	203,647,429	1.55
2018-19 ²	18.062	4,219,854	204,168,687	2.07
2019-20 ³	20.733	5,304,116	167,725,550	3.16

¹In each instance equal to 100 percent of the required contribution.

²Estimated.

³Budgeted as of the fiscal year 2019-20 adopted budget.

Unfunded Liabilities and Pension Expense Reporting. Both STRS and PERS have substantial statewide, unfunded liabilities. The amount of these liabilities will vary depending on actuarial assumptions, returns on investment, salary scales and participant contributions. The actuarial funding method used in the STRS actuarial valuation as of June 30, 2018 is the entry age normal cost method, and assumes, among other things, a 7.0 percent investment rate of return, 3.0 percent interest on member accounts, projected 2.75 percent inflation, and projected payroll growth of 3.5 percent.

The following table shows the statewide funding progress of the STRS plan for the previous eight years.

**Funding Progress
California State Teachers' Retirement System (STRS)¹**

<u>Actuarial Valuation Date as of June 30</u>	<u>Actuarial Value of Plan Assets</u>	<u>Actuarial Accrued Liability</u>	<u>Total Unfunded Actuarial Liability</u>	<u>Funded Ratio</u>	<u>Covered Payroll</u>	<u>Unfunded Liability as a Percentage of Payroll</u>
2011	\$143,930	\$208,405	\$64,475	69%	\$26,592	242%
2012	144,232	215,189	70,957	67	26,404	269
2013	148,614	222,281	73,667	67	26,483	278
2014	158,495	231,213	72,718	69	26,398	275
2015	165,553	241,753	76,200	69	28,640	266
2016	169,976	266,704	96,728	64	30,324	319
2017	179,689	286,950	107,261	63	31,961	336
2018	190,451	297,603	107,152	64	n/a	n/a

¹Dollars in millions.

Source: California State Teachers' Retirement System, Comprehensive Annual Financial Report for the Fiscal Year Ended June 30, 2018; California State Teachers' Retirement System, Defined Benefit Program Actuarial Valuation for Fiscal Year Ended June 30, 2018.

Pursuant to Government Code Section 20840 *et seq.*, PERS is authorized to create risk pools for public agencies, combining assets and liabilities across employers in large risk-sharing pools to help reduce the large fluctuations in the employer's contribution rate caused by unexpected demographic events. The "Schools Pool" provides identical retirement benefits to nearly all classified school employees in the State. The actuarial funding method used in the Schools Pool Actuarial Valuation as of June 30, 2018 (the "2018 PERS Actuarial Valuation") is the entry age normal cost method, and assumes, among other things, a 7.25 percent investment rate of return, 2.625 percent annual inflation; and 2.875 percent annual payroll growth.

In December 2016, PERS approved a plan to reduce the assumed investment rate of return from 7.5 percent to 7.0 percent over a three-year period. Based on the 2018 PERS Actuarial Valuation, the three-year phased in reduction of the discount rate is currently projected to result in a 26.6 percent employer contribution rate by fiscal year 2024-25. Such projections contained in the 2018 PERS Actuarial Valuation assume that all other actuarial assumptions will be realized and no changes to assumptions, contributions, benefits or funding will occur during the projected period.

The following table shows the statewide funding progress of the PERS plan for the previous eight years.

**Funding Progress
Public Employees' Retirement System (PERS)¹**

<u>Actuarial Valuation Date as of June 30</u>	<u>Market Value of Plan Assets</u>	<u>Actuarial Accrued Liability</u>	<u>Total Unfunded Actuarial Liability</u>	<u>Funded Ratio</u>	<u>Covered Payroll</u>	<u>Unfunded Liability as a Percentage of Payroll</u>
2011	\$45,901	\$58,358	\$12,457	78.7%	\$10,540	118.2%
2012	44,854	59,439	14,585	75.5	10,242	142.4
2013	49,482	61,487	12,005	80.5	10,424	115.2
2014	56,838	65,600	8,761	86.6	11,294	77.6
2015	56,814	73,325	16,511	77.5	12,098	136.5
2016	55,785	77,544	21,759	71.9	13,022	167.1
2017	60,865	84,416	23,551	72.1	13,683	172.1
2018	64,846	92,071	27,225	70.4	14,234	191.3

¹Dollars in millions.

Source: California Public Employees' Retirement System, Schools Pool Actuarial Valuation as of June 30, 2018.

The District's proportionate share of the State net pension liability as reported in the audited financial statements for fiscal years 2014-15, the first year for which the data was provided, through 2017-18 are set forth in the following tables.

**Proportionate Share of the Net Pension Liability—STRS
Natomas Unified School District**

<u>Fiscal Year</u>	<u>Proportion of Statewide Net Pension Liability</u>	<u>Proportionate Share of Statewide Net Pension Liability</u>	<u>Covered Employee Payroll</u>	<u>Proportionate Share of Statewide Liability as Percentage of Covered Employee Payroll</u>	<u>Fiduciary Net Position as Percentage of Total Pension Liability</u>
2014-15	0.107%	\$62,433,000	\$53,170,669	117.42%	76.52%
2015-16	0.119	80,055,000	55,192,000	145.05	74.02
2016-17	0.117	94,646,000	58,319,000	162.29	70.04
2017-18	0.116	107,134,000	61,398,000	148.83	69.46

**Proportionate Share of the Net Pension Liability—PERS
Natomas Unified School District**

<u>Fiscal Year</u>	<u>Proportion of Statewide Net Pension Liability</u>	<u>Proportionate Share of Statewide Net Pension Liability</u>	<u>Covered Employee Payroll</u>	<u>Proportionate Share of Statewide Liability as Percentage of Covered Employee Payroll</u>	<u>Fiduciary Net Position as Percentage of Total Pension Liability</u>
2014-15	0.138%	\$15,682,000	\$14,501,000	108.14%	83.38%
2015-16	0.152	22,346,000	16,784,000	133.14	79.43
2016-17	0.155	30,547,000	18,556,000	164.62	73.89
2017-18	0.158	37,697,000	20,134,000	159.73	71.87

For the year ended June 30, 2018, the District’s combined recognized pension expense was \$19,558,167. The District’s total net pension liability as of June 30, 2018 was \$144,831,000.

The District is unable to predict the future amount of State pension liabilities or the amount of required District contributions. Pension plan, annual contribution requirements and liabilities are more fully described in “APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR THE YEAR ENDED JUNE 30, 2018” attached hereto.

Other Postemployment Benefits (OPEB)

In addition to the pension benefits described above, the District provides postemployment health care benefits (known as “other postemployment benefits,” or “OPEB”), in accordance with District employment contracts, to retirees meeting certain eligibility requirements. The District provides OPEB through its Retired Employees Healthcare Plan (the “Plan”), which provides medical and dental insurance benefits to eligible retirees, their spouses, and if applicable, dependents. Contribution requirements of Plan members and the District are established and may be amended by the District and NTA, CSEA #745 and unrepresented groups. As of June 30, 2018, there were 759 participants in the Plan, including 679 active members and 80 inactive members.

On June 2, 2015, GASB approved *Statement No. 74 Financial Reporting for Post Employment Benefit Plans Other Than Pension Plans* (“GASB 74”) and *Statement No. 75 Accounting and Financial Reporting for Post Employment Benefits Other Than Pensions* (“GASB 75”) with respect to pension accounting and financial reporting standards for public sector post-retirement benefit programs and the employers that sponsor them. GASB 74 and GASB 75 replace GASB Statements No. 43, 57 and 45.

GASB 74 and GASB 75 require a liability for OPEB obligations, known as the net OPEB liability (the “NOL”), to be recognized on the balance sheet of the plan and the participating employer’s financial statements. In addition, an OPEB expense will be recognized in the income statement of the participating employers. In the notes to its financial statements, employers providing OPEB will also have to include information regarding the year-to-year change in the NOL and a sensitivity analysis of the NOL to changes in the discount rate and healthcare trend rate. GASB 74 and GASB 75 are directed at quantifying and disclosing OPEB obligations, and do not impose any requirement on public agencies to fund such obligations.

GASB 74 has an effective date for plan fiscal years beginning after June 15, 2016, and GASB 75 will be effective for employer fiscal years beginning after June 15, 2017. The District recognized GASB 74 and GASB 75 in its financial statements for fiscal year 2017-18.

The District completed an actuarial report consistent with GASB 74 and GASB 75 assessing the District’s OPEB liability as of June 30, 2018 (the “OPEB Actuarial Report”). The OPEB Actuarial Report calculated the total OPEB liability (the “TOL”) to be \$17,427,857. As of the date of the report, the District has not set aside moneys in an irrevocable trust with which to pay the TOL, consequently, the OPEB Actuarial Report calculated the net OPEB liability (the “NOL”) also to be \$17,427,857.

While the District has not set aside moneys in an irrevocable trust to pay OPEB, the District has established a Special Reserve Fund for Postemployment Benefits (the “Special Reserve for OPEB”) for the purpose of paying future OPEB expenses.

Funds in the Special Reserve for OPEB can be used purposes other than paying OPEB upon District Board action. As of June 30, 2018, the District had set aside \$132,380 in its Special Reserve for OPEB.

Every year, active employees earn additional future benefits, an amount known as the “service cost,” which is added to the NOL. The OPEB Actuarial Report calculates the service cost in fiscal year 2017-18 to be \$825,300. The service cost would increase each year based on covered payroll. The OPEB Actuarial Report calculates the District’s OPEB expense for fiscal year 2017-18 to be \$1,400,412. The OPEB expense is the amount recognized in accrual basis financial statements as the current period expense. The OPEB expense includes the service cost, interest and certain changes in the NOL, adjusted to reflect deferred inflows and outflows.

The District funds its OPEB liability on a “pay-as-you go” basis. The District contributed \$795,274 to the Plan in fiscal year 2017-18, estimates contributing \$740,169 to the Plan in fiscal year 2018-19, and budgets contributing \$779,804 to the Plan in fiscal year 2019-20.

See “APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR THE YEAR ENDED JUNE 30, 2018” for additional information regarding the District’s OPEB.

DISTRICT FINANCIAL INFORMATION

It should not be inferred from the inclusion of the information in this section concerning the operations of the District and its finances that the principal of or interest on the Bonds is payable from the General Fund. The Bonds are payable from the proceeds of an ad valorem tax, approved by the voters of the District pursuant to applicable laws and State Constitutional requirements, and required to be levied by the County on all taxable property in the District in an amount sufficient for the timely payment of principal of and interest on the Bonds. See “SECURITY AND SOURCE OF PAYMENT” herein.

All tables in this section “DISTRICT FINANCIAL INFORMATION” are from the District unless a source is otherwise indicated.

Accounting Practices

The District accounts for its financial transactions in accordance with the policies and procedures of the State Department of Education’s *California School Accounting Manual*, which, pursuant to Education Code Section 41010, is to be followed by all school districts in the State. The accounting policies of the District conform to accounting principles generally accepted in the United States of America as prescribed by GASB and the American Institute of Certified Public Accountants.

The District’s financial statements consist of government-wide statements and fund-based financial statements. Government-wide statements, consisting of a statement of net assets and a statement of activities, report all the assets, liabilities, revenue and expenses of the District and are accounted for using the economic resources measurement focus and accrual basis of accounting. The fund-based financial statements consist of a series of statements that provide information about the District’s major and non-major funds. Governmental funds, including the General Fund, special revenues funds, capital project funds and debt service funds, are accounted for using the modified accrual basis of accounting. Under the modified accrual basis of accounting, revenues are recognized in the accounting period in which they become measurable and available, while expenditures are recognized in the period in which the liability is incurred, if measurable. Proprietary funds and fiduciary funds are accounted for using the economic resources measurement focus and accrual basis of accounting. See “NOTE 1” in “APPENDIX A” attached hereto for a further discussion of applicable accounting policies.

The independent auditor for the District in fiscal year 2017-18 was Crowe LLP, Sacramento, California (the “Auditor”). The financial statements of the District as of and for the year ended June 30, 2018, are set forth in “APPENDIX A” attached hereto. The District has not requested nor did the District obtain permission from the Auditor to include the audited financial statements as an appendix to this Official Statement. The Auditor has not been engaged to perform and has not performed, since the date of its report attached hereto, any procedures on the financial statements addressed in that report. The Auditor also has not performed any procedures relating to this Official Statement.

Budget and Financial Reporting Process

The General Fund finances the legally authorized activities of the District for which restricted funds are not provided. General Fund revenues are derived from such sources as federal and State school apportionments, taxes, use of money and property, and aid from other governmental agencies.

The District is required by provisions of the Education Code to maintain a balanced budget each year, where the sum of expenditures plus the ending fund balance cannot exceed revenues plus the carry-over fund balance from the previous year. The State Department of Education imposes a uniform budgeting format for all school districts.

The fiscal year for all State school districts and county offices of education is July 1 to June 30. Because most school districts depend on State funds for a substantial portion of revenue, the State budget is an extremely important input in the school district budget preparation process. However, there is very close timing between final approval of the State budget (legally required by June 15), the adoption of the associated school finance legislation, and the adoption of local school district budgets. In some years, the State budget is not approved by the legal deadline which forces school districts to begin the new fiscal year with only estimates of the amount of funding they will actually receive.

The school district budgeting process involves continuous planning and evaluation. Within the deadlines, school districts work out their own schedules for considering whether or not to hire or replace staff, negotiating contracts with all employees, reviewing programs, and assessing the need to repair existing or acquire new facilities. Decisions depend on the critical estimates of enrollment, fixed costs, commitments in contracts with employees as well as best guesses about how much money will be available for elementary and secondary education. The timing of some decisions is forced by legal deadlines. For example, preliminary layoff notices to teachers must be delivered in March, with final notices in May. This necessitates projecting enrollments and determining staffing needs long before a school district will know either its final financial position for the current year or its revenue for the next year.

School districts must adopt an annual budget on or before July 1 of each year. The budget must be submitted to the county superintendent within five days of adoption or by July 1, whichever occurs first. The governing board of the school district must not adopt a budget before the governing board adopts a local control and accountability plan (the "LCAP") for that budget year. See "FUNDING OF PUBLIC EDUCATION IN THE STATE" herein.

The county superintendent will examine the adopted budget for compliance with State adopted standards and criteria, identify technical corrections necessary to bring the budget into compliance, determine if the budget allows the school district to meet its current obligations, determine if the budget is consistent with a financial plan that will enable the school district to meet its multi-year financial commitments, and determine if the budget ensures the fiscal solvency and accountability for the goals outlined in the LCAP. On or before September 15, the county superintendent will approve or disapprove the adopted budget for each school district within its jurisdiction based on these standards. The school district board must be notified by September 15 of the county superintendent's recommendations for revision and reasons for the recommendations. The county superintendent may assign a fiscal advisor or appoint a committee to examine and comment on the superintendent's recommendations. The committee must report its findings no later than September 20. Any recommendations made by the county superintendent must be made available by the school district for public inspection. The law does not provide for conditional approvals; budgets must be either approved or disapproved. No later than October 22, the county superintendent must notify the State Superintendent of Public Instruction (the "State Superintendent") of all school districts whose budget may be disapproved, and no later than November 8, the county superintendent must notify the State Superintendent of all school district budgets that have been disapproved or budget committees waived.

For school districts whose budgets have been disapproved, the school district must revise and readopt its budget by October 8, reflecting changes in projected income and expense since July 1, and responding to the county superintendent's recommendations. The county superintendent must determine if the budget conforms with the standards and criteria applicable to final school district budgets and not later than November 8, will approve or disapprove the revised budgets. If the budget is disapproved, the county superintendent will call for the formation of a budget review committee pursuant to Education Code Section 42127.1. Until a school district's budget is approved, the school district will operate on the lesser of its proposed budget for the current fiscal year or the last budget adopted and reviewed for the prior fiscal year.

Under the provisions of State Assembly Bill 1200, each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent two fiscal years. Each school district is required by the Education Code to file two interim reports each year—the first report for the period ending October 31 by not later than December 15, and the second

report for the period ending January 31 by not later than March 15. Each interim report shows fiscal year-to-date financial operations and the current budget, with any budget amendments made in light of operations and conditions to that point. The county office of education reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the fiscal year or subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or subsequent two fiscal years. If either the first or second interim report is not positive, the county superintendent may require the school district to provide a third interim report by June 1 covering the period ending April 30. If not required, a third interim report is generally not prepared (though may be at the election of the school district).

The county superintendent must annually present a report to the governing board of the school district and the State Superintendent regarding the fiscal solvency of any school district with a disapproved budget, qualified interim certification, or negative interim certification, or that is determined at any time to be in a position of fiscal uncertainty, pursuant to Education Code Section 42127.6. Any school district with a qualified or negative certification must allow the county office of education at least 10 working days to review and comment on any proposed agreement made between its bargaining units and the school district before it is ratified by the school district board (or the state administrator). The county superintendent will notify the school district, the county board of education, the school district governing board and the school district superintendent (or the state administrator), and each parent and teacher organization of the school district within those 10 days if, in his or her opinion, the agreement would endanger the fiscal well-being of the school district. Also, pursuant to Education Code Section 42133, a school district that has a qualified or negative certification in any fiscal year may not issue, in that fiscal year or the next succeeding fiscal year, non-voter approved debt unless the county superintendent of schools determines that the repayment of that debt by the school district is probable.

The filing status for each of the District's interim reports for the previous six fiscal years appears in the following table.

**Certifications of Interim Financial Reports
Natomas Unified School District**

<u>Fiscal Year</u>	<u>First Interim</u>	<u>Second Interim</u>
2013-14	Positive	Positive
2014-15	Positive	Positive
2015-16	Positive	Positive
2016-17	Positive	Positive
2017-18	Positive	Positive
2018-19	Positive	Positive

Financial Statements

Figures presented in summarized form herein have been gathered from the District's financial statements. The audited financial statements of the District for the fiscal year ended June 30, 2018, have been included in "APPENDIX A" attached hereto. Audited financial statements and other financial reports for prior fiscal years are on file with the District and available for public inspection during normal business hours. Copies of financial statements relating to any year are available to prospective investors and or their representatives upon request by contacting Natomas Unified School District, 1901 Arena Boulevard, Sacramento, California 95834, telephone (916) 567-5400, Attention: Deputy Superintendent, Business and Operations or by contacting the Municipal Advisor, Government Financial Strategies inc., 1228 N Street, Suite 13, Sacramento, California 95814-5609, telephone (916) 444-5100.

The following table sets forth the District's audited General Fund balance sheet data for fiscal years 2013-14 through 2017-18.

**General Fund Balance Sheet
Natomas Unified School District**

	2013-14 <u>Audited</u>	2014-15 <u>Audited</u>	2015-16 <u>Audited</u>	2016-17 <u>Audited</u>	2017-18 <u>Audited</u>
Assets					
Cash and Investments	\$10,852,280	\$15,480,624	\$24,213,417	\$29,069,902	\$24,144,821
Receivables	9,601,365	2,277,617	2,394,453	2,010,987	4,272,685
Prepaid Expenditures	9,177	52,409	48,117	10,619	529,439
Due From Other Funds	<u>1,103,725</u>	<u>899,204</u>	<u>1,561,720</u>	<u>558,062</u>	<u>1,803,631</u>
Total Assets	\$21,566,547	\$18,709,854	\$28,217,707	\$31,649,570	\$30,750,576
Liabilities and Fund Balances					
Liabilities					
Accounts Payable	\$4,704,650	\$6,129,128	\$8,552,590	\$6,317,697	\$8,715,967
Unearned Revenue	66,369	301,001	83,348	451,318	146,980
Due to Other Funds	<u>2,279</u>	<u>201,209</u>	<u>1,238,630</u>	<u>90,212</u>	<u>624,562</u>
Total Liabilities	\$4,773,298	\$6,631,338	\$9,874,568	\$6,859,227	\$9,487,509
Fund Balances					
Nonspendable	\$29,177	\$72,409	\$68,117	\$30,619	\$564,439
Restricted	3,037,106	2,741,925	12,985,022	6,750,193	4,860,370
Committed	0	0	0	14,839,030	10,187,703
Assigned	11,443,966	5,996,582	2,400,000	130,501	2,328,555
Unassigned	<u>2,283,000</u>	<u>3,267,600</u>	<u>2,890,000</u>	<u>3,040,000</u>	<u>3,322,000</u>
Total Fund Balances	\$16,793,249	\$12,078,516	\$18,343,139	\$24,790,343	\$21,263,067
Total Liabilities and Fund Balances	\$21,566,547	\$18,709,854	\$28,217,707	\$31,649,570	\$30,750,576

The following table sets forth the District's audited General Fund activity for fiscal years 2014-15 through 2017-18, estimated activity for fiscal year 2018-19, and budgeted activity for fiscal year 2019-20.

**General Fund Activity
Natomas Unified School District**

	2014-15 <u>Audited</u>	2015-16 <u>Audited</u>	2016-17 <u>Audited</u>	2017-18 <u>Audited</u>	2018-19 <u>Estimated</u>	2019-20 <u>Adopted Budget</u>
Beginning Balance	\$16,793,249	\$12,078,516	\$18,343,139	\$24,790,343	\$21,263,067	\$17,790,756
Special Reserve for OPEB ¹	<u>n/a</u>	<u>n/a</u>	<u>n/a</u>	<u>n/a</u>	<u>(132,380)</u>	<u>(133,280)</u>
Adjusted Beginning Balance	\$16,793,249	\$12,078,516	\$18,343,139	\$24,790,343	\$21,130,687	\$17,657,476
Revenues						
Local Control Funding	\$68,225,118	\$79,928,920	\$85,237,184	\$85,668,207	\$96,747,096	\$102,331,894
Federal Revenues	4,775,535	5,471,126	5,763,498	4,882,524	6,399,946	5,162,787
Other State Revenues	5,629,923	11,805,923	9,900,079	9,395,607	10,281,558	7,909,625
Other Local Revenues	<u>4,990,810</u>	<u>4,495,683</u>	<u>4,696,894</u>	<u>6,310,622</u>	<u>6,417,010</u>	<u>4,953,387</u>
Total Revenues	\$83,621,386	\$101,701,652	\$105,597,655	\$106,256,960	\$119,845,610	\$120,357,693
Expenditures						
Certificated Salaries	\$42,929,798	\$44,594,523	\$45,811,503	\$45,841,842	\$51,942,057	\$53,235,026
Classified Salaries	15,079,869	15,917,059	17,476,870	18,172,886	20,050,215	21,072,784
Employee Benefits	16,962,915	18,871,096	19,535,808	21,758,355	25,790,560	28,481,838
Books and Supplies	4,481,862	5,586,746	6,050,533	5,856,967	8,415,686	5,360,684
Contracts and Operating Exp.	8,839,178	10,390,463	10,191,178	14,881,375	15,545,757	11,955,976
Capital Outlay	58,910	469,492	380,109	3,310,605	1,533,330	563,904
Other Outgo	<u>1,045,428</u>	<u>743,285</u>	<u>1,168,716</u>	<u>1,209,920</u>	<u>739,372</u>	<u>731,800</u>
Total Expenditures	\$89,397,960	\$96,572,664	\$100,614,717	\$111,031,950	\$124,016,977	\$121,402,012
Other Financing Sources	\$1,061,841	\$1,135,635	\$1,464,266	\$1,247,714	\$698,156	\$764,238
Net Increase (Decrease)	(\$4,714,733)	\$6,264,623	\$6,447,204	(\$3,527,276)	(\$3,473,211)	(\$280,081)
Ending Balance	\$12,078,516	\$18,343,139	\$24,790,343	\$21,263,067	\$17,657,476	\$17,377,395
Special Reserve for OPEB ¹	<u>n/a</u>	<u>n/a</u>	<u>n/a</u>	<u>n/a</u>	<u>133,280</u>	<u>134,180</u>
Ending Balance, GAAP Basis	\$12,078,516	\$18,343,139	\$24,790,343	\$21,263,067	\$17,790,756	\$17,511,575

¹The District has implemented *Government Accounting Standard Board Statement No. 54, Fund Balance Reporting and Government Type Definitions* ("GASB 54"), the effect of which was to reclassify and restate the District's Fund 20 - Special Reserve Fund for Postemployment Benefits within the General Fund. However, the District's internal reporting, including the fiscal year 2018-19 estimated actuals and 2019-20 adopted budget, does not reflect the implementation of GASB 54, and therefore does not include activity within Fund 20 - Special Reserve Fund for Postemployment Benefits.

Figures may not total due to rounding.

Revenues

The District categorizes its General Fund revenues into four primary sources: LCFF, federal revenues, other State revenues and other local revenues.

Local Control Funding Formula (LCFF). For nearly half a century, State school districts operated under general purpose revenue limit funding based on a district's average daily student attendance, much of which was restricted by category as to how each dollar could be spent. Revenue limit funding was calculated by multiplying a school district's ADA (using the greater of the current or prior year P-2 ADA) by the school district's revenue limit funding per ADA, with certain adjustments.

In landmark legislation effective fiscal year 2013-14, the State introduced a new formula, the local control funding formula ("LCFF"), originally scheduled to be phased in over eight years through fiscal year 2020-21. LCFF consolidated most categorical programs in order to give school districts more control over how to spend their revenues. At full implementation of LCFF, school districts will receive a uniform base grant per student based on grade span, a supplemental grant based on an unduplicated count of the targeted disadvantaged students ("unduplicated students") in the school district, and an additional concentration grant based on the number of unduplicated students in the school district above 55 percent, with qualifying schools receiving an additional necessary small school allowance. In fiscal year 2018-19, approximately 64.10 percent of the District's students were unduplicated students. The base, supplemental, and concentration grant amounts per student were set in fiscal year 2012-13 and are subject to cost-of-living adjustments thereafter. School districts that would otherwise receive less funding at full implementation of LCFF than they did under the revenue-limit system are also guaranteed an additional Economic Recovery Target ("ERT") grant to restore funding to at or above their pre-recession funding, adjusted for inflation. The ERT add-on is paid incrementally over the LCFF implementation period. In fiscal year 2018-19, the District's LCFF funding at full implementation is estimated to be \$96,747,096, comprised of \$82,308,798 in base grant funding, \$10,551,987 in supplemental grant funding, \$3,745,050 in concentration grant funding, and \$141,261 in add-on funding.

To calculate LCFF funding during the phase-in period, school districts calculate their "funding gap," the difference between LCFF funding calculated at full implementation and their "funding floor," an amount based on fiscal year 2012-13 funding levels under the revenue limit system adjusted for prior LCFF phase-in adjustments. School districts receive their funding floor plus a percentage of their funding gap as specified in the State budget. In fiscal year 2018-19, the State budgeted funding 100 percent of the remaining gap. In fiscal year 2018-19, the District's funding floor is estimated to be \$88,966,170, with gap funding estimated to be \$7,780,926. See "FUNDING OF PUBLIC EDUCATION IN THE STATE" herein for more information about LCFF.

Set forth in the following table is the District's funded ADA by grade span and the percentage of unduplicated student enrollment for fiscal years 2013-14 through 2017-18, and estimated data for fiscal years 2018-19 and 2019-20.

Funded ADA and Unduplicated Student Enrollment Percentage¹
Natomas Unified School District

<u>Fiscal Year</u>	<u>Funded ADA Grades TK-3</u>	<u>Funded ADA Grades 4-6</u>	<u>Funded ADA Grades 7-8</u>	<u>Funded ADA Grades 9-12</u>	<u>Total Funded ADA</u>	<u>Unduplicated Student Enrollment Percentage²</u>
2013-14	3,227.22	2,256.30	863.52	2,612.51	8,959.55	63.3%
2014-15	3,318.80	2,181.80	936.55	2,824.08	9,261.23	63.6
2015-16	3,409.10	2,167.67	1,059.66	2,931.80	9,568.23	62.8
2016-17	3,407.29	2,169.16	1,064.09	2,972.25	9,612.79	62.1
2017-18	3,226.57	2,109.23	1,005.88	3,121.55	9,463.23	62.1
2018-19 ³	3,316.84	2,200.41	1,097.22	3,213.01	9,827.48	64.1
2019-20 ³	3,349.34	2,232.91	1,129.72	3,245.51	9,957.48	66.0

¹Charter school enrollment not included.

²For purposes of calculating supplemental and concentration grants, a school district's fiscal year 2013-14 percentage of unduplicated students is determined solely as the percentage of its fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated students is based on the two-year average of unduplicated student enrollment in fiscal years 2013-14 and 2014-15. Beginning in fiscal year 2015-16, a school district's percentage of unduplicated student enrollment is based on a rolling average of such district's unduplicated student enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

³Estimated.

Set forth in the following table is the District's actual LCFF funding per ADA for fiscal years 2013-14 through 2017-18 and estimated LCFF funding per ADA for fiscal years 2018-19 and 2019-20.

**LCFF Funding per ADA
Natomas Unified School District**

<u>Fiscal Year</u>	<u>Funded ADA¹</u>	<u>Average LCFF Funding per ADA²</u>	<u>Average LCFF Funding per ADA at Full Implementation</u>
2013-14	8,959.55	\$6,622	\$9,083
2014-15	9,261.23	7,381	9,196
2015-16	9,568.23	8,353	9,252
2016-17	9,612.79	8,837	9,219
2017-18	9,463.23	9,080	9,387
2018-19 ³	9,827.48	9,827	9,827
2019-20 ³	9,957.48	10,277	10,277

¹Funded ADA is the greater of current year P-2 ADA and prior year P-2 ADA.

²Represents average LCFF funding per ADA across grade spans.

³Estimated.

Funding of the District's LCFF is accomplished by a mix of a) local taxes (composed predominantly of property taxes, and including miscellaneous taxes and certain community redevelopment funds, if any) and b) State apportionments of basic and equalization aid. The majority of the District's LCFF funding comes from State apportionments.

LCFF revenues were 80.7 percent of General Fund revenues in fiscal year 2016-17, were 80.6 percent of General Fund revenues in fiscal year 2017-18, are estimated to be 80.7 percent of General Fund revenues in fiscal year 2018-19 and are budgeted to be 85.0 percent of General Fund revenues in fiscal year 2019-20.

Federal Revenues. The federal government provides funding for several District programs. These federal revenues, most of which historically have been restricted, were 5.5 percent of General Fund revenues in fiscal year 2016-17, were 4.6 percent of General Fund revenues in fiscal year 2017-18, are estimated to be 5.3 percent of General Fund revenues in fiscal year 2018-19 and are budgeted to be 4.3 percent of General Fund revenues in fiscal year 2019-20.

Other State Revenues. In addition to apportionment revenues, the State provides funding to the District for categorical programs. Many categorical programs previously classified as other State revenues were incorporated under LCFF in fiscal year 2013-14, causing a reduction in other State revenues. These other State revenues were 9.4 percent of General Fund revenues in fiscal year 2016-17, were 8.8 percent of General Fund revenues in fiscal year 2017-18, are estimated to be 8.6 percent of General Fund revenues in fiscal year 2018-19 and are budgeted to be 6.6 percent of General Fund revenues in fiscal year 2019-20. Included in other State revenues are proceeds received from the State from the State lottery. The District does not receive pass-through payments from the dissolution of redevelopment agencies.

Other Local Revenues. Revenues from other local sources were 4.4 percent of General Fund revenues in fiscal year 2016-17, were 5.9 percent of General Fund revenues in fiscal year 2017-18, are estimated to be 5.4 percent of General Fund revenues in fiscal year 2018-19 and are budgeted to be 4.1 percent of General Fund revenues in fiscal year 2019-20.

Expenditures

The largest components of a school district's general fund expenditures are certificated and classified salaries and employee benefits. Changes in salary and benefit expenditures from year to year are generally based on changes in staffing levels, negotiated salary increases, and the overall cost of employee benefits. Even with no negotiated salary increases or changes in staffing levels, normal "step and column" advancements on the salary scale result in increased salary expenditures.

At the time the District prepared its fiscal year 2019-20 budget, the District had not completed negotiations with NTA nor its management and confidential employees to finalize salary and benefit increases for the fiscal year. However, the District included an estimated 3.0 percent salary and benefit increase in its fiscal year 2019-20 budget for certificated as well as management and confidential employees.

Employee salaries and benefits were 82.3 percent of General Fund expenditures in fiscal year 2016-17, were 77.3 percent of General Fund expenditures in fiscal year 2017-18, are estimated to be 78.8 percent of General Fund expenditures in fiscal year 2018-19 and are budgeted to be 84.7 percent of General Fund expenditures in fiscal year 2019-20.

Short-Term Borrowings

The District has no short-term debt outstanding.

The District has in the past issued short-term tax and revenue anticipation notes. Proceeds from the issuance of notes by the District have been used to reduce inter-fund dependency and to provide the District with greater overall efficiency in the management of its funds. The District has not defaulted on any of its short-term borrowings in the past ten years.

Capitalized Lease Obligations

The District has made use of various capital lease arrangements under agreements that provide for title of items and equipment being leased to pass to the District upon expiration of the lease period. As of June 30, 2018, the District had \$334,183 in capital lease arrangements outstanding.

In September 2015, the District issued Certificates of Participation (2015 Financing Project) (the “2015 COP”) in the aggregate principal amount of \$8,995,000. The 2015 COP was prepaid on June 1, 2018 from the proceeds of general obligation bonds issued by the District.

In January 2019, the District issued Certificates of Participation (2019 Financing Project) (the “2019 COP”) in the aggregate principal amount of \$56,450,000.

The District’s outstanding certificates of participation as of June 30, 2019 are set forth in the following table.

Outstanding Certificates of Participation Natomas Unified School District

<u>Issue</u>	<u>Date Issued</u>	<u>Amount Issued</u>	<u>Final Maturity</u>	<u>Outstanding as of June 30, 2019</u>	<u>Debt Service in Fiscal Year 2019-20</u>
2019 COP	January 31, 2019	\$56,450,000	December 1, 2043	\$56,450,000	\$2,258,000

Long-Term Borrowings

On January 21, 1999, the District issued the Natomas Unified School District (Sacramento County, California) 1999 Refunding General Obligation Bonds (the “1999 Refunding Bonds”) in the aggregate principal amount of \$22,450,000 to refund portions of authorized bonds previously issued by the District.

On November 5, 2002 (the “2002 Election”), more than 55 percent of voters in the District voting on the proposition approved the issuance by the District of not-to-exceed \$45,880,000 of general obligation bonds to improve school facilities. On May 1, 2003, the District issued the Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2002, Series 2003A (the “Series 2003A Bonds”) in the aggregate principal amount of \$15,295,000. On August 17, 2004, the County, on behalf of the District, issued the Natomas Unified School District (Sacramento County, California)

General Obligation Bonds, Election of 2002, Series 2004B (the “Series 2004B Bonds”) in the aggregate principal amount of \$30,584,687. There is no remaining authorization from the 2002 Election.

On June 6, 2006 (the “2006 Election”), more than 55 percent of voters in the District voting on the proposition approved the issuance by the District of not-to-exceed \$145.5 million of general obligation bonds to improve school facilities. On April 1, 2006, the District issued the Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2006, Series 2006 Bonds (the “Series 2006 Bonds”) in the aggregate principal amount of \$60,000,000. On August 1, 2007, the District issued the Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2006, Series 2007 Bonds (the “Series 2007 Bonds”) in the aggregate principal amount of \$54,999,999. There is approximately \$30,500,000 unused authorization remaining from the 2006 Election.

On June 19, 2012, the District issued the Natomas Unified School District (Sacramento County, California) 2012 General Obligation Refunding Bonds (the “2012 Refunding Bonds”) in the aggregate principal amount of \$18,165,000 to refund a portion of the Natomas Unified School District (County of Sacramento, California) General Obligation Bonds, Series 2001 and a portion of the Series 2003A Bonds.

On June 6, 2013, the District issued the Natomas Unified School District (Sacramento County, California) 2013 General Obligation Refunding Bonds (the “2013 Refunding Bonds”) in the aggregate principal amount of \$27,265,000, an amount sufficient to call on September 1, 2013 the current interest bond component of the Series 2004B Bonds maturing September 1, 2014 through September 1, 2017, inclusive, and September 1, 2023 through September 1, 2028, inclusive (the “Series 2004B Current Interest Bonds”) along with capital appreciation bond component of the Series 2004B Bonds maturing September 1, 2018 through September 1, 2022, inclusive (the “Series 2004B Capital Appreciation Bonds”). Subsequent to the issuance of the 2013 Refunding Bonds and prior to the September 1, 2013 call date, the District became aware of documentation, including a second version of an official statement for the Series 2004B Bonds posted to EMMA, which called into question whether the Series 2004B Capital Appreciation Bonds were in fact callable. Consequently, while the Series 2004B Current Interest Bonds were called on September 1, 2013, the Series 2004B Capital Appreciation Bonds were not called.

Since the Series 2004B Capital Appreciation Bonds were not redeemed within 90 days of issuance of the 2013 Refunding Bonds or on their first available call date thereafter, the District submitted a request for a voluntary closing agreement with the Internal Revenue Service through its Voluntary Closing Agreement Program (“VCAP”) to maintain the tax-exempts status of the 2013 Refunding Bonds. Approximately \$6.29 million of the proceeds of the 2013 Refunding Bonds associated with the refunding the Series 2004B Capital Appreciation Bonds were held in a non-interest bearing custodial account by the escrow agent for the Series 2004B Capital Appreciation Bonds and used to defease a portion of the Series 2004B Capital Appreciation Bonds on April 8, 2015. On April 17, 2015, the District entered into an agreement with the Internal Revenue Service through VCAP preserving the exclusion of interest on the 2013 Refunding Bonds from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code.

On December 23, 2014, the District issued the Natomas Unified School District (Sacramento County, California) 2014 General Obligation Refunding Bonds (the “2014 Refunding Bonds”) in the aggregate principal amount of \$52,530,000 to refund a portion of the Series 2006 Bonds.

On July 30, 2015, the District issued the Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2014, Series 2015, in the aggregate principal amount of \$69,500,000 authorized under an election held on November 4, 2014 (the “2014 Election”) whereby more than 55 percent of voters in the District voting on the proposition approved the issuance by the District of not-to-exceed \$129.0 million of general obligation bonds to improve school facilities. On February 14, 2017, the District issued the Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2014, Series 2017 (the “Series 2017 Bonds”) in the aggregate principal amount of \$39,000,000. There is approximately \$20.5 million unused authorization remaining from the 2014 Election. Simultaneously with the Series 2017 Bonds, the District issued the Natomas Unified School District (Sacramento County, California) 2017 General Obligation Refunding Bonds (the “2017 Refunding Bonds”) in the aggregate principal amount of \$32,130,000 to refund a portion of the Series 2007 Bonds and all of the outstanding Natomas Unified School District (Sacramento County, California) 2008 General Obligation Refunding Bonds.

On November 6, 2018 (the “2018 Election”), more than 55 percent of voters in the District voting on the proposition approved the issuance by the District of not-to-exceed \$172.0 million of general obligation bonds to improve school facilities. The Bonds represent the first series of general obligation bonds to be issued by the District under the 2018 Election.

The following table summarizes the District's outstanding long-term indebtedness as of June 30, 2019.

**Outstanding General Obligation Bonds
Natomas Unified School District**

<u>Authorization</u>	<u>Issue</u>	<u>Final Maturity</u>	<u>Principal Amount Issued</u>	<u>Principal Outstanding as of June 30, 2019¹</u>	<u>Debt Service in Fiscal Year 2019-20</u>
Refunding	1999 Refunding	September 1, 2021	\$22,450,000	\$1,730,000	\$800,646
2002 Election	Series 2004B	September 1, 2028	30,584,687	720,538 ¹	420,000
2006 Election	Series 2007	August 1, 2032	54,999,999	17,497,181 ¹	3,790,000
Refunding	2012 Refunding	September 1, 2026	18,165,000	12,750,000	1,548,100
Refunding	2013 Refunding	September 1, 2028	27,265,000	21,950,000	2,257,950
Refunding	2014 Refunding	August 1, 2030	52,530,000	49,485,000	2,599,181
2014 Election	Series 2015	August 1, 2040	69,500,000	64,650,000	2,622,925
Refunding	2017 Refunding	August 1, 2032	32,130,000	27,920,000	2,839,000
2014 Election	Series 2017	August 1, 2042	39,000,000	<u>37,810,000</u>	<u>2,635,400</u>
			Total	\$234,512,719	\$19,513,203

¹Excludes the accreted value of capital appreciation bonds.

The District has not defaulted on the payment of principal of or interest on any of its long-term indebtedness in the past ten years.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES

Background

From the Separation of Sources Act (1910) until Proposition 13 (1978), local governments had control over property tax rates and revenues within their jurisdiction. Voter approval was not required for most taxes, charges or fees imposed by local governments. Each school district in the State raised revenue by taxing local property owners according to a tax rate established by its governing board, subject to voter approval, and received some supplemental funds from the State. The State's role in providing for public education and education facilities was limited during this time. Local school districts relied largely on general obligation bonds as the primary source of funding for school facilities.

The passage of Proposition 13 brought this local property tax system to an end, fundamentally changing local government finance. Local government entities are no longer authorized to levy a general tax rate. Instead, they share in the revenues generated by Proposition 13's countywide tax rate. In the year following the passage of Proposition 13, local property tax revenue across the State fell approximately 60 percent. In order for school districts to continue operating, the State had to assume primary responsibility for public school funding, replacing the lost property tax revenue with moneys from the State general fund. As a result of Proposition 13, control over revenues shifted away from local school districts to the State government. Proposition 13 also eliminated the ability of school districts to issue bonds; for a decade, the State provided some of the cost of school facilities projects until the passage of Proposition 46 (1986) restored the ability of school districts to issue such bonds.

Article XIII A of the State Constitution

Article XIII A, added to the State Constitution by Proposition 13 and amended over time, limits the *ad valorem* tax rate that can be levied on real property to one percent of its "full cash value" except to pay debt service, discussed below. "Full cash value" is defined as the property's assessed value as of the fiscal year 1975-76 tax bill, annually increased by the lesser of either two percent or the rate of inflation. Subsequently, the property is reappraised for tax purposes upon a change in ownership or new construction. Several types of changes in ownership and construction have been exempted from the reassessment requirement by amendment, including improvements for seismic retrofit, solar energy, fire prevention, disability

access, certain purchases of replacement dwellings for persons over age 55 and by property owners whose original property is destroyed in a declared disaster, and certain transfers of property between family members.

In most years, the market value of a property increases at a rate greater than the maximum two percent increase a county is allowed to calculate. As amended by Proposition 8 (1978), Article XIII A allows for a county to temporarily reduce the assessed value to current market value when the market value of the property falls below the property's adjusted acquisition value due to an economic recession, natural disaster or other cause of damage. In years in which reduced reassessments are widespread, property tax revenue available to local governments such as school districts is reduced. Pursuant to interpretation of the Revenue and Taxation Code and upheld by State courts, once the market has rebounded or the property has been repaired to substantially its original condition, a county may increase the assessed value of the property at a rate greater than two percent annually until it has reached the property's pre-decline assessed value.

As a result of these laws, real property that has been owned by the same taxpayer for many years can have an assessed value that is much lower than the market value of the property and of similar properties more recently sold. Likewise, changes in ownership of property and reassessment of such property to market value commonly lead to increases in aggregate assessed value even when the rate of inflation or consumer price index would not permit the full two percent increase on any property that has not changed ownership. Any increase or decrease in assessed valuation is allocated among the various jurisdictions.

The one percent tax is levied and collected by each county, and the revenue is apportioned by the county to each local government agency in the taxing area roughly in proportion to the relative shares of taxes as levied prior to 1979. Local government agencies, including school districts, may not directly levy any *ad valorem* tax, unless the tax is levied to pay debt service (interest and redemption charges) on a local government's indebtedness approved by voters prior to July 1, 1978, or, thereafter, as amended by Proposition 46 (1986), bonded indebtedness for the acquisition or improvement of real property approved by a two-thirds majority. In addition, Proposition 39 (2000) added a provision allowing for a lowered voter approval rate specifically for bonds to fund school facilities projects. A school district or community college district may levy *ad valorem* taxes in excess of one percent with 55 percent voter approval if the bonds will be used for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities. The measure must include the specific list of projects to be funded and certification that the school district's governing board has evaluated safety, class size reduction, and information technology needs in developing the list, and must conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Pursuant to legislation, the projected tax rate per \$100,000 of taxable property value levied as the result of any single election may be no more than \$60 in a unified school district, \$30 in a high school or elementary school district, or \$25 in a community college district. The District's 2018 Election was conducted pursuant to Proposition 39.

Article XIII B of the State Constitution

Article XIII B, added to the State Constitution by Proposition 4 (1979) (the "Gann Limit"), amended by Proposition 111 (1990), limits the amount of certain funds, including tax revenues, that may be annually appropriated by the State and local governments, including school districts, to the amount appropriated the prior year, adjusted to reflect the rate of economic growth by measuring the change in *per capita* personal income and population. Certain payments are exempt from the appropriations limit calculation, including debt service payments; certain benefit payments, mandated expenses, State payments to school districts and community college districts, increases in revenues gained from fuel, vehicle and tobacco taxes, emergency appropriations; and qualified capital outlay projects (projects involving fixed assets such as land or construction that have an expected life of more than 10 years and a value greater than \$100,000).

Tax revenues in excess of the appropriation limit are shared between increased education funding and taxpayer rebates. Calculated over two years, half of any excess is transferred to K-14 school districts and half is returned to taxpayers through a revision of tax rates within two fiscal years. Any such excess revenues transferred to K-14 school districts are not counted as part of the school districts' base expenditures for calculating their entitlement for State aid in the next year, nor is the State's appropriations limit increased by this amount. If a K-14 school district's revenues exceed its appropriations limit, the school district may increase its appropriations limit to equal its spending by borrowing from the State's appropriations limit.

Articles XIIC and XIID of the State Constitution

Articles XIIC and XIID, added to the State Constitution by Proposition 218 (1996) and amended over time, limit the ability of local governments, including school districts, to levy and collect non-*ad valorem* taxes, assessments, fees and charges. The law establishes that a tax must be either a “general” tax, requiring the approval of a simple majority of voters, the proceeds of which can only be used for general government purposes, or a “special” tax, requiring the approval of two-thirds of voters, the proceeds of which are used for a specific purpose, or if the tax is levied by a special-purpose government agency, including a school district. Any tax levied on property, other than the *ad valorem* tax governed by Article XIIC, is a special tax, requiring the approval of two-thirds of voters. Special-purpose government agencies, such as a school district, cannot levy general taxes.

Article XIIC also provides that the initiative power shall not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. A portion of the District’s revenues are received annually from property taxes. The State Constitution and the laws of the State impose a mandatory, statutory duty on the County Director of Finance to levy a property tax sufficient to pay debt service on the Bonds coming due in each year. There is no court case which directly addresses whether the initiative power may be used to reduce or repeal the *ad valorem* taxes pledged to repay general obligation bonds. In the case of *Bighorn-Desert View Water Agency v. Virgil (Kelley)* (the “Bighorn Decision”), the California Supreme Court held that water service charges may be reduced or repealed through a local voter initiative subject to Article XIIC. The Supreme Court did state that it was not holding that the initiative power is free of all limitations. Such initiative power could be subject to the limitations imposed on the impairment of contracts under the contract clause of the United States Constitution. Legislation adopted in 1997 provides that Article XIIC shall not be construed to mean that any owner or beneficial owner of a municipal security assumes the risk of or consents to any initiative measure that would constitute an impairment of contractual rights under the contracts clause of the United States Constitution.

The initiative power can be used to reduce or repeal most local taxes, assessments, fees and charges. Article XIID deals with assessments and property-related fees and charges and expressly cautions that its provisions shall not be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development; however it is not clear whether the initiative power is available to repeal or reduce developer and mitigation fees imposed by the District. The District has no power to impose taxes except those property taxes associated with a general obligation bond election, following approval by 55 percent or two-thirds of the District’s voters, depending upon the legal authority for the issuance of such bonds.

As amended by Proposition 26 (2010), the law defines any levy, charge, or exaction of any kind imposed by a local government as a tax requiring voter approval. The following exceptions do not require voter approval: a reasonable charge for a specific benefit, privilege, product or service that is received only by the payor of the charge; a reasonable charge for regulatory costs of issuing a license or permit, performing an inspection or audit, or enforcing an order; a charge for use, rental, or purchase of government property; a charge, fine or penalty for violation of law; and assessments and property-related fees imposed as a condition of property development. Although such fees and charges levied by one taxing jurisdiction do not directly impact the amount of revenue available to another taxing jurisdiction from *ad valorem* property taxes, if the ability to impose the fee or charge is restricted, it could indirectly impact such revenues.

Minimum Guarantee of State Funding for Education

Proposition 98 (1988), added Article XVI to the State Constitution, requiring that “from all State revenues there shall first be set apart the moneys to be applied by the State for support of the public school system and higher education.” Known as the “minimum guarantee,” funding for K-14 school districts, made up of a combination of State general fund income tax revenues and local property tax revenues, must be the greater of either the same percentage of State general fund revenues as was appropriated in fiscal year 1986-87, or the amount actually appropriated to such districts from the State general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The minimum guarantee allocated each year, determined by a set of tests, is approximately 40 percent or more of State general fund revenues. The amount of the minimum guarantee is not finalized until the final economic analysis is completed for a fiscal year; if the revisions result in a higher minimum guarantee than was budgeted, the State makes a one-time “settle-up” payment and uses the increased minimum to calculate the subsequent year’s funding, as described below. If the revised minimum guarantee is lower than budgeted, the State can use the higher level or make mid-year adjustments to reduce funding.

“Test 1” (share of the State general fund) allocates approximately 41 percent of the State general fund revenue to K-14 school districts. Test 1, in which the amount of the minimum guarantee is based on the share of the State general fund revenue spent

on K-14 education funding in fiscal year 1986-87, only applies if Test 2 or Test 3 (described below) does not result in additional funding for K-14 school districts. Test 1 has been used four times in the last 30 years, including fiscal year 2014-15.

“Test 2” (change in *per capita* personal income) provides that K-14 school districts receive the same amount of funding received in the prior year, adjusted for year-over-year statewide changes in K-12 attendance and *per capita* personal income. Test 2 is used if it results in more funding for K-14 school districts than Test 1 (unless Test 3 applies instead). Test 2 has been used in 15 of the past 30 years, including fiscal years 2017-18 and 2018-19.

“Test 3” (change in general fund revenue) provides that K-14 school districts receive the same amount of funding received in the prior year, adjusted for year-over-year statewide changes in K-12 attendance and general fund revenue; this calculation is only used if the percentage change in *per capita* State general fund revenue is less than the change in *per capita* personal income. Test 3 has been used in nine of the past 30 years, including fiscal years 2015-16 and 2016-17.

In years of economic hardship, the State Legislature can suspend the minimum guarantee for a year by a two-thirds vote, which also triggers the maintenance factor obligation, to be restored in later years. Such suspension has only occurred twice, in fiscal years 2004-05 and 2010-11.

The State creates a maintenance factor obligation when Test 3 is operative or when the minimum guarantee is suspended. In any year in which Test 3 is used, the difference between the actual amount of funding provided and the amount that would have been appropriated, under the larger amount of either Test 1 or Test 2, is considered a “maintenance factor” credit to K-14 school districts, to be restored in future years when State revenue growth rebounds to exceed personal income. The State constitution requires the maintenance factor be paid off in annual amounts determined by formula, with stronger revenue growth generally requiring larger payments.

The State Legislature has the authority to spend more than the minimum guarantee, although any increase creates a higher minimum floor for the following year; this has occurred from time to time. At times, the State also has had outstanding one-time Proposition 98 obligations known as “settle-up” obligations. A settle-up obligation is created when the minimum guarantee increases midyear and the State does not make an additional payment within that fiscal year to meet the higher guarantee. The increased amount is used as the base for the following year’s minimum guarantee. Settle-up funds can be used for any educational purpose, including paying off other state one-time obligations, such as deferrals and mandates.

Community Redevelopment and Revitalization

Beginning with the Community Redevelopment Act (1945) under Article XVI of the State Constitution, amended over time, until the termination and dissolution of the program in 2011, a local government could improve an economically depressed area by creating a redevelopment agency (an “RDA”) to pay for development projects with the future increase in property tax revenue, or “tax increment,” attributable to the growth in assessed value of taxable property within the project area when the project was complete. However, the allocation of the tax increment to the local RDA caused a reduction in the one percent countywide property tax levy for other local taxing agencies, including school districts, although *ad valorem* property taxes in excess of the one percent property tax levy collected for payment of debt service on school district bonds were not affected. Although a school district could negotiate with the RDA for “pass-through” payments of local tax revenues, because the State was replacing the school district’s lost tax revenue, there was little incentive for most school districts to negotiate for greater amounts of pass-through from the RDAs. The State’s share of reimbursements to such school districts soared into the hundreds of millions of dollars per year.

Facing economic crisis, Assembly Bill, First Extended Session 26 (“AB1X 26”) (2011), upheld by the State Supreme Court in *California Redevelopment Association v. Matosantos* (2011), was enacted to dissolve the more than 400 RDAs in the State to preserve funding for core public services at the local level. Successor agencies were established to facilitate the management of projects underway, making payments on enforceable obligations, and disposing of assets and properties. Senate Bill 107 (2015) streamlined the dissolution process and expanded the types of loans for which cities and counties can seek reimbursement. Some school districts receive pass-through payments during the dissolution process. See “DISTRICT FINANCIAL INFORMATION—Revenues” herein.

Assembly Bill 2 (“AB2”) (2015), the result of several legislative efforts to replace the redevelopment law in order to provide local government options for sustainable community economic development, is a limited version of the former law, targeting only the State’s most impoverished areas. AB2 allows a local government to create a community revitalization investment

area (“CRIA”) if several conditions are met, including measures of unemployment, crime, and dilapidated infrastructure and residential structures, which are required to insure that the CRIA process is actually used for the intended purpose of alleviating blight. Significantly, school districts are prohibited from participating in the CRIA; because schools may not contribute their share of the tax increment to the project area, the funding impact to schools and the State is avoided. Assembly Bill 2492 (2016) was enacted that clarified implementation issues of AB2.

Limits on State Authority Over Local Tax Revenues

State and local governments’ funding and responsibilities are interrelated. Both levels of government share revenues raised by certain taxes such as sales and fuel taxes, and both also share in the costs for some programs such as health and social services. Although the State does not receive local property tax revenue, it has had authority over the distribution of these revenues among local agencies and school districts. Under Article XIII, the State had the authority to permanently shift property taxes among local governments. At times, the State fulfilled some portion of the Proposition 98 minimum guarantee by shifting some of the property tax revenues share belonging to cities, counties, other special districts and redevelopment agencies to K-14 school districts through an Educational Revenue Augmentation Fund (“ERAF”) established in each county.

Proposition 1A (2004) amended Articles XI and XIII of the State Constitution to require two-thirds approval of the State Legislature to shift property tax revenues allocation between local governments, preventing the State from reducing the property tax share allocated to cities, counties, and special districts. However, the State could still transfer property tax revenues to schools in the case of severe fiscal hardship and two-thirds approval of the State Legislature.

Proposition 22 (2010) amended Articles XIII and XIX of the State Constitution to further restrict the State’s control over local property taxes in order to stabilize local government revenue sources. Even during times of severe fiscal hardship, the State could not take revenue derived from locally imposed taxes, such as parcel taxes, hotel taxes, utility taxes, and sales taxes, for State purposes, nor could the State delay distribution of tax revenues to local governments, redirect redevelopment agency property tax revenue to other local governments such as school districts, or shift money to the school districts under an ERAF. As a result, the State would have to take other actions to balance its budget in some years, such as reducing State spending or increasing State taxes. Proposition 22’s restriction of the State’s ability to shift local funds made K-14 school districts more directly dependent on the State general fund for Proposition 98 funding.

Temporary State Tax Increases

From 2008 to 2012, the State eliminated more than \$56 billion from State and local funding for local services including education, police, fire, and health care. Proposition 30 (2012) allows the State to levy a temporary sales tax (lasting four years) and income tax on high-income earners (lasting seven years), the revenues of which are dedicated to increased education funding and to balance the State budget. Existing law requires that in years in which the State’s general fund revenues grow by a large amount, funding for education must also be increased by a large amount. The tax revenues allocated to education as part of the minimum guarantee are deposited into the Education Protection Account (“EPA”), recalculated and distributed quarterly to K-14 school districts (89 percent to K-12 school districts and 11 percent to community college districts) as a continuing appropriation not subject to budget adoption. The funds are distributed in the same manner as existing unrestricted per-student funding. The Proposition 30 tax revenue is included in the Proposition 98 calculation, raising the guarantee by billions each year. The remaining Proposition 30 tax revenues will be used to balance the budget.

Proposition 55 (2016) extends the income tax increase on high-income taxpayers through the year 2030-31. Approximately half of the revenue raised by this measure is allocated to K-14 school districts. The measure also directs half of any excess revenues, up to a maximum of \$2 billion, for additional funding for Medi-Cal, if revenues exceed the constitutionally required education spending and the costs of government programs in place as of January 1, 2016. A portion would also be saved in reserves and spent on debt payments. Any remaining revenues would be available for any State purpose.

Enacted Budget Required for Disbursement of State Funds

In years in which the State Legislature has not enacted a budget by the required deadline, the fiscal year begins without an enacted budget, and the State has, in some cases, issued registered warrants or IOUs, to pay certain State employees’ wages and State debts. In 1988, during such a budgetary impasse, a taxpayers’ association argued that such warrants were not authorized without an enacted budget. In the case, known as *Jarvis v. Connell*, the State Court of Appeal held that without an

enacted budget, State funds may not be disbursed unless the payment is authorized by the State Constitution, as a continuing appropriation, or by federal mandate. This could affect school district budgets to the extent that, if there is neither an enacted budget nor emergency appropriation, State payments owed to school districts could be delayed unless they are required as a continuing appropriation or federal mandate.

State and School District Budgetary Reserves

Proposition 58 (2004) amended Article IV of the State Constitution to require the State to enact a balanced budget, in which estimated revenues would meet or exceed estimated expenditures in each year, and that mid-year adjustments be made if the budget fell out of balance. The law established the Budget Stabilization Account (the “BSA”) in the State’s general fund, which required a deposit of three percent of the State general fund each year.

Proposition 2 (2014) addressed the need for long-term financial stability in the State in the face of economic volatility by dedicating funds to pay down the State’s debt, changing the State’s reserve policies, and creating a separate budget reserve for K-14 school districts called the Public School System Stabilization Account (the “PSSSA”). The law reduced legislative discretion over the timetable for the repayment of State debts and required that 1.5 percent of the State general fund be deposited into the BSA annually, plus an additional amount when the State experiences spikes in capital gains tax revenue in excess of eight percent of State general fund revenues. The PSSSA, also funded with capital gains spikes, is drawn upon when the Proposition 98 minimum guarantee exceeds available State general fund and property tax revenues. Through 2030, half of the funds deposited each year into the BSA must be used to pay fiscal obligations such as budget loans and unfunded State level pension plans. Funds may be withdrawn from the BSA only for a disaster-related emergency or a fiscal emergency (which occurs if estimated resources in the current or upcoming fiscal year are insufficient to keep spending at the level of the prior three budgets adjusted for inflation and population). In the case of a recession, only half of the funds can be withdrawn. As a result, a large amount of incremental gains in the State’s general fund revenues are allocated to building reserves and repaying debt.

The State has a constitutional obligation to ensure that school districts continue to operate even in times of financial difficulty so that the education of students in the State is not disrupted. The State requires school districts to maintain a minimum reserve in their general fund’s reserve for economic uncertainties to help school districts manage cash flow, address unexpected costs, save for large purchases, reduce costs of borrowing money, and mitigate the volatility in funding produced by the reliance on tax revenue funding sources. The minimum reserve amount required depends on the size of the school district’s enrollment. Smaller school districts are required to keep a higher percentage of reserves because they are more easily overwhelmed by unexpected costs, such as a single major facility repair, which could deplete most of its reserves in a single year. School districts with enrollment of 300 or fewer students, which represent 25 percent of school districts in the State, must keep a minimum reserve of five percent of expenditures. School districts with enrollment of 301 to 1,000 students, which represent 17 percent of school districts in the State, must keep a minimum reserve of four percent. School districts with enrollment of 1,001 to 30,000 students, which represent 55 percent of school districts in the State, must keep a minimum reserve of three percent. School districts with enrollment of 30,001 to 400,000 students, which represent three percent of school districts in the State, must keep a minimum reserve of two percent. The one school district in the State with an enrollment of 400,001 or more students must keep a minimum reserve of one percent. Many school districts attempt to keep their reserve levels higher than State minimum requirements.

Senate Bill 858 (2014), enacted as trailing legislation to the fiscal year 2014-15 State budget, required K-12 school districts, in the event of a deposit by the State to the PSSSA, to reduce total assigned and unassigned reserves in the following year to no more than twice its minimum reserve for economic uncertainties, ranging from one to five percent of expenditures depending on the size of the school district. Senate Bill 751 (2018), signed into law on October 11, 2017 and effective January 1, 2018, makes certain changes to the cap on school district reserves, increasing both the State PSSSA deposit amount required to trigger the reserve cap (to three percent of State general fund revenues appropriated for K-12 school districts), and increasing the cap on individual school district reserves (to 10 percent of combined assigned and unassigned ending general fund balances). In addition, basic aid school districts and small school districts with fewer than 2,501 students are exempted from the cap. County education officials can exempt a school district from the cap if the school district demonstrates extraordinary fiscal circumstances, including undertaking multi-year infrastructure or technology projects. A smaller reserve could affect the school district’s financial condition in the event of an economic downturn. The District cannot predict when a deposit to the PSSSA might occur or whether future legislation will be enacted that changes this requirement.

School Facilities Funding

The Leroy F. Greene School Facilities Act (1998) established the State Facilities Program (“SFP”) to allocate funding grants based on proposals submitted by school districts for the new construction of or the modernization of existing school facilities, although the program has evolved to allow funding for other types of school facility needs including facility hardship, seismic mitigation, charter school facilities, relief of overcrowding, career technical education facilities, incentives for energy efficiency and high-performance architectural attributes, and joint-use programs with other government entities.

Funding for SFP grants comes from statewide general obligation bonds approved by the voters in the State. The State retires these bonds by making annual debt service payments. In fiscal year 2016-17, the State paid \$2.4 billion in debt service on previously issued K-12 facilities bonds and \$300 million in debt service on community college facilities bonds. Proposition 1A (1998) provided \$9.2 billion (\$6.7 billion for K-12 facilities), Proposition 47 (2002) provided \$13.2 billion (\$11.4 billion for K-12 facilities), Proposition 55 (2004) provided \$12.3 billion (\$10 billion for K-12 facilities), Proposition 1D (2006) provided \$10.4 billion (\$7.3 billion for K-12 facilities), and Proposition 51 (2016), the first initiative facilities bond measure, provides \$9 billion (\$6 billion for K-12 facilities).

Proposition 51 amends the Education Code, prescribing the fiscal allocation and purpose of the \$9 billion bond and establishing the 2016 State School Facilities Fund and the 2016 California Community College Capital Outlay Bond Fund in the State Treasury. Of the total amount, \$6 billion is allocated to K-12 facilities (half for new construction and half for modernization), \$500 million for charter schools, \$500 million for career technical education programs, and \$2 billion to community colleges. The Governor allotted \$653 million in Proposition 51 funds to be available for funding in fiscal year 2018-19.

In most cases, K-12 school and community college districts that receive funding for approved projects must match the funding with local funding according to the type of project. Projects for the purchase of land and new construction are matched evenly. Modernization projects require a match of 40 percent local funding to 60 percent State funding. If no local funding is available, the school district can apply for additional grant funding. Community college projects do not have a specified contribution model and are determined individually. K-12 school and community college districts may sell local general obligation bonds to cover the school district’s share of the cost of facility projects. K-12 school districts may also raise funds for facilities by charging fees on new development (community college districts may not). Both K-12 school and community college districts may also raise funds by parcel taxes and other methods used less frequently.

Impact of Future Legislation

Laws affecting school district funding and the power of State and local governments to raise and spend revenue have been subject to many changes as voters and lawmakers react to economic and political cycles. The complex patchwork of the many different provisions at times results in uncertainty regarding their operation or interpretation. Many of the laws discussed above were enacted through the State’s initiative process. Initiative constitutional amendments may be changed only by another statewide initiative. Legislative constitutional provisions may be changed by a majority vote of both houses of the State Legislature and approval by the Governor, if the change furthers the purposes of the provision. The District cannot predict whether or when the voters in the State or the State Legislature will approve further legislation that could restrict the District’s sources of revenue or its ability to spend that revenue, or require the District to appropriate additional revenue.

FUNDING OF PUBLIC EDUCATION IN THE STATE

Sources of Revenue for Public Education

There are four general sources of funding for K-12 public education in the State: the federal government, local property taxes, other local funding sources and State funding, the principal source of funding for most school districts. Proposition 13 eliminated the possibility of raising additional *ad valorem* property taxes above one percent for general-purpose school support, and the courts have declared that school districts may not charge fees for school-related activities, unless the charge is specifically authorized by law for a particular program or activity. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES” herein.

State Funding. Many school districts in the State receive the majority of their funds from the State. According to the State Legislative Analyst's Office (the "LAO"), State funding accounted for approximately 62 percent of the State's K-12 public education funding in fiscal year 2016-17 and approximately 61 percent in fiscal year 2017-18, and is budgeted to account for approximately 61 percent of funding in fiscal year 2018-19. There are three sources of State funds for K-12 public education: the Proposition 98 minimum guarantee, comprised of a combination of State general fund revenues and local property tax revenues, representing the majority (80 percent in fiscal year 2018-19) of State funding; additional State funds for targeted programs such as facilities and remaining categorical programs such as special education, nutrition, afterschool programs, and home-to-school transportation; and State lottery funds, a portion of which may only be used for instructional purposes. The Proposition 98 guaranteed minimum amount is set forth each year in the State budget. See "—The 2018-19 State Budget" herein.

More than 60 percent of the State's general fund revenue comes from personal income taxes, with capital gains taxes representing more than 10 percent of the State's general fund revenue, so a downturn in the stock market may significantly impact the State's general fund. Because funding for education in the State depends on the amount of money available in the State general fund, the linkage can result in significant volatility in education funding. For instance, during the recent recession in fiscal year 2011-12, State general fund revenues available for education funding were approximately eight percent less than the amount available four years prior. Provisions added to the State Constitution and statutes in 2013 and 2014 attempt to provide funding stability to public education by capturing spikes in capital gains revenue to use for paying down debts and obligations and to create reserves. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES" herein.

The State Revenue Limit was instituted in fiscal year 1973-74 to provide a mechanism to calculate the total amount of general-purpose revenue a school district, community college district or county office of education is entitled to receive from combined State and local sources per average daily attendance, known as its "revenue limit," and the funding from this calculation formed the bulk of school districts' income, and was annually increased to adjust for changes in the cost of living. The revenue limit for each school district or county office of education was funded first by the property tax revenue available to that entity, with the remaining balance filled by State funds. "Community-funded" districts whose local property tax revenues exceeded their calculated revenue limit did not receive State revenue limit funding, although such districts did receive the constitutionally required minimum funding, or "basic aid" per pupil, and categorical State and federal aid that was restricted to specific programs and purposes.

In landmark legislation, the fiscal year 2013-14 State budget replaced revenue limit funding with the LCFF. The LCFF transfers control over spending decisions to local authorities, requiring community input about those spending decisions along with increased transparency and accountability for the outcomes of those decisions. The general-purpose funds for school districts are now funneled through LCFF, and funds received through categorical programs are greatly reduced. As under the revenue limit system, the amount a school district is entitled to receive for general-purpose LCFF funds is financed through the local property tax revenue available to the school district, with the remaining balance funded by the State.

Most public education funding from the State is provided through the LCFF, including approximately 80 percent of Proposition 98 funding for K-12 public education. As under the revenue limit system, school districts continue to receive funds based on the greater of prior year or current year ADA figures. Under LCFF, school districts across the State receive the same base grants for each grade span, based on ADA. In fiscal year 2018-19, the adjusted base grants are \$8,235 for kindergarten through third grade, \$7,571 for fourth through sixth grade, \$7,796 for seventh through eighth grade, and \$9,269 for ninth through twelfth grade. These figures include increases for class size reduction for kindergarten through third grade and career technical education for ninth through twelfth grade.

School districts receive a supplemental grant of 20 percent of the base grant for each student in the school district who is low-income, English-learner, or foster youth. Enrollment counts are "unduplicated," such that students may not be counted as both English-learner and low-income (foster youth automatically meet the eligibility requirements for free or reduced-price meals, and are therefore not discussed separately). School districts with more than 55 percent enrollment of unduplicated students receive a concentration grant, an additional 50 percent of the base grant for each unduplicated student above the threshold, intended to address the additional academic challenges faced by such students when their peers are similarly disadvantaged. The supplemental and concentration grants are allocated so that as a school district's proportion of unduplicated students increases, so does its total funding allocation. A school district in which 100 percent of enrollment is unduplicated students will receive 42.5 percent more total funding than a school district with no unduplicated students. The supplemental and concentration grant amounts are based on the unduplicated count of pupils divided by the total enrollment in the school district, based on the fall P-1 certified enrollment report. School districts have broad discretion to decide how to spend the

base grant. The supplemental and concentration grants must be used to increase or improve services to the population they are intended to serve, although some services may be provided district- or site-wide.

The implementation of LCFF began in fiscal year 2013-14, with full implementation planned by fiscal year 2020-21, but budgeted to be completed ahead of schedule in fiscal year 2018-19. Until full implementation has occurred, the difference between the actual amount districts receive in a year and the target amount they will receive as of full implementation is referred to as the “funding gap.” The funding gap is determined by the difference between the “funding floor,” or amount of funding a school district received the prior year, and the target amount of funding the school district will receive at full implementation. The funding floor consists of the deficated revenue limit for fiscal year 2012-13 divided by ADA multiplied by current year ADA, plus the sum of any categorical funding. Sufficient funding was available to fund 12 percent of the funding gap in fiscal year 2013-14, 33 percent of the remaining gap in fiscal year 2014-15, 53 percent of the remaining gap in fiscal year 2015-16, 57 percent of the remaining gap in fiscal year 2016-17, 43 percent of the remaining gap in fiscal year 2017-18, and 100 percent of the remaining gap in fiscal year 2018-19, bringing LCFF to full implementation in the sixth year of its implementation.

Under the “hold harmless” provision, no school district will receive less State aid than it received in fiscal year 2012-13. Most districts will receive more funding at full implementation of LCFF than they did previously under the revenue-limit system. For some school districts, their per-pupil undeficated fiscal year 2012-13 funding was higher than their LCFF entitlement at full implementation. Such districts will have their undeficated funding level restored through a supplemental ERT add-on payment. School districts that are eligible for ERT funding will receive the difference between their LCFF target and their LEA’s fiscal year 2012-13 undeficated funding, adjusted for cost-of-living increases.

Community-funded districts continue to receive at least the amount of State funding they received in fiscal year 2012-13. Although community-funded districts do not receive LCFF funding grants, they must comply with the regulations and accountability requirements of LCFF. Community-funded districts also continue to receive the constitutionally guaranteed \$120 per-pupil minimum as well the \$200 per-pupil minimum from the EPA pursuant to Proposition 30 as additional revenue. The District is not a community-funded district.

The State funds school districts in monthly installments based on calculations made in a series of three apportionments throughout the fiscal year. Each apportionment includes funding for the LCFF and for other State programs. The amount of each apportionment is based on calculations made by each school district and reviewed by its county office of education. The Advance Principal Apportionment (“Advance Apportionment”), certified by July 20, sets forth the amount the school district will receive for the year, paid in a series of installments from August through January. The First Principal Apportionment (“P-1 Apportionment”), certified by February 20, set forth a new calculation based on the school district’s first period ADA determined as of December, for installments that will be paid to the school district from February through June. The Second Principal Apportionment (“P-2 Apportionment”), certified July 2, based on second period ADA determined as of April, recalculates the amount of the final installment for the fiscal year paid to the school district in July. At the close of the fourth quarter, a final annual recalculation (“Annual Apportionment”) provides an updated estimate of the prior year’s adjustment.

In addition, school districts receive a quarterly allocation of the tax revenue deposited in the EPA from the temporary tax increases associated with Proposition 30 and extended under Proposition 55. The funds in the EPA are allocated between K-12 school districts and community college districts by 89 percent and 11 percent, respectively, and entitlements are calculated based on the adjusted LCFF entitlement of the district. The EPA funds received by an LCFF-funded school district count towards the district’s LCFF funding entitlement; community-funded districts also receive the \$200 per-pupil EPA funding. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES” herein.

The LCFF requires each school district to demonstrate that its spending decisions are producing the desired results of increased student performance as stated in each school district’s own LCAP. Each school district must create its own annually updated LCAP with input from teachers, parents and the community, including the parents or guardians of unduplicated students. School districts must review and share the results to determine whether spending achieved the goals stated in the LCAP, for each school site and for the school district as a whole. All school districts must use the State’s LCAP template beginning fiscal year 2014-15. The LCAP must include a description of the annual goals to be achieved for each student group for each State priority, including the content standards adopted by the State Board of Education. The LCAP of each school district is overseen and approved by the county superintendent.

Charter schools must comply with LCFF and receive mostly the same funds as public schools, although calculation of targeted disadvantaged students differs somewhat to prevent abuse of the system. There are also differences in the process of LCAP

adoption and assessment. In the case of a charter school that fails to perform according to its LCAP, the State is not required to provide the same support that a public school district or county office of education receives, and its charter can be revoked.

Federal Funding. According to the LAO, federal revenue accounted for approximately nine percent of the State's K-12 public education funding in fiscal years 2016-17 and 2017-18, and is budgeted to account for approximately nine percent of funding in fiscal year 2018-19. Most of these funds are designated for particular purposes. There are no unfunded federal education mandates; each is conditioned on a state's voluntary decision to accept federal program funds. The primary source of federal supplemental education funding is the Elementary and Secondary Education Act ("ESEA") (1965), enacted to address inequality in education. The previous authorization of ESEA, the No Child Left Behind Act ("NCLB") (2001), expanded the federal government's role and increased testing requirements to measure improvement. Most recently reauthorized under the Every Student Succeeds Act ("ESSA") (2015), responsibility for school improvement has been shifted to the states. ESSA provides funding through six programs: Title I grants, tied to student assessment, to assist economically disadvantaged children; Title II grants for professional development; Title III grants for ancillary student services; Title IV grants for research and training; Title V grants for state departments; and Title VI grants for special education. Another significant source of federal funding for school districts is the Education for All Handicapped Children Act ("EHA") (1975), enacted to support special education and related services, reauthorized by the Individuals with Disabilities Education Act ("IDEA") (1990). The largest of the law's three sections, Part B, authorizes grants to states and local school districts to offset special education costs. As of fiscal year 2017, IDEA federal funding covered 14.6 percent of the estimated excess cost of educating students with disabilities; the shortfall is assumed by states and local school districts.

Local Property Tax Revenue. According to the LAO, local property taxes revenue accounted for approximately 24 percent of the State's K-12 public education funding in fiscal year 2016-17 and approximately 25 percent of funding in fiscal year 2017-18, and is budgeted to account for approximately 25 percent of funding in fiscal year 2018-19. Property taxes are constitutionally limited to one percent of the property's value, except to repay voter-approved debt.

Other Local Funds. According to the LAO, local miscellaneous revenue accounted for approximately five percent of the State's K-12 public education funding in fiscal years 2016-17 and 2017-18, and is budgeted to account for approximately five percent of funding in fiscal year 2018-19. There are several types of revenue a school district may receive from other local sources, including developer fees, parcel taxes, property lease revenues, and private donations. A school district may levy developer fees on new residential or commercial development within the school district's boundaries to finance the construction or renovation of school facilities. A school district may, with two-thirds approval from local voters, levy special taxes on parcels to fund specific programs within the school district. A school district may lease or sell its unused sites or facilities as another source of revenue. A school district may also seek contributions, sometimes channeled through private foundations established to solicit donations from local families and businesses.

The State Budget Process

Under the State Constitution, money may be drawn from the California Centralized Treasury System (the "State Treasury") only by an appropriation authorized by law. The primary source of annual appropriations authorizations is the budget act approved by the State Legislature and signed by the Governor (the "Budget Act"), which can provide for projected expenditures only to the amount of projected revenues and balances available from prior fiscal years.

The annual budget cycle begins when the Governor releases a proposed budget in January for the next fiscal year, which starts each July 1 and ends June 30. The Governor releases a revised budget in May based on new projections regarding State revenues and feedback from the State Legislature and other constituents. The State Constitution requires that the State Legislature pass the Budget Act by June 15 by majority approval from both Houses. The Governor may reduce or eliminate specific line items in the Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature.

Appropriations may also be included in legislation other than the Budget Act. Bills containing appropriations (including for K-14 education) must be approved by a majority vote in each House of the State Legislature, unless such appropriations require tax increases, in which case they must be approved by a two-thirds vote of each House of the State Legislature, and be signed by the Governor. The State Constitution or a State statute may also provide for continuing appropriations that are available without regard to fiscal year. Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt.

The 2018-19 State Budget

On June 27, 2018, the Governor signed the Budget Act of 2018 and associated trailer bills to enact the fiscal year 2018-19 State budget (the “2018-19 State Budget”). Under the 2018-19 State Budget, State general fund revenues and transfers are projected to total \$133.3 billion, an increase of \$3.5 billion (2.7 percent) from revised fiscal year 2017-18 estimates. The State’s largest three sources of general fund tax revenue – personal income taxes, sales and use taxes, and corporate taxes – are projected to increase by 4.2 percent in fiscal year 2018-19. State general fund expenditures in fiscal year 2018-19 are projected to be \$138.7 billion, an increase of \$11.6 billion (9.2 percent) from revised fiscal year 2017-18 levels.

The State is projected to end fiscal year 2017-18 with total available general fund reserves of \$16.7 billion, including \$7.3 billion in the discretionary Special Fund for Economic Uncertainties (SFEU) reserve and \$9.4 billion in the Proposition 2 mandatory Budget Stabilization Account. The State is projected to end fiscal year 2018-19 with total available general fund reserves of \$15.9 billion, including \$2.0 billion in the Special Fund for Economic Uncertainties (SFEU) reserve, \$13.8 billion in the Budget Stabilization Account and \$200 million in the Safety Net Reserve, a new reserve fund created by the 2018-19 State Budget to save money specifically for CalWORKs and Medi-Cal, both of which have increased expenditures during recessions.

Under the 2018-19 State Budget, the Budget Stabilization Account is projected to reach a fiscal year 2018-19 ending balance of \$13.8 billion, equal to the constitutional maximum of 10 percent of estimated State general fund revenues, upon a \$2.6 billion optional deposit. This optional deposit will be placed into a new temporary reserve, the Budget Deficit Savings Account, until May 2019, at which time the amount will be adjusted and then deposited into the Budget Stabilization Account based on revised revenue estimates.

The following table identifies historical and budgeted State general fund revenues, expenditures and fund balances.

State General Fund 2018-19 State Budget

	2016-17 <u>Revised</u> (Millions)	2017-18 <u>Revised</u> (Millions)	2018-19 <u>Enacted</u> (Millions)
Prior-year Fund Balance	\$5,029	\$5,702	\$8,483
Revenues and Transfers	118,669	129,825	133,332
Expenditures	<u>119,087</u>	<u>127,045</u>	<u>138,688</u>
Ending Fund Balance	\$4,610	\$8,483	\$3,127
Encumbrances	1,165	1,165	1,165
Special Fund for Economic Uncertainties	3,445	7,318	1,962
Reserves			
Special Fund for Economic Uncertainties	\$3,445	\$7,318	\$1,962
Budget Stabilization Account	6,713	9,410	13,768
Safety Net Reserve	--	--	<u>200</u>
Total Reserves	\$10,158	\$16,728	\$15,930

Source: The State Legislative Analyst’s Office.

Education Funding. The 2018-19 State Budget includes total K-12 education funding of \$97.2 billion (\$56.1 billion from the State general fund and \$41.1 billion from other State funds). The 2018-19 State Budget funds the Proposition 98 minimum guarantee at \$78.4 billion, an increase of \$2.8 billion (3.7 percent) from revised fiscal year 2017-18 levels and an increase of \$31 billion (66 percent) from fiscal year 2011-12 levels, the depth of the State’s budget crisis. The minimum guarantee for fiscal year 2018-19 is determined under Proposition 98’s Test 2, operative when the increase in the minimum guarantee is attributable to an increase in *per capita* personal income (see “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES” herein). Of the \$78.4 billion Proposition 98 spending budgeted for fiscal year 2018-19, \$54.9 billion is from the State general fund and \$23.5 billion is from local property tax revenue. Proposition 98 K-12 per-pupil expenditures are \$11,645 in fiscal year 2018-19, an increase of \$579 (5.2 percent) per

pupil from revised fiscal year 2017-18 levels and an increase of approximately \$4,633 (66.1 percent) per pupil from fiscal year 2011-12 levels.

The Proposition 98 maintenance factor, created in years in which State general fund revenue growth is slow or decreases compared to growth in *per capita* personal income, is calculated as the difference between the funding level that would have been budgeted had revenue growth been stronger and the lesser amount that is actually budgeted. The maintenance factor is carried forward from year to year until the State's economy is strong enough to restore the difference by accelerating Proposition 98 funding. As a result of upward revisions to fiscal year 2017-18 Proposition 98 spending, the State is making an additional maintenance factor payment of \$789 million (on top of a previous \$536 million payment). After making the \$1.3 billion total payment, the State will have eliminated all remaining maintenance factor for the first time since fiscal year 2005-06.

The 2018-19 State Budget also creates a new Proposition 98 certification process so that the final calculation of the Proposition 98 minimum guarantee will not take as long to certify, beginning with the certification of the fiscal year 2017-18 Proposition 98 minimum guarantee in May 2019. The new process assigns a leadership role to the State Director of Finance for the State and creates a defined review period for legal challenges. The 2018-19 State Budget also creates a similar process for adjusting spending when the final calculation of the minimum guarantee results in an increase or decrease, called the "Proposition 98 Cost Allocation Schedule."

Local Control Funding Formula The 2018-19 State Budget provides \$3.7 billion in new funding for LCFF, bringing total LCFF funding to \$61.1 billion in fiscal year 2018-19 and fully implementing the school district and charter school formula two years earlier than originally scheduled. LCFF funding in fiscal year 2018-19 includes both a 2.71 percent cost-of-living adjustment ("COLA") and an additional \$570 million above the COLA as an ongoing increase to the formula, effectively funding a 3.7 percent COLA.

The 2018-19 State Budget also provides \$300 million in one-time Proposition 98 State funding for the Low-Performing Students Block Grant, which will provide resources in addition to LCFF funds to local educational agencies with students who perform at the lowest levels on the State's academic assessments and do not generate supplemental LCFF funds or State or federal special education resources.

The 2018-19 State Budget provides for certain adjustments in education spending, including the following:

Statewide System of Support: \$57.8 million in Proposition 98 funding for county offices of education to provide technical assistance to school districts, of which \$4 million will go towards geographical regional leads to build system-wide capacity to support school district improvement.

Multi-Tiered Systems of Support (MTSS): \$15 million in one-time Proposition 98 funding to expand the State's MTSS framework to foster positive school climate in both academic and behavioral areas.

California Collaborative for Educational Excellence: \$13.3 million in one-time Proposition 98 funding for the California Collaborative for Educational Excellence (the "Collaborative") and a co-lead county office of education to help build capacity for community engagement in the LCAP process, as well as \$11.5 million in Proposition 98 funding to support the Collaborative in its role within the statewide system of support.

Special Education Local Plan Area (SELPA) Technical Assistance: \$10 million in Proposition 98 funding for SELPAs to assist county offices of education in providing technical assistance to school districts identified for differentiated assistance within the statewide system of support.

Dashboard Improvement: \$300,000 in one-time Proposition 98 funding to improve the user interface of the California School Dashboard.

LCFF Budget Summary for Parents: \$200,000 in one-time Proposition 98 funding to develop the electronic template for the LCFF Budget Summary for Parents, which will help stakeholders better understand funding decisions made within the LCAP.

LCAP Redesign: \$200,000 in one-time Proposition 98 funding to support intended future legislation to streamline the LCAP.

Career Technical Education (CTE): \$164 million in ongoing Proposition 98 funding to create a new K-12 Career Technical Education ("CTE") program funded through the Strong Workforce Program, which is administrated by the California

Community College Chancellor's Office, in consultation with the State Department of Education, as well as \$150 million in ongoing Proposition 98 funding to make permanent the State's Career Technical Education Incentive Grant Program.

One-Time Discretionary Funding: \$1.1 billion in one-time Proposition 98 funding for school districts, charter schools and county offices of education to use at local discretion. Similar to features included in prior State budgets, these funds would offset any applicable mandate reimbursement claims for these entities.

Inclusive Early Education Expansion Program: \$167.2 million in one-time Proposition 98 funding to create the Inclusive Early Education Expansion Program through a competitive grant program to increase the availability of inclusive early education and care for children aged zero to five years old, especially in low-income areas and in areas with relatively low access to care.

Special Education, Bilingual, and STEM Teachers: \$75 million in one-time Proposition 98 funding to support locally sponsored, one-year intensive, mentored, clinical teacher preparation programs with \$50 million aimed at preparing and retaining special education teachers and \$25 million aimed at bilingual and STEM teachers; and \$50 million in onetime Proposition 98 funding to provide one-time competitive grants to local educational agencies to develop and implement new, or expand existing, locally identified solutions that address a local need for special education teachers.

Classified School Employee Summer Assistance Program: \$50 million in one-time Proposition 98 funding to provide State matching funds to classified school employees that elect to have a portion of their monthly paychecks withheld during the school year and then paid during the summer recess period.

Classified School Employee Professional Development Block Grant Program: \$50 million in one-time Proposition 98 funding for professional development opportunities for classified staff, with a priority on professional development for the implementation of school safety plans.

Charter School Facility Grant Program: \$21.1 million in one-time and \$24.8 million in ongoing Proposition 98 funding to reflect increases in programmatic costs.

Kids Code After School Program: \$15 million in one-time Proposition 98 funding to increase opportunities for students in after-school programs to access computer coding education.

Fire-Related Support: \$4.4 million in Proposition 98 funding over two years in property tax relief to schools impacted by the fires in Northern and Southern California in 2017, and an additional \$25 million in Proposition 98 funding relief through the LCFF. The 2018-19 State Budget also holds harmless the ADA used in calculating the LCFF for these counties for three years.

Fiscal Crisis and Management Assistance Team (FCMAT): \$972,000 in Proposition 98 funding to allow FCMAT to coordinate with county offices of education to offer more proactive and preventive services to fiscally distressed school districts, specifically those with a qualified interim budget status.

The following table identifies Proposition 98 budgeted funding levels for fiscal year 2018-19 and revised levels for fiscal years 2016-17 and 2017-18, both by segment of educational level and by source of funding.

**Proposition 98 Funding
2018-19 State Budget**

	2016-17 <u>Revised</u> (Millions)	2017-18 <u>Revised</u> (Millions)	2018-19 <u>Enacted</u> (Millions)
Funding By Segment			
K-12 Education			
General Fund	\$43,701	\$46,240	\$47,507
Local Property Tax Revenue	<u>18,582</u>	<u>19,295</u>	<u>20,414</u>
Subtotal	\$62,283	\$65,535	\$67,920
Community Colleges			
General Fund	\$5,473	\$5,757	\$6,063 ³
Local Property Tax Revenue	<u>2,825</u>	<u>2,941</u>	<u>3,110</u>
Subtotal	\$8,299	\$8,698	\$9,173 ³
Preschool ¹	\$975	\$1,190 ²	\$1,215
Other Agencies ¹	<u>85</u>	<u>95</u>	<u>85</u>
Total	\$71,642	\$75,618	\$78,393
Funding By Source			
General Fund	\$50,234	\$53,381	\$54,870
Local Property Tax Revenue	<u>21,407</u>	<u>22,236</u>	<u>23,523</u>
Total	\$71,642	\$75,618	\$78,393

¹Consists entirely of State general fund.

²Includes \$167 million for one-time grants to fund the expansion of early education programs, including preschool. Excluding this amount, the preschool increase from fiscal year 2017-18 to fiscal year 2018-19 is \$93 million (8.3 percent).

³Includes \$164 million for the new K-12 component of the Strong Workforce Program. Excluding this amount, the increase from fiscal year 2017-18 to fiscal year 2018-19 is \$142 million (2.5 percent) for State general fund spending and \$310 million (3.6 percent) for total community college spending.

Figures may not total due to rounding.

Source: The State Legislative Analyst's Office.

The 2019-20 State Budget

On June 27, 2019, the Governor signed into law the State budget for fiscal year 2019-20 (the "2019-20 State Budget"). Under the 2019-20 State Budget, State general fund revenues and transfers total \$143.8 billion, an increase of \$5.8 billion (4.2 percent) from revised fiscal year 2018-19 estimates. The State's largest three sources of general fund tax revenue – personal income taxes, sales and use taxes, and corporate taxes – are projected to increase by 3.3 percent in fiscal year 2019-20 to \$142.8 billion. State general fund expenditures in fiscal year 2019-20 are budgeted to be \$147.8 billion, an increase of \$5.1 billion (3.6 percent) from revised fiscal year 2018-19 levels. The spending plan includes \$3.6 billion to pay down a portion of the State's unfunded STRS and PERS liabilities, with an additional \$2.3 billion to pay down a portion of local education agencies' unfunded STRS and PERS liabilities.

The 2019-20 State Budget allocates the majority of the projected \$21.5 billion in discretionary resources to one-time spending and reserves, with \$9.1 billion to reduce debts and liabilities (excluding an additional \$2.2 billion in constitutionally mandated debt payments), \$6.5 billion to one-time programmatic spending, \$2.1 billion to optional reserves and \$4 billion to new ongoing programmatic spending. The State budgets ending fiscal year 2019-20 with total available general fund reserves of \$19.2 billion, including \$1.4 billion in the Special Fund for Economic Uncertainties (SFEU) reserve, \$16.5 billion in the

Budget Stabilization Account, \$900 million in the Safety Net Reserve and \$377 million in the Public School System Stabilization Account (PSSSA) established under Proposition 2 (2014), the first time a deposit to the PSSSA would occur.

The following table from the LAO identifies historical and budgeted State general fund revenues and expenditures under the 2019-20 State Budget.

**State General Fund
2019-20 State Budget**

	2018-19 <u>Revised</u> (Millions)	2019-20 <u>Enacted</u> (Millions)
Prior-year Fund Balance	\$11,419	\$6,772
Revenues and Transfers	138,047	143,804
Expenditures	<u>142,693</u>	<u>147,781</u>
Ending Fund Balance	\$6,772	\$2,796
Encumbrances	1,385	1,385
Special Fund for Economic Uncertainties	5,387	1,411
Reserves		
Special Fund for Economic Uncertainties	\$5,387	\$1,411
Budget Stabilization Account	14,358	16,516
Safety Net Reserve	900	900
Public School System Stabilization Account	=	<u>377</u>
Total Reserves	\$20,645	\$19,204

Source: The State Legislative Analyst's Office.

Education Funding. The 2019-20 State Budget includes total K-12 education funding of \$103.4 billion (\$58.8 billion from the State general fund and \$44.6 billion from other State funds). The 2019-20 State Budget funds the Proposition 98 minimum guarantee at \$81.1 billion, an increase of \$2.9 billion (3.7 percent) from revised fiscal year 2018-19 levels. The minimum guarantee for fiscal year 2018-19 is determined under Proposition 98's Test 1 (see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND EXPENDITURES" herein). Of the \$81.1 billion Proposition 98 spending budgeted for fiscal year 2019-20, \$55.9 billion is from the State general fund and \$25.2 billion is from local property tax revenue. Proposition 98 K-12 per-pupil expenditures are budgeted to be \$11,993 in fiscal year 2019-20, an increase of \$444 (3.8 percent) per pupil from revised fiscal year 2018-19 levels.

The 2019-20 State Budget includes a constitutionally required deposit into the PSSSA of \$377 million. The deposit does not initiate a cap on school district reserves because the balance in the PSSSA is not equal to or greater than 3 percent of the total K-12 share of the Proposition 98 guarantee. The 2019-20 State Budget also includes changes to the Proposition 98 certification process which, as a result, protect local education agencies from unanticipated revenue drops in past fiscal years.

The 2019-20 State Budget includes a \$3.15 billion non-Proposition 98 general fund payment on behalf of local education agencies to STRS and PERS. Of this amount, \$2.3 billion will be used to reduce local education agencies' long-term unfunded liability, while approximately \$850 million will be used to cover a portion of local education agencies' STRS and PERS payments in fiscal years 2019-20 and 2020-21. As a result, STRS contribution rates drop from 18.13 percent to 17.1 percent in fiscal year 2019-20 and from 19.1 percent to 18.4 percent in fiscal year 2020-21, while PERS contribution rates drop from 20.7 percent to 19.7 percent in fiscal year 2019-20 and from 23.6 percent to 22.9 percent in fiscal year 2020-21.

Additional significant adjustments regarding K-12 education funding contained in the 2019-20 State Budget include:

LCFF: \$1.9 billion in new funding for LCFF, reflecting a 3.26 percent COLA.

Proposition 98 Settle-Up: \$686.6 million to pay the balance of past year Proposition 98 funding owed through fiscal year 2017-18.

Special Education: \$645.3 million in ongoing Proposition 98 funding for special education, an increase of 19.3 percent from the prior year, including \$152.6 million to provide special education local plan areas (SELPAs) with at least the statewide target rate for base special education funding and \$492.7 million for special education allocated based on the number of children ages three to five with exceptional needs that the school district is serving.

Full-Day Kindergarten: \$300 million in one-time non-Proposition 98 funding to construct new and retrofit existing facilities to support full-day kindergarten programs.

After-School Programs: \$50 million in ongoing Proposition 98 funding to provide an increase of approximately 8.3 percent to the per-pupil daily rate for After School Education and Safety Program (ASES) resulting primarily from the recent increase in the minimum wage.

Retaining and Supporting Educators: \$89.8 million in one-time non-Proposition 98 funding to recruit teachers in hard-to-hire subject areas as well as at school sites that currently have the highest rates of non-credentialed or waiver teachers. Additionally, the 2019-20 State Budget includes \$43.8 million in one-time Proposition 98 funding to provide training and resources for classroom educators, including teachers and paraprofessionals. The 2019-20 State Budget also includes \$13.8 million ongoing federal funds to establish the 21st Century California Leadership Academy to provide learning opportunities to K-12 administrators to improve their ability to successfully support California's diverse student population.

Classified School Employees Summer Assistance Program: An increase of \$36 million in one-time Proposition 98 funding to provide an additional year of funding for the Classified School Employees Summer Assistance Program (which provides a State match for classified employee savings used to provide income during summer months).

Proposition 51 School Facilities Bond Funds: \$1.5 billion in Proposition 51 bond funds, an increase of \$906 million from the prior year, to support school construction projects.

Future Budgets

The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the District will have no control. Certain actions could result in a significant shortfall of revenue and cash, and could impair the State's ability to fund schools as budgeted. State budget shortfalls in future fiscal years could have an adverse financial impact on the District.

For more information on the State budget, please refer to the State Department of Finance's website at www.dof.ca.gov and to the LAO's website at www.lao.ca.gov. The District takes no responsibility for the continued accuracy of these Internet addresses or for the accuracy, completeness or timeliness of the information presented therein, and such information is not incorporated herein by such reference.

LEGAL MATTERS

Litigation

There is no action, suit or proceeding known by the District to be pending or threatened restraining or enjoining the sale or delivery of the Bonds, or in any way contesting or affecting the validity thereof or any proceeding of the District taken with respect to the issuance or sale of the Bonds, or the pledge or application of moneys or security provided for the payment of the Bonds, or the authority of the County to levy property taxes to pay principal of and interest on the Bonds when due.

The District may be or may become a party to lawsuits and claims which are unrelated to the Bonds or actions taken with respect to the Bonds and which have arisen in the normal course of operating the District. The District maintains certain insurance policies which provide coverage under certain circumstances and with respect to certain types of incidents. In the opinion of the District, there currently are no claims or actions pending which could have a material adverse effect on the financial position or operations of the District. The District cannot predict what types of claims may arise in the future.

Legal Opinion

The proceedings in connection with the authorization, sale, execution and delivery of the Bonds are subject to the approval as to their legality of Quint & Thimmig LLP, Bond Counsel. A form of the legal opinion of Bond Counsel is attached hereto as “APPENDIX C—FORM OF OPINION OF BOND COUNSEL.”

Bond Counsel’s employment is limited to a review of the legal proceedings required for authorization of the Bonds and to rendering the aforementioned opinion. Bond Counsel has not been engaged by the District to undertake, and has not undertaken, any responsibility for the accuracy, completeness, or fairness of this Official Statement, and the opinion of Bond Counsel will not extend to any documents, agreements, representations, offering circulars, official statements or other material of any kind concerning the Bonds that are not referred to in the aforementioned opinion. The fees of Bond Counsel are contingent upon the issuance and delivery of the Bonds.

Limitations on Remedies; Amounts Held in the County Pool

The opinion of Bond Counsel with respect to the enforceability of the rights of the Registered Owners and Beneficial Owners is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor’s rights. Bankruptcy proceedings, if initiated, could subject the Registered Owners and Beneficial Owners to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

A number of appeals are currently pending before the United States Court of Appeals for the First Circuit involving issues relating to the treatment and scope of special revenues in the insolvency proceedings of Puerto Rico. The decisions in these appeals may or may not affect the treatment or scope of special revenues in bankruptcy cases. It is not possible to predict the outcomes or the effects of the outcomes in these appeals, and the District cannot predict if or how the ruling in the pending appeals may affect the treatment or scope of special revenues in bankruptcy cases.

The County on behalf of the District is expected to be in possession of the annual *ad valorem* property taxes and certain funds to repay the Bonds and may invest these funds in the County Pool, as described under the caption “SACRAMENTO COUNTY POOLED INVESTMENT FUND” herein and in “APPENDIX D—SACRAMENTO COUNTY ANNUAL INVESTMENT POLICY” attached hereto. In the event the District or the County were to go into bankruptcy, a federal bankruptcy court might hold that the Registered Owners and Beneficial Owners are unsecured creditors with respect to any funds received by the District or the County prior to the bankruptcy, which may include taxes that have been collected and deposited into the Tax Collection Fund, where such amounts are deposited into the County Pool, and such amounts may not be available for payment of the principal of and interest on the Bonds unless the Registered Owners and Beneficial Owners can “trace” those funds. There can be no assurance that the Registered Owners and Beneficial Owners could successfully so “trace” such taxes on deposit in the Tax Collection Fund where such amounts are invested in the County Pool. The Resolution and the Government Code require the County to annually levy *ad valorem* property taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates) for the payment of the principal of and interest on the Bonds.

Tax Matters

The following discussion of federal income tax matters written to support the promotion and marketing of the Bonds was not intended or written to be used, and cannot be used, by a taxpayer for the purpose of avoiding federal tax penalties that may be imposed. Each taxpayer should seek advice based on the taxpayer’s particular circumstances from an independent tax advisor.

Federal tax law contains a number of requirements and restrictions which apply to the Bonds, including investment restrictions, periodic payments of arbitrage profits to the United States, requirements regarding the proper use of bond proceeds and the facilities financed therewith, and certain other matters. The District has covenanted to comply with all requirements that must be satisfied in order for the interest on the Bonds to be excludable from gross income for federal income tax purposes. Failure to comply with certain of such covenants could cause interest on the Bonds to become includible in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds.

Subject to the District's compliance with the above referenced covenants, under present law, in the opinion of Quint & Thimmig LLP, Larkspur, California, Bond Counsel, interest on the Bonds is excludable from the gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the federal alternative minimum tax for individuals.

In rendering its opinion, Bond Counsel will rely upon certifications of the District with respect to certain material facts within the District's knowledge. Bond Counsel's opinion represents its legal judgment based upon its review of the law and the facts that it deems relevant to render such opinion and is not a guarantee of a result.

Ownership of the Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, corporations subject to the branch profits tax, financial institutions, certain insurance companies, certain S corporations, individual recipients of Social Security or Railroad Retirement benefits and taxpayers who may be deemed to have incurred (or continued) indebtedness to purchase or carry tax exempt obligations. Prospective purchasers of the Bonds should consult their tax advisors as to applicability of any such collateral consequences.

The issue price (the "Issue Price") for the Bonds is the price at which a substantial amount of the Bonds is first sold to the public. The Issue Price of the Bonds may be different from the price set forth, or the price corresponding to the yield set forth, on the inside cover page hereof.

Owners of Bonds who dispose of Bonds prior to the stated maturity (whether by sale, redemption or otherwise), purchase Bonds in the initial public offering, but at a price different from the Issue Price or purchase Bonds subsequent to the initial public offering should consult their own tax advisors.

If a Bond is purchased at any time for a price that is less than the Bond's stated redemption price at maturity, the purchaser will be treated as having purchased a Bond with market discount subject to the market discount rules of the Internal Revenue Code of 1986, as amended (the "Code") (unless a statutory *de minimis* rule applies). Accrued market discount is treated as taxable ordinary income and is recognized when a Bond is disposed of (to the extent such accrued discount does not exceed gain realized) or, at the purchaser's election, as it accrues. The applicability of the market discount rules may adversely affect the liquidity or secondary market price of such Bond. Purchasers should consult their own tax advisors regarding the potential implications of market discount with respect to the Bonds.

An investor may purchase a Bond at a price in excess of its stated principal amount. Such excess is characterized for federal income tax purposes as "bond premium" and must be amortized by an investor on a constant yield basis over the remaining term of the Bond in a manner that takes into account potential call dates and call prices. An investor cannot deduct amortized bond premium relating to a tax-exempt bond. The amortized bond premium is treated as a reduction in the tax-exempt interest received. As bond premium is amortized, it reduces the investor's basis in the Bonds. Investors who purchase a Bond at a premium should consult their own tax advisors regarding the amortization of bond premium and its effect on the Bond's basis for purposes of computing gain or loss in connection with the sale, exchange, redemption or early retirement of the Bonds.

There are or may be pending in the Congress of the United States legislative proposals, including some that carry retroactive effective dates, that, if enacted, could alter or amend the federal tax matters referred to above or affect the market value of the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether, if enacted, it would apply to bonds issued prior to enactment. Prospective purchasers of the Bonds should consult their own tax advisors regarding any pending or proposed federal tax legislation. Bond Counsel expresses no opinion regarding any pending or proposed federal tax legislation.

The Internal Revenue Service (the "Service") has an ongoing program of auditing tax-exempt obligations to determine whether, in the view of the Service, interest on such tax-exempt obligations is includible in the gross income of the owners thereof for federal income tax purposes. It cannot be predicted whether or not the Service will commence an audit of the Bonds. If an audit is commenced, under current procedures the Service may treat the District as a taxpayer and the Bondholders may have no right to participate in such procedure. The commencement of an audit could adversely affect the market value and liquidity of the Bonds until the audit is concluded, regardless of the ultimate outcome.

Payments of interest on, and proceeds of the sale, redemption or maturity of, tax-exempt obligations, including the Bonds, are in certain cases required to be reported to the Service. Additionally, backup withholding may apply to any such payments to any Bond owner who fails to provide an accurate Form W-9 Request for Taxpayer Identification Number and Certification, or a substantially identical form, or to any Bond owner who is notified by the Service of a failure to report any interest or

dividends required to be shown on federal income tax returns. The reporting and backup withholding requirements do not affect the excludability of such interest from gross income for federal tax purposes.

In the further opinion of Bond Counsel, interest on the Bonds is exempt from California personal income taxes.

Ownership of the Bonds may result in other state and local tax consequences to certain taxpayers. Bond Counsel expresses no opinion regarding any such collateral consequences arising with respect to the Bonds. Prospective purchasers of the Bonds should consult their tax advisors regarding the applicability of any such state and local taxes.

The complete text of the final opinion that Bond Counsel expects to deliver upon the issuance of the Bonds is set forth in “APPENDIX C—FORM OF OPINION OF BOND COUNSEL” attached hereto.

Legality for Investment in California

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in the State to the extent that the Bonds, in the informed opinion of the investing bank, are prudent for the investment of funds of depositors, and under provisions of the Government Code, are eligible to secure deposits of public moneys in the State.

RATINGS

KBRA has assigned a municipal bond rating of “AA+” to the Bonds, Moody’s has assigned a municipal bond rating of “A2” to the Bonds, and S&P has assigned a municipal bond rating of “AA” to the Bonds, all with the understanding that upon delivery of the Bonds, the Bond Insurance Policy will be issued by AGM. Moody’s has assigned an underlying municipal bond rating of “A1” to the Bonds, and S&P has assigned an underlying municipal bond rating of “A” to the Bonds. Such ratings reflect only the views of KBRA, Moody’s and S&P, and an explanation of the significance of each rating may be obtained from KBRA, Moody’s and S&P, respectively. Each rating agency may have obtained and considered information and material which has not been included in this Official Statement. Generally, rating agencies base their ratings on information and material so furnished and on investigations, studies and assumptions made by them. The ratings are not a recommendation to buy, sell or hold the Bonds. There is no assurance that any such rating will continue for any given period of time or that any such rating will not be revised downward or withdrawn entirely by the rating agency if, in the judgment of the rating agency, circumstances so warrant. The District has not undertaken any responsibility to assure the maintenance of the ratings or to oppose any such revision or withdrawal. Any such downward revision or withdrawal of any such rating may have an adverse effect on the market price of the Bonds.

MUNICIPAL ADVISOR

Government Financial Strategies inc. has been employed by the District to perform municipal advisory services in relation to the sale and delivery of the Bonds. Government Financial Strategies inc., in its capacity as Municipal Advisor, has prepared this Official Statement. Government Financial Strategies inc. has not, however, independently verified nor confirmed all of the information contained within this Official Statement. Government Financial Strategies inc. will not participate in the underwriting of the Bonds. Fees charged by Government Financial Strategies inc. are not contingent upon the sale of the Bonds.

INDEPENDENT AUDITOR

The financial statements of the District as of and for the year ended June 30, 2018, have been audited by Crowe LLP, Sacramento, California. The audited financial statements of the District as of and for the year ended June 30, 2018, are set forth in “APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR THE YEAR ENDED JUNE 30, 2018” attached hereto. The District has not requested nor did the District obtain permission from the Auditor to include the audited financial statements as an appendix to this Official Statement. The Auditor has not been engaged to perform and

has not performed, since the date of its report attached hereto, any procedures on the financial statements addressed in that report. The Auditor also has not performed any procedures relating to this Official Statement.

UNDERWRITING AND INITIAL OFFERING PRICE

Following a competitive sale process, the Bonds will be purchased by BofA Securities, Inc. (the “Underwriter”) pursuant to a bond purchase agreement (the “Purchase Agreement”) by and between the District and the Underwriter at a price of \$60,066,550.05, equal to the principal amount of the Bonds of \$60,000,000.00, plus a net original issue premium of \$915,277.25, less an underwriting discount of \$848,727.20 (which amount includes the premium for the Bond Insurance Policy). The Underwriter’s obligation to purchase the Bonds is subject to certain terms and conditions set forth in the Purchase Agreement.

The Underwriter intends to offer the Bonds to the public at the initial offering prices and yields stated on the inside cover page hereof. The Underwriter may offer and sell the Bonds to certain dealers and others at prices lower than said public offering prices. The offering prices may be changed from time to time by the Underwriter.

CONTINUING DISCLOSURE

The District will covenant for the benefit of the holders and Beneficial Owners of the Bonds to annually provide certain financial information and operating data relating to the District (the “Annual Report”) by not later than nine months after the end of the fiscal year, commencing with the report for fiscal year 2018-19 (which is due no later than March 31, 2020), and to provide notices of the occurrence of certain enumerated events. The Annual Report and notices of certain enumerated events will be filed by the District with the MSRB through EMMA. The specific nature of the information to be contained in the Annual Report and the notices is specified in “APPENDIX B—FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto. These covenants are being made in order to assist the Underwriter in complying with SEC Rule 15c2-12(b)(5) (the “Rule”).

In the past five years, the District has not complied in all material respects with its previous undertakings with regard to said Rule to provide annual reports and notices of significant events. Due to administrative oversight, the following notices of significant events were posted more than 10 business days after their occurrence:

- On January 17, 2018, Moody’s downgraded the rating of the insurer of the 1999 Refunding Bonds and the Series 2007 Bonds, resulting in a downgrade in the ratings of the 1999 Refunding Bonds and the Series 2007 Bonds. Notices of the downgrade were filed on February 21, 2018.

The District has implemented procedures to assist in complying with its continuing disclosure undertakings. Such procedures have been amended in response to two new event notices that were added effective February 27, 2019 to the list of events for which notice is required by the Rule. As of the date of this Official Statement, the District has made all required filings in the past five years for currently outstanding issues in connection with prior undertakings under the Rule.

ADDITIONAL INFORMATION

Additional information concerning the District, the Legal Documents or other matters concerning the sale and delivery of the Bonds may be obtained contacting Natomas Unified School District, 1901 Arena Boulevard, Sacramento, California 95834, telephone (916) 567-5400, Attention: Deputy Superintendent, Business and Operations or by contacting the Municipal Advisor, Government Financial Strategies inc., 1228 N Street, Suite 13, Sacramento, California 95814-5609, telephone (916) 444-5100.

All of the preceding summaries of the Bonds, the Legal Documents, and other documents are made subject to the provisions of such documents respectively, and do not purport to be complete statements of any or all of such provisions. Reference is hereby made to such documents on file with the District for further information in connection therewith. Further, this Official Statement does not constitute a contract with the purchasers of the Bonds, and any statements made in this Official Statement

involving matters of opinion or of estimates, whether or not so expressly stated, are set forth as such and not as representations of fact, and no representation is made that any of the estimates will be realized.

The execution and delivery of this Official Statement by the District has been duly authorized by the District Board.

Natomas Unified School District

By: /s/ Chris Evans
Chris Evans
Superintendent

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APPENDIX A

AUDITED FINANCIAL STATEMENTS OF THE DISTRICT
FOR THE YEAR ENDED JUNE 30, 2018

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NATOMAS UNIFIED SCHOOL DISTRICT

FINANCIAL STATEMENTS

June 30, 2018

FINANCIAL STATEMENTS
WITH SUPPLEMENTARY INFORMATION
For the Year Ended June 30, 2018

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WITH SUPPLEMENTARY INFORMATION
For the Year Ended June 30, 2018

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INDEPENDENT AUDITOR'S REPORT

Board of Trustees
Natomas Unified School District
Sacramento, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Natomas Unified School District, as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise Natomas Unified School District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Natomas Unified School District, as of June 30, 2018, and the respective changes in financial position for the year then ended in accordance with accounting principles generally accepted in the United States of America.

(Continued)

Emphasis of Matter

As discussed in Note 1 to the financial statements, the District implemented Governmental Accounting Standards Board (GASB) Statement No. 75, "Accounting for Financial Reporting for Postemployment Benefits Other than Pensions". This resulted in a restatement of the beginning net position of \$(6,801,695). Note disclosures and required supplementary information requirements about OPEB are also discussed. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the *Management's Discussion and Analysis* on pages 4 to 13 and the General Fund Budgetary Comparison Schedule, the Charter School Fund Budgetary Comparison Schedule, the Schedule of Changes in Total OPEB Liability, the Schedule of the District's Proportionate Share of the Net Pension Liability, and the Schedule of the District's Contributions on pages 57 to 63 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Natomas Unified School District's basic financial statements. The accompanying schedule of expenditure of federal awards as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, and the other supplementary information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The schedule of expenditure of federal awards and other supplementary information as listed in the table of contents are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information, except for the Schedule of Financial Trends and Analysis, has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditure of federal awards and other supplementary information as listed in the table of contents, except for the Schedule of Financial Trends and Analysis, are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The Schedule of Financial Trends and Analysis has not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 5, 2018 on our consideration of Natomas Unified School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Natomas Unified School District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Crowe LLP". The script is cursive and fluid.

Crowe LLP

Sacramento, California
December 5, 2018

MANAGEMENT DISCUSSION AND ANALYSIS

Fiscal Year Ending June 30, 2018

This annual report consists of three parts – Management’s Discussion & Analysis, Basic Financial Statements and Required Supplementary Information.

The following discussion and analysis provides an overview of the financial position of Natomas Unified School District (the “District”) for the year ended June 30, 2018. This discussion has been prepared by management and should be read in conjunction with the financial statements and notes thereto which follow this section.

The Management’s Discussion and Analysis consists of six sections:

- **Overview of the Financial Statements** – Serves as a guide to reading the financial statements provided in the sections following the Management’s Discussion & Analysis.
- **Financial Highlights** – Emphasizes significant actions implemented by the District, as well as significant factors affecting the District.
- **Financial Analysis of the District as a Whole** – Illustrates the District’s current, as well as, long-term assets and liabilities.
- **Financial Analysis of the District’s Funds** – Illustrates and compares the District’s primary activities.
- **Capital Asset and Debt Administration** – Illustrates the District’s investment in capital assets and its level of debt.
- **Economic Factors and Next Year’s Budget** – Illustrates issues that management sees as relevant to the future financial health of the District.

OVERVIEW OF THE FINANCIAL STATEMENTS

The basic financial statements presented herein include all of the activities of the District using the integrated approach as prescribed in Governmental Accounting Standards (GASB) Statement No. 34. The activities of the District are presented in two kinds of statements:

- The *Government-Wide Financial Statements* present the financial picture of the District and provides both short-term and long-term information about the District’s overall financial status.



- The remaining statements are *Fund Financial Statements* that focus on individual parts of the District, reporting the District's operations in more detail than the Government-Wide Statements. The Fund Financial Statements can be further broken down into two types:
- *Governmental funds statements* illustrate how basic services (such as regular and special education) were financed in the short-term, as well as what remains for future spending.
- *Fiduciary funds statements* provide information about the financial relationships in which the District acts solely as trustee or agent for the benefit of others to whom the resources belong.

Government-Wide Statements

The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, liabilities, deferred inflows of resources and deferred outflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position (the difference between the District's assets and liabilities, including deferred outflows and inflows) are one way to measure the District's financial health or position. Over time, increases or decreases in the District's net position are an indicator of whether its financial position is improving or deteriorating. To assess the overall health of the District, additional non-financial factors (including the condition of the District's school buildings and other facilities) must be considered.

In the government-wide financial statements, the District's activities are reported as governmental activities. Most of the District's services are included here, such as regular education, special education, transportation and administration. Funding received from the State of California through the Local Control Funding Formula, along with categorical and special funding received from the federal and state governments finance most of these activities.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's most significant funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs:

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes or to show that certain revenues have been properly used.



There are two types of funds that the District utilizes:

- *Governmental funds* – Most of the District's basic services are included in governmental funds, which generally focus (1) how cash and other financial assets that can readily be converted to cash flow in and out, and (2) the balances left at year-end that are available for spending. Consequently, the governmental funds statements provide a detailed short-term view that helps in the determination of whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. This information does not encompass the additional long-term focus of the government-wide statements; therefore additional information at the bottom of the governmental funds statements is provided that explains the relationship (or differences) between them.
- *Fiduciary funds* - The District is the trustee, or fiduciary, for assets that belong to others such as the scholarship fund and the student activities funds. The district is responsible for ensuring that the assets in these funds are used only for their intended purposes and only by those to whom they belong. All of the District's fiduciary activities are reported in a separate Statement of Fiduciary Net Position. These activities are excluded from the government-wide financial statements because the District cannot use these assets to finance operations.

FINANCIAL HIGHLIGHTS

- The financial statements present the District's fiscal activity of expenditures, revenues, assets, liabilities, beginning, and ending fund balances.
- Fiscal year starts in July and ends in June.
- The financial statements reflect the District's educational policy into sound instructional programs and delivery systems through the prudent allocation of financial resources.
- School finance is a complex and dynamic process that evolves daily. There are many variables, which impact a school district's finances – including student enrollment, student attendance, inflation, school facilities, state and federal funding, state and national economy.
- As of the California Longitudinal Pupil Achievement Data System (CALPADS) reporting date, October 2017, the District had 9,922 students that attended traditional (non-charter) schools, which is a decrease of 147 students from the prior year CALPADS of 9,775.



- The average daily attendance (ADA), which much of the District's revenue is based, was 9,390, an increase of 68 from 2016-17 ADA count of 9,322. (Figures excludes county pass through programs).
- The ratio of attendance to CALPADS enrollment was approximately 94.5%.
- The District's General Fund ending cash balance for June 30, 2018 was \$22.4 million.
- The District's Food Services program had revenues over expenditures at \$138,889.
- The District's LCFF base grant was based on the average daily attendance (ADA) by grade level. Grades Kindergarten – 3rd grades at \$7,193/ADA; Grades 4th – 6th at \$7,301/ADA; Grades 7th - 8th grade at \$7,518/ADA; and Grades 9th – 12th at \$8,712/ADA.
- The supplemental grant under LCFF is for our targeted disadvantaged students. Targeted students are those classified as English Learners (EL), eligible to receive free or reduced-price meals (FRPM), foster youth, or any combination of these factors (unduplicated count).
- The District's unduplicated pupil percentage is 62.08%.
- As of the 2017-18 fiscal year, Natomas Charter school is not included in the District's Fund 09 financial statements.



FINANCIAL ANALYSIS OF THE DISTRICT AS A WHOLE

A review of the District as a whole can best be seen in the strength of the District's net position and subsequent changes in net position.

The computation of the District's net position is presented by category in the table below:

Table 1 - Net Position

	Government-Wide Statement of Net Position		
	June 30, 2018	June 30, 2017	Change
Assets			
Current and other assets	\$ 189,306,789	\$ 151,142,505	\$ 38,164,284
Capital assets, net of depreciation	347,637,490	455,815,338	(108,177,848)
Total Assets	536,944,279	606,957,843	(70,013,564)
Deferred Outflows of Resources			
Deferred outflows - pensions	46,125,710	32,604,144	13,521,566
Deferred outflows - refunding of debt	2,561,783	2,766,276	(204,493)
Total Deferred Outflows	48,687,493	35,370,420	13,317,073
Liabilities			
Current liabilities	25,154,415	33,529,565	(8,375,150)
Long-term obligations	428,015,216	415,878,393	12,136,823
Total Liabilities	453,169,631	449,407,958	3,761,673
Deferred Inflows of Resources			
Deferred inflows - pensions	6,396,000	4,425,000	1,971,000
Net Position			
Invested in capital assets, net of related debt	176,635,810	200,440,986	(23,805,176)
Restricted	99,872,776	118,094,925	(18,222,149)
Unrestricted	(150,442,445)	(130,040,606)	(20,401,839)
Total Net Position	\$ 126,066,141	\$ 188,495,305	\$ (62,429,164)

Total Government Wide Net Position decreased by approximately \$62 million during the 2017/18 fiscal year. It should be noted that land is accounted for at purchase value, not market value, and is not depreciated. Most of the District's school sites have low values for today's market because the District acquired the land decades ago. This valuation of land is consistent with accounting rules set forth under GASB.

Although the land and buildings owned by the District contribute to its net position, they are not available as assets that could be liquidated due to the nature of the District's operations.



Change in Net Position

The District's total revenues decreased 15% to approximately \$162.5 million. General revenues accounted for most of the District's revenue, contributing approximately 72% of every dollar raised. The remainder came from fees charged for services and operating grants and contributions.

The total cost of all programs and services increased approximately \$49 million to \$169.6 million, of which 62% of the expenses are primarily related to educating and caring for students. Administrative activities of the District increased by \$42.9 million primarily due to the reconciliation of capital assets including work in process for prior years.

A summary of total District revenues, expenses, and changes in net position is presented in Table 2.



Table 2 – Change in Net Position

	Government-Wide Statement of Activities		
	June 30, 2018	June 30, 2017	Change
Revenues			
Program revenues:			
Charges for services	\$ 12,142,173	\$ 8,217,286	\$ 3,924,887
Operating grants and contributions	25,379,559	28,241,118	(2,861,559)
Capital grants and contributions	-	2,376	(2,376)
General revenues:			
Taxes levied for general purposes	24,139,419	21,716,602	2,422,817
Taxes levied for debt service	17,682,449	20,134,135	(2,451,686)
Taxes levied for other specific purposes	2,256	2,036	220
Unrestricted federal and state aid	91,512,009	107,946,687	(16,434,678)
Interest and investment earnings	686,917	696,137	(9,220)
Interagency revenues	405,987	169,362	236,625
Other general revenue	1,021,812	3,821,183	(2,799,371)
Special Item	(10,510,571)	-	(10,510,571)
Total Revenues	\$ 162,462,010	\$190,946,922	\$ (28,484,912)
Expenses			
Instruction-related	\$ 119,417,888	\$118,247,427	\$ 1,170,461
Student support services	14,974,220	14,140,447	833,773
Administration	51,834,030	8,966,505	42,867,525
Maintenance and operations	21,434,438	13,925,612	7,508,826
Interest on long-term liabilities	7,772,866	10,043,080	(2,270,214)
Other	2,557,770	3,312,022	(754,252)
Total Expenses	\$ 217,991,212	\$168,635,093	\$ 49,356,119
Net Position			
Change in net position	(55,529,202)	22,311,829	(77,841,031)
Cumulative effect of GASB 75	(6,801,695)	-	-
Net Position, Beginning of the Year	188,495,305	166,183,476	22,311,829
Net Position, End of the Year	\$ 126,164,408	\$188,495,305	\$ (62,330,897)

Governmental Activities

As reported in the Statement of Activities, the cost of all of our governmental activities was \$218 million and \$169 million for June 30, 2018 and 2017, respectively. However, the amount that our taxpayers ultimately financed for these activities through local taxes was \$41.8 million and \$41.9 million for June 30, 2018 and 2017, respectively because a portion of the cost was paid by those who benefited from the programs or by other governments and organizations who subsidized certain programs with grants and contributions.



Table 3 reflects the net cost of each of the District's largest functions – instruction, student support, administration, maintenance and operations, and other costs. Included in this table are each program's net cost (total cost less revenues generated by the activities). As discussed above, net cost shows the financial burden placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

Table 3 – Net Cost of Governmental Activities

	Total Cost of Services		Net Cost (Proceeds) of Services	
	2018	2017	2018	2017
Instruction	\$ 98,335,768	\$ 97,410,312	\$ 77,013,712	\$ 77,013,712
Instruction related	21,082,120	20,837,115	19,026,952	19,026,952
Pupil services	14,974,220	14,140,447	7,759,635	7,759,635
Administration	51,834,030	8,966,505	9,018,947	8,018,947
Maintenance and operations	21,434,438	13,925,612	13,874,774	13,874,774
Interest on long-term debt	7,772,866	10,043,080	10,043,080	10,043,080
Other	2,557,770	3,312,022	(3,562,787)	(3,562,787)
Totals	\$217,991,212	\$168,635,093	\$133,174,313	\$132,174,313



FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

As the District completed the school year, its funds reported a combined fund balance of \$96.2 million, which is a net decrease of \$41.6 million from the prior year.

Table 4 – Governmental Funds

	Balances and Activity		
	June 30, 2017	Net Change	June 30, 2018
General	\$ 24,790,343	\$ (3,527,276)	\$ 21,263,067
Charter Schools Fund	28,165,493	(9,494,184)	18,671,309
Building Fund	54,275,346	(34,704,516)	19,570,830
Capital Facilities Fund		20,285,597	20,285,597
Bond Interest and Redemption Fund	17,799,313	(2,806,130)	14,993,183
All Non-Major Funds	12,805,947	(11,348,758)	1,457,189
Total Governmental Funds	\$ 137,836,442	\$ (41,595,267)	\$ 96,241,175

Capital Facilities Fund was considered a non-major fund in 2016-17 but was designated as a major fund in 2017-18.

The District's budget is prepared in accordance with California law and is based on the modified accrual basis of accounting. Over the course of the year the District revises its budget based on updated financial information. The original budget, approved at the end of June for July 1, is based on May Revised figures and updated 45 days after the state approves its final budget. In addition, the District revises its budget at First and Second interim.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital assets, net of depreciation, decreased approximately \$26.7 million primarily because of the reconciliation of capital assets including work in process for prior years.

Table 5 – Capital Assets at Year-End

	Governmental Activities		
	2018	2017	Net Change
Land	\$ 71,020,635	\$ 70,511,654	\$ 508,981
Improvement of Sites	5,305,224	17,012,439	(11,707,215)
Buildings	338,793,275	306,966,628	31,826,647
Equipment	3,538,991	3,059,694	479,297
Construction in Progress	10,411,749	58,264,923	(47,853,174)
Total Capital Assets, net	\$ 429,069,874	\$ 455,815,338	\$ (26,745,464)



Outstanding Debt at Year-End

As illustrated below, total long-term liabilities increased by approximately \$14.5 million, net. This increase is primarily related to the implementation of GASB 68 and GASB 75, increases in accreted interest, and the District's OPEB liability.

Table 6 – Outstanding Debt at Year-End

	Governmental Activities		
	2018	2017	Net Change
General Obligation Bonds	\$ 241,957,801	\$ 252,035,392	\$ (10,077,591)
Accreted Interest	19,160,096	17,941,347	1,218,749
Unamortized Premiums on Issuances of GO Bonds	12,703,863	13,472,288	(768,425)
Certificates of Participation	-	8,995,000	
Net Pension Liability	144,831,000	125,193,000	19,638,000
Net OPEB	18,011,556	10,540,133	7,471,423
Compensated Absences	207,980	171,207	36,773
Capital Leases	334,183		334,183
Charter School Loan	-	3,315,890	(3,315,890)
Total Outstanding Debt	\$ 437,206,479	\$ 431,664,257	\$ 14,537,222

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

As indicated above, school finance is a complex and dynamic process that evolves daily. There are many variables, which impact a school district's finances – including student enrollment, student attendance, inflation, school facilities, state and federal funding, state and national economy. The future budget proposals require management to plan carefully and prudently to provide the resources necessary to ensure that all students graduate as college and career ready, productive, responsible, and engaged global citizens.

Contacting the District's Financial Management

This financial report is designed to provide our parents, citizens, taxpayers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have any questions regarding this report or need additional financial information, contact:

Javetta Cleveland
Deputy Superintendent
Natomas Unified School District
1901 Arena Boulevard
Sacramento, California 95834



BASIC FINANCIAL STATEMENTS

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF NET POSITION
June 30, 2018

	Governmental Activities	Business-Type Activities	Total
ASSETS			
Cash and investments (Note 2)	\$ 100,498,648	\$ 28,462	\$ 100,527,110
Receivables	6,713,652	6,695	6,720,347
Prepaid expenses	559,224	-	559,224
Stores inventory	39,770	-	39,770
Interagency balances (Note 3)	63,111	126,221	189,332
Non-depreciable capital assets (Note 4)	81,432,384	-	81,432,384
Depreciable capital assets, net of accumulated depreciation (Note 4)	<u>347,637,490</u>	<u>-</u>	<u>347,637,490</u>
Total assets	<u>536,944,279</u>	<u>161,378</u>	<u>537,105,657</u>
DEFERRED OUTFLOWS OF RESOURCES			
Deferred outflows of resources - pensions (Notes 7 and 8)	46,125,710	-	46,125,710
Deferred outflows of resources - debt refunding	<u>2,561,783</u>	<u>-</u>	<u>2,561,783</u>
Total deferred outflows	<u>48,687,493</u>	<u>-</u>	<u>48,687,493</u>
LIABILITIES			
Accounts payable	15,652,426	-	15,652,426
Unearned revenue	184,505	-	184,505
Interagency balances (Note 3)	126,221	63,111	189,332
Long-term liabilities (Note 5):			
Due within one year	9,191,263	-	9,191,263
Due after one year	<u>428,015,216</u>	<u>-</u>	<u>428,015,216</u>
Total liabilities	<u>453,169,631</u>	<u>63,111</u>	<u>453,232,742</u>
DEFERRED INFLOWS OF RESOURCES			
Deferred inflows of resources - pensions (Notes 7 and 8)	<u>6,396,000</u>	<u>-</u>	<u>6,396,000</u>
NET POSITION			
Net investment in capital assets	176,635,810	-	176,635,810
Restricted:			
Legally restricted programs	45,003,521	-	45,003,521
Capital projects	39,876,072	-	39,876,072
Debt service	14,993,183	-	14,993,183
Cafeteria enterprise	-	98,267	98,267
Unrestricted	<u>(150,442,445)</u>	<u>-</u>	<u>(150,442,445)</u>
Total net position	<u>\$ 126,066,141</u>	<u>\$ 98,267</u>	<u>\$ 126,164,408</u>

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2018

		Program Revenues			Net (Expense) Revenue and Changes in Net Position		
		Charges For Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Expenses							
Governmental activities:							
Instruction	\$ 98,335,768	\$ 503,483	\$ 13,832,853	\$ -	\$ (83,999,432)	\$ -	\$ 98,267
Instruction-related services:							
Supervision and administration	6,706,136	58,675	1,378,847	-	(5,268,614)	-	(5,268,614)
Library, media and technology	2,086,192	7,283	1,423	-	(2,077,486)	-	(2,077,486)
School site administration	12,289,792	25,235	499,711	-	(11,764,846)	-	(11,764,846)
Pupil services:							
Home-to-school transportation	2,902,565	-	651	-	(2,901,914)	-	(2,901,914)
Food services	5,530,417	873,051	3,945,719	-	(711,647)	-	(711,647)
All other pupil services	6,541,238	20,532	933,381	-	(5,587,325)	-	(5,587,325)
General administration:							
Centralized data processing	3,117,648	-	66,552	-	(3,051,096)	-	(3,051,096)
All other general administration	48,716,382	67,625	1,053,263	-	(47,595,494)	-	(47,595,494)
Plant services	21,434,438	17,942	48,137	-	(21,368,359)	-	(21,368,359)
Ancillary services	1,230,029	-	13,563	-	(1,216,466)	-	(1,216,466)
Community services	33,159	2,403	21,683	-	(9,073)	-	(9,073)
Other outgo	1,294,582	10,565,944	3,583,776	-	12,855,138	-	12,855,138
Interest on long-term liabilities	7,772,866	-	-	-	(7,772,866)	-	(7,772,866)
Total governmental activities	<u>\$ 217,991,212</u>	<u>\$ 12,142,173</u>	<u>\$ 25,379,559</u>	<u>\$ -</u>	<u>(180,469,480)</u>	<u>-</u>	<u>(180,469,480)</u>
General revenues:							
Taxes and subventions:							
Taxes levied for general purposes					24,139,419	-	24,139,419
Taxes levied for debt service					17,682,449	-	17,682,449
Taxes levied for other specific purposes					2,256	-	2,256
Federal and state aid not restricted to specific purposes					91,512,009	-	91,512,009
Interest and investment earnings					686,677	240	686,917
Miscellaneous					986,896	34,916	1,021,812
Special and extraordinary item					(10,510,571)	-	(10,510,571)
Interagency revenues					405,987	-	405,987
Internal transfers					(63,111)	63,111	-
Total general revenues					<u>124,842,011</u>	<u>98,267</u>	<u>124,940,278</u>
Change in net position					(55,627,469)	98,267	(55,529,202)
Net position, July 1, 2017					<u>188,495,305</u>	<u>-</u>	<u>188,495,305</u>
Cumulative effect of GASB 75 implementation					<u>(6,801,695)</u>	<u>-</u>	<u>(6,801,695)</u>
Net position July 1, 2017, as restated					<u>181,693,610</u>	<u>-</u>	<u>181,693,610</u>
Net position, June 30, 2018					<u>\$ 126,066,141</u>	<u>\$ 98,267</u>	<u>\$ 126,164,408</u>

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2018

	General Fund	Charter Schools Fund	Building Fund	Capital Facilities Fund	Bond Interest and Redemption Fund	All Non-Major Funds	Total Governmental Funds
ASSETS							
Cash and investments:							
Cash in County Treasury	\$22,591,511	\$19,269,928	\$20,306,898	\$20,472,445	\$14,966,441	\$ 611,749	\$ 98,218,972
Cash on hand and in banks	200	-	-	-	-	2,500	2,700
Cash in revolving fund	35,000	5,000	-	-	-	-	40,000
Cash with Fiscal Agent	1,514,523	-	718,866	-	-	-	2,233,389
Cash awaiting deposit	3,587	-	-	-	-	-	3,587
Receivables	4,272,685	665,716	213,993	197,713	59,919	1,303,626	6,713,652
Prepaid expenditures	529,439	29,785	-	-	-	-	559,224
Due from other funds	1,803,631	610,997	125,383	-	-	75,675	2,615,686
Stores inventory	-	-	-	-	-	39,770	39,770
Total assets	<u>\$30,750,576</u>	<u>\$20,581,426</u>	<u>\$21,365,140</u>	<u>\$20,670,158</u>	<u>\$15,026,360</u>	<u>\$ 2,033,320</u>	<u>\$ 110,426,980</u>
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable	\$ 8,715,967	\$ 630,612	\$ 1,794,310	\$ 53,512	\$ -	\$ 128,103	\$ 11,322,504
Unearned revenue	146,980	-	-	-	33,177	4,348	184,505
Due to other funds	<u>624,562</u>	<u>1,279,505</u>	<u>-</u>	<u>331,049</u>	<u>-</u>	<u>443,680</u>	<u>2,678,796</u>
Total liabilities	<u>9,487,509</u>	<u>1,910,117</u>	<u>1,794,310</u>	<u>384,561</u>	<u>33,177</u>	<u>576,131</u>	<u>14,185,805</u>
Fund balances:							
Nonspendable	564,439	34,785	-	-	-	39,770	638,994
Restricted	4,860,370	18,636,524	19,570,830	20,285,597	14,993,183	1,417,419	79,763,923
Committed	10,187,703	-	-	-	-	-	10,187,703
Assigned	2,328,555	-	-	-	-	-	2,328,555
Unassigned	<u>3,322,000</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>3,322,000</u>
Total fund balances	<u>21,263,067</u>	<u>18,671,309</u>	<u>19,570,830</u>	<u>20,285,597</u>	<u>14,993,183</u>	<u>1,457,189</u>	<u>96,241,175</u>
Total liabilities and fund balances	<u>\$30,750,576</u>	<u>\$20,581,426</u>	<u>\$21,365,140</u>	<u>\$20,670,158</u>	<u>\$15,026,360</u>	<u>\$ 2,033,320</u>	<u>\$ 110,426,980</u>

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET -
TO THE STATEMENT OF NET POSITION
June 30, 2018

Total fund balances - Governmental Funds	\$	96,241,175
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Amounts reported for governmental activities in the statement of net position are different because:

Capital assets used for governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds. The cost of the assets is \$549,855,316 and the accumulated depreciation is \$120,785,442 (Note 4).

		429,069,874
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Long-term liabilities are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds. Long-term liabilities at June 30, 2018 consisted of (Note 5):

General Obligation Bonds	\$ (241,957,801)	
Accreted interest	(19,160,096)	
Unamortized Premium on issuance of debt	(12,703,863)	
Capital lease payable	(334,183)	
Total OPEB liability (Note 9)	(18,011,556)	
Net pension liability (Notes 7 and 8)	(144,831,000)	
Compensated absences	<u>(207,980)</u>	
		(437,206,479)

Losses on the refunding of debt are recognized as expenditures in the period they are incurred. In the government-wide statements, they are categorized as deferred outflows and are amortized over the life of the related debt.

		2,561,783
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In government funds, deferred outflows and inflows of resources relating to pensions are not reported because they are applicable to future periods. In the statement of net position, deferred outflows and inflows of resources relating to pensions are reported (Notes 7 and 8).

Deferred outflows of resources relating to pensions	\$ 46,125,710	
Deferred inflows of resources relating to pensions	<u>(6,396,000)</u>	
		39,729,710

In the governmental funds, interest on long-term liabilities is not recognized until the period in which it matures and is paid. In the government-wide statement of activities, it is recognized in the period that it is incurred:

		<u>(4,329,922)</u>
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Total net position - governmental activities	\$	<u><u>126,066,141</u></u>
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See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES AND
CHANGE IN FUND BALANCES
GOVERNMENTAL FUNDS
For the Year Ended June 30, 2018

	General Fund	Charter Schools Fund	Building Fund	Capital Facilities Fund	Bond Interest and Redemption Fund	All Non-Major Funds	Total Governmental Funds
Revenues:							
Local Control Funding Formula (LCFF):							
State apportionment	\$ 69,667,504	\$ 20,420,628	\$ -	\$ -	\$ -	\$ -	\$ 90,088,132
Local sources	16,000,703	5,103,768	-	-	-	-	21,104,471
Total LCFF	85,668,207	25,524,396	-	-	-	-	111,192,603
Federal sources	4,882,524	133,176	-	-	-	3,996,265	9,011,965
Other state sources	9,395,607	2,661,120	-	-	126,100	1,393,399	13,576,226
Other local sources	6,310,622	1,764,576	517,032	11,254,662	17,622,415	958,013	38,427,320
Total revenues	106,256,960	30,083,268	517,032	11,254,662	17,748,515	6,347,677	172,208,114
Expenditures:							
Current:							
Certificated salaries	45,841,842	12,848,158	-	-	-	432,468	59,122,468
Classified salaries	18,172,886	2,357,381	93,641	10,867	-	2,211,263	22,846,038
Employee benefits	21,758,355	5,039,228	8,785	4,493	-	885,235	27,726,096
Books and supplies	5,856,967	1,994,608	261,465	145,087	-	2,579,194	10,837,321
Contract services and operating expenditures	14,881,375	4,079,552	500,590	469,460	-	139,925	20,070,902
Other outgo	1,209,920	-	-	-	-	-	1,209,920
Capital outlay	3,310,605	1,137,984	25,408,658	835,530	-	1,444,116	32,136,893
Debt service:							
Principal retirement	-	83,546	8,995,000	-	10,077,591	-	19,156,137
Interest	-	16,809	47,791	-	10,477,054	-	10,541,654
Total expenditures	111,031,950	27,557,266	35,345,930	1,465,437	20,554,645	7,692,201	203,647,429
(Deficiency) excess of revenues (under) over expenditures	(4,774,990)	2,526,002	(34,828,898)	9,789,225	(2,806,130)	(1,344,524)	(31,439,315)
Other financing sources (uses):							
Transfers in	1,247,714	175,200	124,382	-	-	1,439,837	2,987,133
Transfers out	-	(2,102,544)	-	(507,253)	-	(440,446)	(3,050,243)
Transfer to lapsed district	-	(10,510,571)	-	-	-	-	(10,510,571)
Proceeds from capital lease	-	417,729	-	-	-	-	417,729
Total other financing sources (uses)	1,247,714	(12,020,186)	124,382	(507,253)	-	999,391	(10,155,952)
Change in fund balances	(3,527,276)	(9,494,184)	(34,704,516)	9,281,972	(2,806,130)	(345,133)	(41,595,267)
Fund balances, July 1, 2017	24,790,343	28,165,493	54,275,346	11,003,625	17,799,313	1,802,322	137,836,442
Fund balances, June 30, 2018	\$ 21,263,067	\$ 18,671,309	\$ 19,570,830	\$ 20,285,597	\$ 14,993,183	\$ 1,457,189	\$ 96,241,175

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGE IN FUND BALANCES - GOVERNMENTAL FUNDS -
TO THE STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2018

Net change in fund balances - Total Governmental Funds	\$ (41,595,267)
Amounts reported for governmental activities in the statement of activities are different because:	
Acquisition of capital assets is an expenditure in the governmental funds, but increases capital assets in the statement of net position (Note 4).	\$ 31,481,885
In the governmental funds, the entire proceeds from disposal of capital assets are reported as revenue. In the statement of activities, only the gain or loss is reported.	(47,853,174)
Depreciation of capital assets is an expense that is not recorded in the governmental funds (Note 4).	(10,374,175)
Repayment of principal on long-term liabilities is an expenditure in the governmental funds, but decreases the long-term liabilities in the statement of net position (Note 5).	22,472,027
In governmental funds proceeds from capital leases are recognized as other financing sources. In the government-wide statements, proceeds from capital leases are reported as increase to liabilities.	(417,729)
Debt issue premiums are recognized as revenues in the period they are incurred. In government-wide statements, issue premiums are amortized over the life of the debt (Note 5).	768,425
Accreted interest is an expense that is not reported in the governmental funds (Note 5).	(1,218,749)
In governmental funds, interest on long-term liabilities is recognized in the period that it becomes due. In the government-wide statement of activities, it is recognized in the period that it is incurred.	107,716
In government funds, pension costs are recognized when employer contributions are made. In the statement of activities, pension costs are recognized on the accrual basis. This year, the difference between accrual-basis pension costs and actual employer contributions was:	(8,087,434)
Losses on the refunding of debt are recognized as expenditures in the period they are incurred. In the government-wide statements, they are categorized as deferred outflows and are amortized over the life of the related debt.	(204,493)
In the statement of activities, expenses related to compensated absences are measured by the amounts earned during the year. In the governmental funds, expenditures are measured by the amount of financial resources used (Note 5).	(36,773)

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGE IN FUND BALANCES - GOVERNMENTAL FUNDS -
TO THE STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2018

In the statement of activities, expenses related to net OPEB liability are measured by the amounts earned during the year.
In the governmental funds, expenditures are measured by the amount of financial resources used (Notes 5 and 9).

\$ (669,728) \$ (14,032,202)

Change in net position of governmental activities

\$ (55,627,469)

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF NET POSITION - PROPRIETARY FUND
CAFETERIA ENTERPRISE FUND
June 30, 2018

ASSETS

Current assets:

Cash in County Treasury (Note 2)	\$ 28,462
Receivables	6,695
Due from other funds	<u>126,221</u>

Total current assets	<u>161,378</u>
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LIABILITIES

Current liabilities:

Due to other funds	<u>63,111</u>
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Total current liabilities	<u>63,111</u>
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NET POSITION

Restricted for cafeteria enterprise	<u><u>\$ 98,267</u></u>
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See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF CHANGE IN NET POSITION - PROPRIETARY FUND
CAFETERIA ENTERPRISE FUND
June 30, 2018

Operating revenues:	
Local revenues	\$ 34,917
Non-operating income:	
Interest income	240
Transfers from other funds	126,221
Transfers to other funds	<u>(63,111)</u>
Change in net position	98,267
Net position, July 1, 2017	<u>-</u>
Net position, June 30, 2018	<u><u>\$ 98,267</u></u>

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF CASH FLOWS - PROPRIETARY FUND
CAFETERIA ENTERPRISE FUND
June 30, 2018

Cash flows from operating activities:	
Cash received from other activities	\$ <u>28,222</u>
Cash flows provided by investing activities:	
Interest income	<u>240</u>
Change in cash an investments	28,462
Cash and investments, July 1, 2017	<u>-</u>
Cash and investments, June 30, 2018	<u><u>\$ 28,462</u></u>
Reconciliation of operating income to net cash provided by operating activities:	
Operating income	\$ <u>34,917</u>
Adjustments to reconcile operating income to net cash provided by operating activities:	
Increase in:	
Receivables	<u>(6,695)</u>
Total adjustments	<u>(6,695)</u>
Net cash provided by operating activities	<u><u>\$ 28,222</u></u>

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF FIDUCIARY NET POSITION
TRUST AND AGENCY FUNDS
June 30, 2018

	Trust Fund Scholarship Trust	Agency Fund Student Body Funds
ASSETS		
Cash and investments (Note 2):		
Cash in County Treasury	\$ 16,024	\$ -
Cash on hand and in banks	-	268,575
Receivables	<u>133</u>	<u>-</u>
Total assets	<u>16,157</u>	<u>\$ 268,575</u>
LIABILITIES		
Due to student groups	<u>-</u>	<u>\$ 268,575</u>
NET POSITION		
Restricted for scholarships	<u>\$ 16,157</u>	

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
STATEMENT OF CHANGE IN FIDUCIARY NET POSITION
TRUST FUND
For the Year Ended June 30, 2018

	Scholarship Trust
Additions:	
Interest	\$ <u>2,755</u>
Deductions:	
Books and supplies	1,494
Contract services and operating expenditures	<u>2,500</u>
Total deductions	<u>3,994</u>
Change in net position	(1,239)
Net position, July 1, 2017	<u>17,396</u>
Net position, June 30, 2018	<u><u>\$ 16,157</u></u>

See accompanying notes to financial statements.

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Natomas Unified School District (the "District") accounts for its financial transactions in accordance with the policies and procedures of the California Department of Education's *California School Accounting Manual*. The accounting policies of the District conform to accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board. The following is a summary of the more significant policies:

Reporting Entity: The Board of Trustees is the level of government which has governance responsibilities over all activities related to public school education in the District. The Board is not included in any other governmental "reporting entity" as defined by the Governmental Accounting Standards Board since Board members have decision-making authority, the power to designate management, the responsibility to significantly influence operations and primary accountability for fiscal matters.

The District and the Natomas Unified School District Financing Corporation (the "Corporation") have a financial and operational relationship which meet the reporting entity definition criteria of the *Codification of Governmental Accounting and Financial Reporting Standards, Section 2100*, for inclusion of the Corporation as a blended component unit of the District. Therefore, the financial activities of the Corporation have been included in the basic financial statements of the District.

The following are those aspects of the relationship between the District and the Corporation which satisfy *Codification of Governmental Accounting and Financial Reporting Standards, Section 2100*, criteria:

A - Manifestations of Oversight

1. The Corporation's Board of Directors were appointed by the District's Board of Trustees.
2. The Corporation has no employees. The District's Superintendent and Deputy Superintendent of Business Services function as agents of the Corporation. Neither individual received additional compensation for work performed in this capacity.
3. The District exercises significant influence over operations of the Corporation as it is anticipated that the District will be the sole lessee of all facilities owned by the Corporation.

B - Accounting for Fiscal Matters

1. All major financing arrangements, contracts, and other transactions of the Corporation must have the consent of the District.
2. Any deficits incurred by the Corporation will be reflected in the lease payments of the District. Any surpluses of the Corporation revert to the District at the end of the lease period.
3. It is anticipated that the District's lease payments will be the sole revenue source of the Corporation.
4. The District has assumed a "moral obligation," and potentially a legal obligation, for any debt incurred by the Corporation.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

C - Scope of Public Service and Financial Presentation

1. The Corporation was created for the sole purpose of financially assisting the District.
2. The Corporation is a nonprofit, public benefit corporation incorporated under the laws of the State of California and recorded by the Secretary of State. The Corporation was formed to provide financing assistance to the District for construction and acquisition of major capital facilities. Upon completion the District intends to occupy all Corporation facilities. When the Corporation's Certificates of Participation have been paid with state reimbursements and the District's developer fees, title of all Corporation property will pass to the District for no additional consideration.
3. For financial presentation purposes, the Corporation's financial activity has been blended with the financial data of the District. The financial statements present the Corporation's financial activity in the Building Fund. Certificates of Participation issued by the Corporation are included as liabilities in the Statement of Net Position.

Basis of Presentation - Financial Statements: The basic financial statements include a Management's Discussion and Analysis (MD & A) section providing an analysis of the District's overall financial position and results of operations, financial statements prepared using full accrual accounting for all of the District's activities, including infrastructure, and a focus on the major funds.

Basis of Presentation - Government-Wide Financial Statements: The Statement of Net Position and the Statement of Activities displays information about the reporting government as a whole. Fiduciary funds are not included in the government-wide financial statements. Fiduciary funds are reported only in the Statement of Fiduciary Net Position and the Statement of Change in Fiduciary Net Position at the fund financial statement level.

The Statement of Net Position and the Statement of Activities are prepared using the economic resources measurement focus and the accrual basis of accounting. Revenues, expenses, gains, losses, assets and liabilities resulting from exchange and exchange-like transactions are recognized when the exchange takes place. Revenues, expenses, gains, losses, assets and liabilities resulting from nonexchange transactions are recognized in accordance with the requirements of Governmental Accounting Standards Board Codification Section (GASB Cod. Sec.) N50.118-.121.

Program revenues: Program revenues included in the Statement of Activities derive directly from the program itself or from parties outside the District's taxpayers or citizenry, as a whole; program revenues reduce the cost of the function to be financed from the District's general revenues.

Allocation of indirect expenses: The District reports all direct expenses by function in the Statement of Activities. Direct expenses are those that are clearly identifiable with a function. Depreciation expense is specifically identified by function and is included in the direct expense of each function. Interest on general long-term liabilities is considered an indirect expense and is reported separately on the Statement of Activities.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Basis of Presentation - Fund Accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for with a separate set of self-balancing accounts that comprise its assets, liabilities, fund balance, revenues, and expenditures or expenses, as appropriate. District resources are allocated to and accounted for in individual funds based upon the purpose for which they are to be spent and the means by which spending activities are controlled.

A - Major Funds

General Fund:

The General Fund is the general operating fund of the District and accounts for all revenues and expenditures of the District not encompassed within other funds. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. General operating expenditures and the capital improvement costs that are not paid through other funds are paid from the General Fund. For fiscal reporting purposes, the current year activity and year end balance of the Special Reserve for Postemployment Benefits Fund is combined with the General Fund.

Charter Schools Fund:

The Charter Schools Fund is a special revenue fund used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specified purposes. Effective July 1, 2017 Natomas Charter School is no longer included in the Charter Schools Fund of the District. Accordingly, \$10,510,571 was transferred out of the Charter Schools Fund during the year ended June 30, 2018.

Building Fund:

The Building Fund is a capital projects fund used to account for resources used for the acquisition or construction of capital facilities by the District.

Capital Facilities Fund:

The Capital Facilities Fund is a capital projects fund used to account for moneys received from fees levied on development projects.

Bond Interest and Redemption Fund:

The Bond Interest and Redemption Fund is a debt service fund used to account for the accumulation of resources for, and the payment of, general long-term debt principal, interest, and related costs.

B - Other Funds

Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specified purposes. This includes the Adult Education, Child Development, Cafeteria and Deferred Maintenance Funds.

Capital Projects Funds are used to account for resources used for the acquisition or construction of capital facilities by the District. This includes the County School Facilities and Special Reserve for Capital Outlay Funds.

The Cafeteria Enterprise Fund is an enterprise fund used to account for a cafeteria program in a manner similar to private business enterprises.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Trust Funds:

The Scholarship Trust Fund is a trust fund used to account for amounts held by the District as Trustee, to be used to provide scholarships to students of the District.

Student Body Fund is an agency fund used to account for revenues and expenditures of the various student body organizations. All cash activity, assets and liabilities of the various student bodies of the District are accounted for in Student Body Funds.

Basis of Accounting: Basis of accounting refers to when revenues and expenditures or expenses are recognized in the accounts and reported in the basic financial statements. Basis of accounting relates to the timing of the measurement made, regardless of the measurement focus applied.

Accrual: Governmental activities in the government-wide financial statements and the fiduciary fund financial statements are presented on the accrual basis of accounting. Revenues are recognized when earned and expenses are recognized when incurred.

Modified Accrual: The governmental funds financial statements are presented on the modified accrual basis of accounting. Under the modified accrual basis of accounting, revenues are recorded when susceptible to accrual; i.e., both measurable and available. "Available" means collectible within the current period or within 60 days after year end. Expenditures are generally recognized under the modified accrual basis of accounting when the related liability is incurred. The exception to this general rule is that principal and interest on general obligation long-term liabilities, if any, is recognized when due.

Budgets and Budgetary Accounting: By state law, the Board of Trustees must adopt a final budget by July 1. A public hearing is conducted to receive comments prior to adoption. The Board of Trustees complied with these requirements.

Receivables: Receivables are made up principally of amounts due from the State of California and Categorical programs. The District has determined that no allowance for doubtful accounts was needed as of June 30, 2018.

Stores Inventory: Inventories in the Cafeteria Fund are valued at average cost. Inventory recorded in the Cafeteria Fund consists mainly of food and consumable supplies. Inventories are recorded as an expenditure at the time the individual inventory items are transferred from the warehouse to schools.

Capital Assets: Capital assets purchased or acquired, with an original cost of \$5,000 or more, are recorded at historical cost or estimated historical cost. Contributed assets are reported at acquisition value for the contributed asset. Additions, improvements and other capital outlay that significantly extend the useful life of an asset are capitalized. Other costs incurred for repairs and maintenance are expensed as incurred. Capital assets are depreciated using the straight-line method over 3 - 30 years depending on asset types.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Deferred Outflows/Inflows of Resources: In addition to assets, the Statement of Net Position includes a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s), and as such will not be recognized as an outflow of resources (expense/expenditures) until then. The District has recognized a deferred loss on refunding of debt, in the Statement of Net Position. A deferred loss on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter life of the refunded or refunding debt. Additionally, the District has recognized a deferred outflow of resources related to the recognition of the net pension liability reported in the Statement of Net Position.

In addition to liabilities, the Statement of Net Position includes a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and as such, will not be recognized as an inflow of resources (revenue) until that time. The District has recognized a deferred inflow of resources related to the recognition of the net pension liability reported in the Statement of Net Position.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the State Teachers' Retirement Plan (STRP) and Public Employers Retirement Fund B (PERF B) and additions to/deductions from STRP's and PERF B's fiduciary net position have been determined on the same basis as they are reported by STRP and PERF B. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Certain investments are reported at fair value. The following is a summary of pension amounts in the aggregate:

	<u>STRP</u>	<u>PERF B</u>	<u>Total</u>
Deferred outflows of resources	\$ 33,628,675	\$ 12,497,035	\$ 46,125,710
Deferred inflows of resources	\$ 5,952,000	\$ 444,000	\$ 6,396,000
Net pension liability	\$ 107,134,000	\$ 37,697,000	\$ 144,831,000
Pension expense	\$ 16,215,817	\$ 8,033,120	\$ 24,248,937

Interfund Activity: Interfund activity is reported as either loans, services provided, reimbursements or transfers. Loans are reported as interfund receivables and payables as appropriate and are subject to elimination upon consolidation. Services provided, deemed to be at market or near market rates, are treated as revenues and expenditures/expenses. Reimbursements are when one fund incurs a cost, charges the appropriate benefiting fund and reduces its related cost as a reimbursement. All other interfund transactions are treated as transfers. Transfers between governmental funds are netted as part of the reconciliation to the government-wide financial statements.

Compensated Absences: Compensated absences benefits in the amount of \$207,980 are recorded as a liability. The liability is for the earned but unused benefits.

Accumulated Sick Leave: Sick leave benefits are not recognized as liabilities of the District. The District's policy is to record sick leave as an operating expenditure or expense in the period taken since such benefits do not vest nor is payment probable; however, unused sick leave is added to the creditable service period for calculation of retirement benefits for certain STRP and PERF B employees, when the employee retires.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Unearned Revenue: Revenue from federal, state, and local special projects and programs is recognized when qualified expenditures have been incurred. Funds received but not earned are recorded as unearned revenue until earned.

Net Position: Net position is displayed in three components:

- 1 - Net Investment in Capital Assets - Consists of capital assets including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances (excluding unspent bond proceeds) of any bonds, mortgages, notes or other borrowings that are attributable to the acquisition, construction, or improvement of those assets, net of deferred losses on refunding.
- 2 - Restricted Net Position - Restrictions of the ending net position indicate the portions of net position not appropriate for expenditure or amounts legally segregated for a specific future use. The restriction for legally restricted programs represents the portion of net position restricted to specific program expenditures. The restriction for capital projects represents the portion of net position restricted for capital projects. The restriction for debt service represents the portion of net position available for the retirement of debt. The restriction for cafeteria enterprise represents the portion of net position restricted for cafeteria enterprise activities. The restriction for scholarships represents the portion of net position restricted for scholarships. It is the District's policy to use restricted net position first when allowable expenditures are incurred.
- 3 - Unrestricted Net Position - All other net position that does not meet the definitions of "restricted" or "net investment in capital assets".

Fund Balance Classifications: Governmental Accounting Standards Board Codification Sections 1300 and 1800, *Fund Balance Reporting and Governmental Fund Type Definitions* (GASB Cod. Sec. 1300 and 1800) implements a five-tier fund balance classification hierarchy that depicts the extent to which a government is bound by spending constraints imposed on the use of its resources. The five classifications, discussed in more detail below, are nonspendable, restricted, committed, assigned and unassigned.

A - Nonspendable Fund Balance:

The nonspendable fund balance classification reflects amounts that are not in spendable form, such as revolving fund cash, prepaid expenditures and stores inventory.

B - Restricted Fund Balance:

The restricted fund balance classification reflects amounts subject to externally imposed and legally enforceable constraints. Such constraints may be imposed by creditors, grantors, contributors, or laws or regulations of other governments, or may be imposed by law through constitutional provisions or enabling legislation. These are the same restrictions used to determine restricted net position as reported in the government-wide and fiduciary trust fund statements.

C - Committed Fund Balance:

The committed fund balance classification reflects amounts subject to internal constraints self-imposed by formal action of the Board of Trustees. The constraints giving rise to committed fund balance must be imposed no later than the end of the reporting period. The actual amounts may be determined subsequent to that date but prior to the issuance of the financial statements. Formal action by the Board of Trustees is required to remove any commitment from any fund balance.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

D - Assigned Fund Balance:

The assigned fund balance classification reflects amounts that the District's Board of Trustees has approved to be used for specific purposes, based on the District's intent related to those specific purposes. The Board of Trustees can designate personnel with the authority to assign fund balances, however, as of June 30, 2018, no such designation has occurred.

E - Unassigned Fund Balance:

In the General Fund only, the unassigned fund balance classification reflects the residual balance that has not been assigned to other funds and that is not restricted, committed, or assigned to specific purposes.

In any fund other than the General Fund, a positive unassigned fund balance is never reported because amounts in any other fund are assumed to have been assigned, at least, to the purpose of that fund. However, deficits in any fund, including the General Fund that cannot be eliminated by reducing or eliminating amounts assigned to other purposes are reported as negative unassigned fund balance.

Fund Balance Policy: The District has an expenditure policy relating to fund balances. For purposes of fund balance classifications, expenditures are to be spent from restricted fund balances first, followed in order by committed fund balances (if any), assigned fund balances and lastly unassigned fund balances.

While GASB Cod. Sec. 1300 and 1800 do not require Districts to establish a minimum fund balance policy or a stabilization arrangement, GASB Cod. Sec. 1300 and 1800 do require the disclosure of a minimum fund balance policy and stabilization arrangements, if they have been adopted by the Board of Trustees. At June 30, 2018, the District has established a minimum fund balance policy of 9%. At June 30, 2018, the District has two established stabilization arrangements, including one for SELPA.

Property Taxes: Secured property taxes are attached as an enforceable lien on property as of March 1. Taxes are due in two installments on or before December 10 and April 10. Unsecured property taxes are due in one installment on or before August 31. The County of Sacramento bills and collects taxes for the District. Tax revenues are recognized by the District when received.

Encumbrances: Encumbrance accounting is used in all budgeted funds to reserve portions of applicable appropriations for which commitments have been made. Encumbrances are recorded for purchase orders, contracts, and other commitments when they are written. Encumbrances are liquidated when the commitments are paid. All encumbrances are liquidated at June 30.

Eliminations and Reclassifications: In the process of aggregating data for the Statement of Net Position and the Statement of Activities, some amounts reported as interfund activity and balances in the funds were eliminated or reclassified. Interfund receivables and payables were eliminated to minimize the "grossing up" effect on assets and liabilities within the governmental activities column.

Estimates: The preparation of basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenditures during the reporting period. Accordingly, actual results may differ from those estimates.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

New Accounting Pronouncements: In June 2015, GASB issued Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other than Pensions. This Statement improves accounting and financial reporting by state and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by state and local governmental employers about financial support for OPEB that is provided by other entities. The provisions in GASB Statement No. 75 are effective for fiscal years beginning after June 15, 2017. Based on the implementation of Statement No. 75, the District's July 1, 2017 net position was restated by decreasing net position by \$6,801,695 because of the recognition of the net OPEB liability.

NOTE 2 - CASH AND INVESTMENTS

Cash and investments at June 30, 2018 are reported at fair value and consisted of the following:

	Governmental Funds	Business-Type Activities	Fiduciary Activities
Pooled Funds:			
Cash in County Treasury	\$ 98,218,972	\$ 28,462	\$ 16,024
Deposits:			
Cash on hand and in banks	2,700	-	268,575
Cash in revolving fund	<u>40,000</u>	<u>-</u>	<u>-</u>
Total deposits	<u>42,700</u>	<u>-</u>	<u>268,575</u>
Cash awaiting deposit	<u>3,587</u>	<u>-</u>	<u>-</u>
Investments:			
Cash with Fiscal Agent	<u>2,233,389</u>	<u>-</u>	<u>-</u>
Total cash	<u>\$ 100,498,648</u>	<u>\$ 28,462</u>	<u>\$ 284,599</u>

Pooled Funds: In accordance with Education Code Section 41001, the District maintains substantially all of its cash in the interest bearing Sacramento County Treasurer's Pooled Investment Fund. The District is considered to be an involuntary participant in an external investment pool. The fair value of the District's investment in the pool is reported in the financial statements at amounts based upon the District's prorate share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

Deposits - Custodial Credit Risk - Deposits: The District limits custodial credit risk by ensuring uninsured balances are collateralized by the respective financial institution. Cash balances held in banks are insured up to \$250,000 by the Federal Deposit Insurance Corporation (FDIC) and are collateralized by the respective financial institution. At June 30, 2018, the carrying amount of the District's accounts were \$311,275 and the bank balance was \$357,548, all of which was insured.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 2 - CASH AND INVESTMENTS (Continued)

Cash with Fiscal Agent: Cash with Fiscal Agent in the General Fund totaling \$1,514,523 represents cash held by third party custodians related to the PARS pension stabilization trust and is fully collateralized. Cash with Fiscal Agent in the Building Fund totaling \$718,866 represents cash held with third party custodians for capital projects and is fully collateralized.

Interest Rate Risk: The District does not have a formal investment policy that limits cash and investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. At June 30, 2018, the District had no significant interest rate risk related to cash and investments held.

Credit Risk: The District does not have a formal investment policy that limits its investment choices other than the limitations of state law.

Concentration of Credit Risk: The District does not place limits on the amount it may invest in any one issuer. At June 30, 2018, the District had no concentration of credit risk.

NOTE 3 - INTERFUND TRANSACTIONS

Interfund Activity: Transactions between funds of the District are recorded as interfund transfers. The unpaid balances at year end, as a result of such transactions, are shown as due to and due from other funds.

Interfund Receivables/Payables: Individual interfund receivable and payable balances at June 30, 2018 were as follows:

<u>Fund</u>	<u>Interfund Receivables</u>	<u>Interfund Payables</u>
Major Governmental Funds:		
General	\$ 1,803,631	\$ 624,562
Charter Schools	610,997	1,279,505
Building	125,383	-
Capital Facilities	-	331,049
Non-Major Governmental Funds:		
Adult Education	-	8,645
Child Development	674	60,785
Cafeteria	75,001	374,250
Proprietary Fund:		
Cafeteria Enterprise	<u>126,221</u>	<u>63,111</u>
Totals	<u>\$ 2,741,907</u>	<u>\$ 2,741,907</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 3 - INTERFUND TRANSACTIONS (Continued)

Interfund Transfers: Interfund transfers consist of operating transfers from funds receiving revenue to funds through which the resources are to be expended.

Interfund transfers for the 2017-2018 fiscal year were as follows:

Transfer from the Charter Schools Fund to the General Fund for special education fees.	\$ 602,440
Transfer from the Charter Schools Fund to the Building Fund for the new Star Academy building.	124,382
Transfer from the Charter School Fund to the County School Facilities Fund for West Lake Charter projects.	1,375,722
Transfer from the Capital Facilities Fund to the General Fund for administrative fees.	331,049
Transfer from the Capital Facilities Fund to the Charter Schools Fund for STAR Academy lease.	175,200
Transfer from the Capital Facilities Fund to the County School Facilities Fund for portable classrooms at Heron Elementary School.	1,004
Transfer from the Adult Education Fund to the General Fund for indirect costs.	5,445
Transfer from the Child Development Fund to the General Fund for indirect costs.	60,785
Transfer from the Cafeteria Fund to the General Fund for indirect costs.	247,995
Transfer from the Cafeteria Fund to the Cafeteria Enterprise Fund for activity recorded in Cafeteria Fund during the year.	126,221
Transfer from the Cafeteria Enterprise Fund to the Cafeteria Fund to pay for cost of food.	<u>63,111</u>
	<u><u>\$ 3,113,354</u></u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 4 - CAPITAL ASSETS

A schedule of changes in capital assets for the year ended June 30, 2018 is shown below:

	Balance July 1, <u>2017</u>	Transfers and <u>Additions</u>	Transfers and <u>Deductions</u>	Balance June 30, <u>2018</u>
<u>Governmental Activities</u>				
Non-depreciable:				
Land	\$ 70,511,654	\$ 508,981	\$ -	\$ 71,020,635
Work-in-process	58,264,923	-	47,853,174	10,411,749
Depreciable:				
Buildings	402,262,006	41,055,669	-	443,317,675
Site improvements	21,747,480	-	11,179,462	10,568,018
Equipment	<u>13,440,542</u>	<u>1,096,697</u>	<u>-</u>	<u>14,537,239</u>
Totals, at cost	<u>566,226,605</u>	<u>42,661,347</u>	<u>59,032,636</u>	<u>549,855,316</u>
Less accumulated depreciation:				
Buildings	(95,295,378)	(9,229,022)	-	(104,524,400)
Site improvements	(4,735,041)	(527,753)	-	(5,262,794)
Equipment	<u>(10,380,848)</u>	<u>(617,400)</u>	<u>-</u>	<u>(10,998,248)</u>
Total accumulated depreciation	<u>(110,411,267)</u>	<u>(10,374,175)</u>	<u>-</u>	<u>(120,785,442)</u>
Capital assets, net	<u>\$ 455,815,338</u>	<u>\$ 32,287,172</u>	<u>\$ 59,032,636</u>	<u>\$ 429,069,874</u>

Changes in capital assets reflected in the table above includes \$11,179,462 in depreciable assets reclassified from site improvements to buildings and \$17,976,967 in work-in-process previously capitalized and written off in the year ended June 30, 2018.

Depreciation expense was charged to governmental activities as follows:

Instruction	\$ 76,115
Instructional supervision	1,240
Food services	55,569
All other pupil services	60,774
Ancillary services	4,697
Centralized data processing	47,618
Plant services	7,205,232
All other general administration	14,520
Depreciation (unallocated)	<u>2,908,410</u>
Total depreciation expense	<u>\$ 10,374,175</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 5 - LONG-TERM LIABILITIES

General Obligation Bonds:

Refunding Bonds, Series 1999:

On January 1, 1999 the District issued 1999 Refunding General Obligation Bonds totaling \$22,450,000. Repayment of the bonds is made from the special parcel tax revenues levied in connection with the bond issue. The bonds bear interest rates from 4.70% to 5.95% and are scheduled to mature through September 2021 as follows:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 665,000	\$ 135,660	\$ 800,660
2020	705,000	95,646	800,646
2021	750,000	53,253	803,253
2022	<u>275,000</u>	<u>8,181</u>	<u>283,181</u>
	<u>\$ 2,395,000</u>	<u>\$ 292,740</u>	<u>\$ 2,687,740</u>

Series 2007:

On August 1, 2007, the District issued General Obligation Bonds, Election of 2006, Series 2007 in the amount of \$54,999,999 for addition and modernization of school facilities. The District authorized the bonds pursuant to the special election of the registered voters held on June 6, 2006, and the bonds are payable from the ad valorem taxes to be levied annually upon all property subject to taxation by the District. The bonds bear interest rates from 3.90% to 5.65% and are scheduled to mature through August 2032 as follows:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 1,765,620	\$ 1,467,575	\$ 3,233,195
2020	2,043,492	1,467,575	3,511,067
2021	1,453,456	1,467,575	2,921,031
2022	1,497,995	1,467,575	2,965,570
2023	1,526,530	1,467,575	2,994,105
2024-2028	8,055,813	7,337,875	15,393,688
2029-2033	<u>2,919,895</u>	<u>1,467,575</u>	<u>4,387,470</u>
	<u>\$ 19,262,801</u>	<u>\$ 16,143,325</u>	<u>\$ 35,406,126</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 5 - LONG-TERM LIABILITIES (Continued)

Series 2012:

On June 19, 2012, the District issued 2012 General Obligation Refunding bonds in the amount of \$18,165,000 to refund the 2001 and 2003A series General Obligation Bonds, which were originally issued to finance the acquisition and construction of new schools and for the alteration and additions of existing schools. The bonds are payable from the ad valorem taxes to be levied annually upon all property subject to taxation by the District. The bonds bear interest rates from 3.0% to 4.0% and are scheduled to mature through September 2027 as follows:

Year Ended <u>June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 1,025,000	\$ 479,975	\$ 1,504,975
2020	1,100,000	448,100	1,548,100
2021	1,175,000	413,975	1,588,975
2022	1,260,000	377,450	1,637,450
2023	1,340,000	336,775	1,676,775
2024-2028	<u>7,875,000</u>	<u>797,900</u>	<u>8,672,900</u>
	<u>\$ 13,775,000</u>	<u>\$ 2,854,175</u>	<u>\$ 16,629,175</u>

Refunding bonds, 2013:

On July 1, 2013 the District issued 2013 General Obligation Refunding Bonds in the amount of \$27,265,000 to refund a portion of the District's outstanding General Obligation Bonds, Election of 2002, Series 2004B and to pay costs of issuing the Refunding Bonds. As of June 30, 2018, no amounts of the refunded bonds were outstanding. The bonds bear interest rates from 2.0% to 5.0% and are scheduled to mature in varying amounts through August 2028 as follows:

Year Ending <u>June 30</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 1,210,000	\$ 972,700	\$ 2,182,700
2020	1,330,000	927,950	2,257,950
2021	1,465,000	872,050	2,337,050
2022	1,610,000	810,550	2,420,550
2023	1,770,000	742,950	2,512,950
2024-2028	11,645,000	2,274,000	13,919,000
2029	<u>4,130,000</u>	<u>72,275</u>	<u>4,202,275</u>
	<u>\$ 23,160,000</u>	<u>\$ 6,672,475</u>	<u>\$ 29,832,475</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 5 - LONG-TERM LIABILITIES (Continued)

Refunding bonds, 2014:

In December 2014 the District issued \$52,530,000 of 2014 General Obligation Refunding Bonds to refund a portion of the District's outstanding General Obligation Bonds, Election of 2006, Series 2006 Bonds and to pay costs of issuing the Refunding Bonds. As of June 30, 2018, no amounts of the refunded bonds were outstanding. The bonds bear interest rates from 1.0% to 5.0% and mature in varying amounts through August 2030 as follows:

Year Ending June 30	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 585,000	\$ 2,026,856	\$ 2,611,856
2020	590,000	2,009,181	2,599,181
2021	2,115,000	1,941,556	4,056,556
2022	2,545,000	1,825,056	4,370,056
2023	3,020,000	1,685,931	4,705,931
2024-2028	24,135,000	5,433,031	29,568,031
2029-2031	<u>17,080,000</u>	<u>664,797</u>	<u>17,744,797</u>
	<u>\$ 50,070,000</u>	<u>\$ 15,586,408</u>	<u>\$ 65,656,408</u>

Series 2015:

In July 2015 the District issued \$69,500,000 of General Obligation Bonds, Election of 2014, Series 2015 to finance the acquisition and improvement of real property for school purposes and pay the costs of issuance of the Bonds. The bonds bear interest rates from 2.0% to 5.0% and mature in varying amounts through August 2040 as follows:

Year Ending June 30	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ -	\$ 2,622,925	\$ 2,622,925
2020	-	2,622,925	2,622,925
2021	-	2,622,925	2,622,925
2022	-	2,622,925	2,622,925
2023	1,005,000	2,612,875	3,617,875
2024-2028	8,575,000	12,099,500	20,674,500
2029-2033	14,925,000	9,712,856	24,637,856
2034-2038	22,430,000	5,889,831	28,319,831
2039-2041	<u>17,715,000</u>	<u>1,092,300</u>	<u>18,807,300</u>
	<u>\$ 64,650,000</u>	<u>\$ 41,899,062</u>	<u>\$ 106,549,062</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 5 - LONG-TERM LIABILITIES (Continued)

Series 2017:

In August 2016 the District issued \$39,000,000 of General Obligation Bonds, Election of 2014, Series 2017 to finance the acquisition and improvement of real property for school purposes and pay the costs of issuance of the bonds. The bonds bear interest rates from 4.0% to 5.0% and mature in varying amounts through August 2042 as follows:

Year Ending <u>June 30</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 1,190,000	\$ 1,651,150	\$ 2,841,150
2020	1,040,000	1,595,400	2,635,400
2021	1,330,000	1,536,150	2,866,150
2022	1,050,000	1,476,650	2,526,650
2023	-	1,450,400	1,450,400
2024-2028	130,000	7,248,750	7,378,750
2029-2033	2,950,000	6,938,250	9,888,250
2034-2038	8,375,000	5,585,400	13,960,400
2029-2043	<u>22,935,000</u>	<u>2,863,900</u>	<u>25,798,900</u>
	<u>\$ 39,000,000</u>	<u>\$ 30,346,050</u>	<u>\$ 69,346,050</u>

Refunding bonds, 2017

In August 2016 the District issued \$32,130,000 of 2017 General Obligation Refunding Bonds to refund a portion of the District's outstanding Election of 2006, Series 2007 General Obligation Bonds and 2008 General Obligation Refunding Bonds and to pay costs of issuing the Refunding Bonds. As of June 30, 2017, \$29,120,000 of the refunded Election of 2006, Series 2007 General Obligation Bonds (excluding compounded interest) was outstanding and will be redeemed on August 1, 2017. The bonds bear interest rate of 5.0% and mature in varying amounts through August 2032 as follows:

Year Ending <u>June 30</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 1,725,000	\$ 1,439,125	\$ 3,164,125
2020	1,480,000	1,359,000	2,839,000
2021	100,000	1,319,500	1,419,500
2022	105,000	1,314,375	1,419,375
2023	110,000	1,309,000	1,419,000
2024-2028	635,000	6,455,125	7,090,125
2029-2033	<u>25,490,000</u>	<u>4,727,250</u>	<u>30,217,250</u>
	<u>\$ 29,645,000</u>	<u>\$ 17,923,375</u>	<u>\$ 47,568,375</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 5 - LONG-TERM LIABILITIES (Continued)

Capital Lease Payable: The District is leasing furniture and equipment under long-term lease purchase agreements with capitalized value of \$385,893 and accumulated depreciation of zero. The following is a summary of future payments on the capital leases:

Year Ending June 30	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2019	\$ 83,546	\$ 9,161	\$ 92,707
2020	83,546	9,161	92,707
2021	83,546	9,161	92,707
2022	<u>83,545</u>	<u>9,161</u>	<u>92,706</u>
	<u>\$ 334,183</u>	<u>\$ 36,644</u>	<u>\$ 370,827</u>

Schedule of Changes in Long-Term Liabilities: A schedule of changes in long-term liabilities for the year ended June 30, 2018 is shown below:

	Balance July 1, 2017 <u>As restated</u>	<u>Additions</u>	<u>Deductions</u>	Balance June 30, 2018	Amounts Due Within One Year
Governmental activities:					
General Obligation Bonds	\$ 252,035,392	\$ -	\$ 10,077,591	\$ 241,957,801	\$ 8,165,620
Accreted interest	17,941,347	2,186,158	967,409	19,160,096	1,398
Premium on issuance of debt	13,472,288	-	768,425	12,703,863	732,719
Capital lease payable	-	417,729	83,546	334,183	83,546
Certificates of Participation	8,995,000	-	8,995,000	-	-
Charter school loan	3,315,890	-	3,315,890	-	-
Total OPEB liability (Note 9)	17,341,828	669,728	-	18,011,556	-
Net pension liability (Notes 7 and 8)	125,193,000	19,638,000	-	144,831,000	-
Compensated absences	<u>171,207</u>	<u>36,773</u>	<u>-</u>	<u>207,980</u>	<u>207,980</u>
	<u>\$ 438,465,952</u>	<u>\$ 22,948,388</u>	<u>\$ 24,207,861</u>	<u>\$ 437,206,479</u>	<u>\$ 9,191,263</u>

Accreted interest of \$19,160,096 at June 30, 2018 was originated from 1999 Refunding General Obligation Bonds and General Obligation Bonds, Election of 2006, Series 2007.

Payments on the General Obligation Bonds are made from the Building and Bond Interest and Redemption Funds. Payments on the capital lease are made from the Charter Schools Fund. Payments on total OPEB liability, net pension liability and compensated absences are made from the fund for which the related employee worked.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 6 - FUND BALANCES

Fund balances, by category, at June 30, 2018 consisted of the following:

	General Fund	Charter Schools Fund	Building Fund	Capital Facilities Fund	Bond Interest and Redemption Fund	All Non-Major Funds	Total
Nonspendable:							
Revolving cash fund	\$ 35,000	\$ 5,000	\$ -	\$ -	\$ -	\$ -	\$ 40,000
Prepaid expenditures	529,439	29,785	-	-	-	-	559,224
Stores inventory	-	-	-	-	-	39,770	39,770
Subtotal nonspendable	<u>564,439</u>	<u>34,785</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>39,770</u>	<u>638,994</u>
Restricted:							
Legally restricted programs	4,860,370	18,636,524	-	-	-	1,397,774	24,894,668
Capital projects	-	-	19,570,830	20,285,597	-	19,645	39,876,072
Debt service	-	-	-	-	14,993,183	-	14,993,183
Subtotal restricted	<u>4,860,370</u>	<u>18,636,524</u>	<u>19,570,830</u>	<u>20,285,597</u>	<u>14,993,183</u>	<u>1,417,419</u>	<u>79,763,923</u>
Committed:							
Stabilization Arrangement	6,687,703	-	-	-	-	-	6,687,703
Other Commitments:							
Social Studies Textbook Adoption	1,500,000	-	-	-	-	-	1,500,000
Science Textbook Adoption	1,500,000	-	-	-	-	-	1,500,000
SELPA Stabilization	<u>500,000</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>500,000</u>
Subtotal committed	<u>10,187,703</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>10,187,703</u>
Assigned:							
Diversity recruitment	1,003,175	-	-	-	-	-	1,003,175
Science materials	100,000	-	-	-	-	-	100,000
Human Resource information system	200,000	-	-	-	-	-	200,000
K-8 Conversion	893,000	-	-	-	-	-	893,000
OPEB Reserve	<u>132,380</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>132,380</u>
Subtotal assigned	<u>2,328,555</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>2,328,555</u>
Unassigned:							
Designated for economic uncertainty	<u>3,322,000</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>3,322,000</u>
Total fund balances	<u>\$ 21,263,067</u>	<u>\$ 18,671,309</u>	<u>\$ 19,570,830</u>	<u>\$ 20,285,597</u>	<u>\$ 14,993,183</u>	<u>1,457,189</u>	<u>\$ 96,241,175</u>

(Continued)

NOTE 7 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN

General Information about the State Teachers' Retirement Plan

Plan Description: Teaching-certified employees of the District are provided with pensions through the State Teachers' Retirement Plan (STRP) – a cost-sharing multiple-employer defined benefit pension plan administered by the California State Teachers' Retirement System (CalSTRS). The Teachers' Retirement Law (California Education Code Section 22000 et seq.), as enacted and amended by the California Legislature, established this plan and CalSTRS as the administrator. The benefit terms of the plans may be amended through legislation. CalSTRS issues a publicly available financial report that can be obtained at <http://www.calstrs.com/comprehensive-annual-financial-report>.

Benefits Provided: The STRP Defined Benefit Program has two benefit formulas:

- CalSTRS 2% at 60: Members first hired on or before December 31, 2012, to perform service that could be creditable to CalSTRS.
- CalSTRS 2% at 62: Members first hired on or after January 1, 2013, to perform service that could be creditable to CalSTRS.

The Defined Benefit (DB) Program provides retirement benefits based on members' final compensation, age and years of service credit. In addition, the retirement program provides benefits to members upon disability and to survivors/beneficiaries upon the death of eligible members. There are several differences between the two benefit formulas which are noted below.

CalSTRS 2% at 60

CalSTRS 2% at 60 members are eligible for normal retirement at age 60, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. Early retirement options are available at age 55 with five years of credited service or as early as age 50 with 30 years of credited service. The age factor for retirements after age 60 increases with each quarter year of age to 2.4 percent at age 63 or older. Members who have 30 years or more of credited service receive an additional increase of up to 0.2 percent to the age factor, known as the career factor. The maximum benefit with the career factor is 2.4 percent of final compensation.

CalSTRS calculates retirement benefits based on a one-year final compensation for members who retired on or after January 1, 2001, with 25 or more years of credited service, or for classroom teachers with less than 25 years of credited service if the employer elected to pay the additional benefit cost prior to January 1, 2014. One-year final compensation means a member's highest average annual compensation earnable for 12 consecutive months calculated by taking the creditable compensation that a member could earn in a school year while employed on a fulltime basis, for a position in which the person worked. For members with less than 25 years of credited service, final compensation is the highest average annual compensation earnable for any three consecutive years of credited service.

CalSTRS 2% at 62

CalSTRS 2% at 62 members are eligible for normal retirement at age 62, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. An early retirement option is available at age 55. The age factor for retirement after age 62 increases with each quarter year of age to 2.4 percent at age 65 or older.

All CalSTRS 2% at 62 members have their final compensation based on their highest average annual compensation earnable for three consecutive years of credited service.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 7 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

Contributions: Required member, employer and state contribution rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. Contribution rates are expressed as a level percentage of payroll using the entry age normal actuarial cost method.

A summary of statutory contribution rates and other sources of contributions to the Defined Benefit Program are as follows:

Members - Under CalSTRS 2% at 60, the member contribution rate was 10.25 percent of applicable member earnings for fiscal year 2017-2018. Under CalSTRS 2% at 62, members contribute 50 percent of the normal cost of their retirement plan, which resulted in a contribution rate of 9.205 percent of applicable member earnings for fiscal year 2017-2018.

In general, member contributions cannot increase unless members are provided with some type of "comparable advantage" in exchange for such increases. Under previous law, the Legislature could reduce or eliminate the 2 percent annual increase to retirement benefits. As a result of AB 1469, effective July 1, 2014, the Legislature cannot reduce the 2 percent annual benefit adjustment for members who retire on or after January 1, 2014, and in exchange for this "comparable advantage," the member contribution rates have been increased by an amount that covers a portion of the cost of the 2 percent annual benefit adjustment.

According to current law, the contribution rate for CalSTRS 2% at 62 members is adjusted if the normal cost increases or decreases by more than 1 percent since the last time the member contribution rate was set. Based on the June 30, 2017, valuation adopted by the board in May 2018, the increase in normal cost was greater than 1 percent. Therefore, contribution rates for CalSTRS 2% at 62 members will increase by 1 percent effective July 1, 2018.

Employers – 14.43 percent of applicable member earnings.

Pursuant to AB 1469, employer contributions will increase from a prior rate of 8.25 percent to a total of 19.1 percent of applicable member earnings phased in over seven years starting in 2014. The legislation also gives the CalSTRS board limited authority to adjust employer contribution rates from July 1, 2021 through June 2046 in order to eliminate the remaining unfunded actuarial obligation related to service credited to members prior to July 1, 2014. The CalSTRS board cannot adjust the rate by more than 1 percent in a fiscal year, and the total contribution rate in addition to the 8.25 percent cannot exceed 12 percent.

The CalSTRS employer contribution rate increases effective for fiscal year 2017-2018 through fiscal year 2045-46 are summarized in the table below:

<u>Effective Date</u>	<u>Prior Rate</u>	<u>Increase</u>	<u>Total</u>
July 01, 2017	8.25%	6.18%	14.43%
July 01, 2018	8.25%	8.03%	16.28%
July 01, 2019	8.25%	9.88%	18.13%
July 01, 2020	8.25%	10.85%	19.10%
July 01, 2021 to			
June 30, 2046	8.25%	*	*
July 01, 2046	8.25%	Increase from prior rate ceases in 2046-47	

* The Teachers' Retirement Board (the "board") cannot adjust the employer rate by more than 1 percent in a fiscal year, and the increase to the contribution rate above the 8.25 percent base contribution rate cannot exceed 12 percent for a maximum of 20.25 percent.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 7 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

The District contributed \$8,315,675 to the plan for the fiscal year ended June 30, 2018.

State - 9.328 percent of the members' creditable earnings from the fiscal year ending in the prior calendar year.

Also as a result of AB 1469, the additional state appropriation required to fully fund the benefits in effect as of 1990 by 2046 is specific in subdivision (b) of Education Code Section 22955.1. The increased contributions end as of fiscal year 2045-2046. The CalSTRS state contribution rates effective for fiscal year 2017-18 and beyond are summarized in the table below.

As shown in the subsequent table, the state rate will increase to 5.311 percent on July 1, 2018, to continue paying down the unfunded liabilities associated with the benefits structure that was in place in 1990 prior to certain enhancements in benefits and reductions in contributions.

<u>Effective Date</u>	<u>Base Rate</u>	<u>AB 1469 Increase For 1990 Benefit Structure</u>	<u>SBMA Funding</u> (1)	<u>Total State Appropriation to DB Program</u>
July 01, 2018	2.017%	5.311%(2)	2.50%	9.828%(3)
July 01, 2019 to June 30, 2046	2.017%	(3)	2.50%	(3)
July 01, 2046 and thereafter	2.017%	(4)	2.50%	4.517%(3)

(1) This rate does not include the \$72 million reduction in accordance with Education Code Section 22954.

(2) In May 2018, the board of CalSTRS exercised its limited authority to increase the state contribution rate by 0.5 percent of the payroll effective July 1, 2018.

(3) The CalSTRS board has limited authority to adjust state contribution rates annually through June 30, 2046 in order to eliminate the remaining unfunded actuarial obligation associated with the 1990 benefit structure. The board cannot increase the rate by more than 0.50 percent in a fiscal year, and if there is no unfunded actuarial obligation, the contribution rate imposed to pay for the 1990 benefit structure would be reduced to 0 percent. Rates in effect prior to July 1, 2014, are reinstated if necessary to address any remaining 1990 unfunded actuarial obligation from July 1, 2046, and thereafter.

(4) From July 1, 2046, and thereafter, the rates in effect prior to July 1, 2014, are reinstated, if necessary, to address any remaining 1990 unfunded actuarial obligation.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2018, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of the net pension liability	\$ 107,134,000
State's proportionate share of the net pension liability associated with the District	<u>63,380,000</u>
Total	<u><u>\$ 170,514,000</u></u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 7 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2016. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all participating school Districts and the State. At June 30, 2017, the District's proportion was 0.116 percent, which was a decrease of 0.001 percent from its proportion measured as of June 30, 2016.

For the year ended June 30, 2018, the District recognized pension expense of \$16,215,817 and revenue of \$4,690,790 for support provided by the State. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	\$ 396,000	\$ 1,869,000
Changes of assumptions	19,848,000	-
Net differences between projected and actual earnings on investments	-	2,853,000
Changes in proportion and differences between District contributions and proportionate share of contributions	5,069,000	1,230,000
Contributions made subsequent to measurement date	<u>8,315,675</u>	<u>-</u>
Total	<u>\$ 33,628,675</u>	<u>\$ 5,952,000</u>

\$8,315,675 reported as deferred outflows of resources related to pensions resulting from contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2019. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Years Ended <u>June 30,</u>	
2019	\$ 1,618,117
2020	\$ 5,787,117
2021	\$ 4,250,617
2022	\$ 1,456,283
2023	\$ 2,941,033
2024	\$ 3,307,833

Differences between expected and actual experience and changes in assumptions are amortized over a closed period equal to the average remaining service life of plan members, which is 7 years as of the June 30, 2017 measurement date. Deferred outflows and inflows related to differences between projected and actual earnings on plan investments are netted and amortized over a closed 5-year period.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 7 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

Actuarial Methods and Assumptions: The total pension liability for the STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2016, and rolling forward the total pension liability to June 30, 2017. The financial reporting actuarial valuation as of June 30, 2016, used the following actuarial methods and assumptions, applied to all prior periods included in the measurement:

Valuation Date	June 30, 2016
Experience Study	July 1, 2010, through June 30, 2015
Actuarial Cost Method	Entry age normal
Investment Rate of Return	7.10%
Consumer Price Inflation	2.75%
Wage Growth	3.50%
Post-retirement Benefit Increases	2.00% simple for DB Not applicable for DBS/CBB

CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among its members. The projection scale was set equal to 110 percent of the ultimate improvement factor from the Mortality Improvement Scale (MP-2016) table, issued by the Society of Actuaries.

During the 2016-17 measurement period, CalSTRS completed an experience study for the period starting July 1, 2010, and ending June 30, 2015. The experience study was adopted by the board in February 2017. As a result of the study, certain assumptions used in determining the NPL of the STRP changed, including the price inflation, wage growth, discount rate and the mortality tables used in the actuarial valuation of the NPL. The changes to the assumptions as a result of the experience study follow:

<u>Assumption</u>	<u>Measurement Period</u>	
	<u>As of June 30, 2017</u>	<u>As of June 30, 2016</u>
Consumer price inflation	2.75%	3.00%
Investment rate of return	7.10%	7.60%
Wage growth	3.50%	3.75%

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 7 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant as an input to the process. The actuarial investment rate of return assumption was adopted by the CalSTRS board in February 2017 in conjunction with the most recent experience study. For each future valuation, CalSTRS consulting actuary reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

<u>Asset Class</u>	<u>Assumed Asset Allocation</u>	<u>Long-Term* Expected Real Rate of Return</u>
Global Equity	47%	6.30%
Fixed Income	12	0.30
Real Estate	13	5.20
Private Equity	13	9.30
Absolute Return / Risk Mitigating Strategies	9	2.90
Inflation Sensitive	4	3.80
Cash / Liquidity	2	(1.00)

* 20-year geometric average

Discount Rate: The discount rate used to measure the total pension liability was 7.10 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increase per AB 1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10 percent) and assuming that contributions, benefit payments, and administrative expense occur midyear. Based on those assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.10 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.10 percent) or 1-percentage-point higher (8.10 percent) than the current rate:

	<u>1% Decrease (6.10%)</u>	<u>Current Discount Rate (7.10%)</u>	<u>1% Increase (8.10%)</u>
District's proportionate share of the net pension liability	<u>\$157,307,000</u>	<u>\$107,134,000</u>	<u>\$ 66,416,000</u>

Pension Plan Fiduciary Net Position: Detailed information about the pension plan's fiduciary net position is available in the separately issued CalSTRS financial report.

(Continued)

NOTE 8 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B

General Information about the Public Employer’s Retirement Fund B

Plan Description: The schools cost-sharing multiple-employer defined benefit pension plan Public Employer’s Retirement Fund B (PERF B) is administered by the California Public Employees’ Retirement System (CalPERS). Plan membership consists of non-teaching and non-certified employees of public schools (K-12), community college districts, offices of education, charter and private schools (elective) in the State of California.

The Plan was established to provide retirement, death and disability benefits to non-teaching and noncertified employees in schools. The benefit provisions for Plan employees are established by statute. CalPERS issues a publicly available financial report that can be obtained at <https://www.calpers.ca.gov/docs/forms-publications/cafr-2017.pdf>.

Benefits Provided: The benefits for the defined benefit plans are based on members’ years of service, age, final compensation, and benefit formula. Benefits are provided for disability, death, and survivors of eligible members or beneficiaries. Members become fully vested in their retirement benefits earned to date after five years (10 years for State Second Tier members) of credited service.

Contributions: The benefits for the defined benefit pension plans are funded by contributions from members and employers, and earnings from investments. Member and employer contributions are a percentage of applicable member compensation. Member contribution rates are defined by law and depend on the respective employer’s benefit formulas. Employer contribution rates are determined by periodic actuarial valuations or by state statute. Actuarial valuations are based on the benefit formulas and employee groups of each employer. Employer contributions, including lump sum contributions made when districts first join the PERF B, are credited with a market value adjustment in determining contribution rates.

The required contribution rates of most active plan members are based on a percentage of salary in excess of a base compensation amount ranging from zero dollars to \$863 monthly.

Required contribution rates for active plan members and employers as a percentage of payroll for the year ended June 30, 2018 were as follows:

Members - The member contribution rate was 6.50 or 7.50 percent of applicable member earnings for fiscal year 2017-18.

Employers - The employer contribution rate was 15.531 percent of applicable member earnings.

The District contributed \$3,155,035 to the plan for the fiscal year ended June 30, 2018.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2018, the District reported a liability of \$37,697,000 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2016. The District’s proportion of the net pension liability was based on the District’s share of contributions to the pension plan relative to the contributions of all participating school Districts. At June 30, 2017, the District’s proportion was 0.158 percent, which was an increase of 0.003 from its proportion measured as of June 30, 2016.

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 8 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B (Continued)

For the year ended June 30, 2018, the District recognized pension expense of \$8,033,120. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	\$ 1,351,000	\$ -
Changes of assumptions	5,506,000	444,000
Net differences between projected and actual earnings on investments	1,304,000	-
Changes in proportion and differences between District contributions and proportionate share of contributions	1,181,000	-
Contributions made subsequent to measurement date	<u>3,155,035</u>	<u>-</u>
Total	<u><u>\$ 12,497,035</u></u>	<u><u>\$ 444,000</u></u>

\$3,155,035 reported as deferred outflows of resources related to pensions resulting from contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2019. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Years Ended
June 30,

2019	\$ 2,863,083
2020	\$ 4,027,083
2021	\$ 2,722,083
2022	\$ (714,249)

Differences between expected and actual experience and changes in assumptions are amortized over a closed period equal to the average remaining service life of plan members, which is 4 years as of the June 30, 2017 measurement date. Deferred outflows and inflows related to differences between projected and actual earnings on plan investments are netted and amortized over a closed 5-year period.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 8 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B (Continued)

Actuarial Methods and Assumptions: The total pension liability for the Plan was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2016, and rolling forward the total pension liability to June 30, 2017. The financial reporting actuarial valuation as of June 30, 2015, used the following actuarial methods and assumptions, applied to all prior periods included in the measurement:

Valuation Date	June 30, 2016
Experience Study	June 30, 1997 through June 30, 2011
Actuarial Cost Method	Entry age normal
Investment Rate of Return	7.15%
Consumer Price Inflation	2.75%
Wage Growth	Varies by entry age and service
Post-retirement Benefit Increases	Contract COLA up to 2.00% until Purchasing Power Protection Allowance Floor on Purchasing Power applies 2.75% thereafter

The mortality table used was developed based on CalPERS specific data. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB. For more details on this table, please refer to the 2015 experience study report.

All other actuarial assumptions used in the June 30, 2016 valuation were based on the results of an actuarial experience study for the period from 1997 to 2011, including updates to salary increase, mortality and retirement rates. Further details of the Experience Study can be found at CalPERS’ website.

During the 2016-17 measurement period, the financial reporting discount rate for the Plan was lowered from 7.65 percent to 7.15 percent.

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation.

<u>Asset Class</u>	<u>Long-Term* Assumed Asset Allocation</u>	<u>Expected Real Rate of Return Years 1-10 (1)</u>	<u>Expected Real Rate of Return Years 11+(2)</u>
Global Equity	47%	4.90%	5.38%
Fixed Income	19	0.80	2.27
Inflation Assets	6	0.60	1.39
Private Equity	12	6.60	6.63
Real Estate	11	2.80	5.21
Infrastructure & Forestland	3	3.90	5.36
Liquidity	2	(0.40)	(0.90)

* 10-year geometric average

(1) An expected inflation rate of 2.50% used for this period

(2) An expected inflation rate of 3.00% used for this period

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 8 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B (Continued)

Discount Rate: The discount rate used to measure the total pension liability was 7.15 percent. A projection of the expected benefit payments and contributions was performed to determine if assets would run out. The test revealed the assets would not run out. Therefore the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability for the Plan. The results of the crossover testing for the Plan are presented in a detailed report that can be obtained at CalPERS’ website.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected cash flows of the Plan. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the Plan’s asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated. The expected rate of return was set by calculating the rounded single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses.

Sensitivity of the District’s Proportionate Share of the Net Pension Liability to Changes in the Discount Rate: The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.15 percent, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.15 percent) or 1-percentage-point higher (8.15 percent) than the current rate:

	1% Decrease (6.15%)	Current Discount Rate (7.15%)	1% Increase (8.15%)
District’s proportionate share of the net pension liability	<u>\$ 55,465,000</u>	<u>\$ 37,697,000</u>	<u>\$ 22,958,000</u>

Pension Plan Fiduciary Net Position: Detailed information about the pension plan’s fiduciary net position is available in the separately issued CalPERS financial report.

(Continued)

NOTE 9 - OTHER POSTEMPLOYMENT BENEFITS

General Information About the Other Postemployment Benefits Plan (OPEB)

Plan Description: In addition to the pension benefits described in Notes 7 and 8, the District provides post-employment health care benefits under a single employer defined benefit OPEB plan to eligible retirees. Benefits are provided to all classified employees that have been enrolled in the Plan for at least two open enrollment periods, who enter into CalPERS retirement, and who have over 15 years of consecutive service. Certificated employees who are currently enrolled in the Plan, complete 15 years of consecutive service, and enter the retirement system upon leaving the District are eligible to receive medical benefits (up to single rate) until they reach age 65. The plan does not issue separate financial statements.

The Plan, which is administered by the District, allows employees who retire and meet retirement eligibility requirements to continue medical coverage as a participant in the District's plan. The District's Governing Board has the authority to establish or amend the benefit terms offered by the Plan. The District's Governing Board also retains the authority to establish the requirements for paying the Plan benefits as they come due. As of June 30, 2018, the District has not accumulated assets in a qualified trust for the purpose of paying the benefits related to the District's Total OPEB Liability.

Employees Covered by Benefit Terms: The following is a table of plan participants at June 30, 2018:

	<u>Number of Participants</u>
Inactive Plan members	80
Active employees	<u>679</u>
	<u><u>759</u></u>

Benefits Provided: The benefits provided are the same as those provided for active employees. Spouses and dependents of eligible retirees are also eligible for medical coverage.

Contributions: California Government Code specifies that the District's contribution requirements for covered employees are established and may be amended by the Governing Board. Retirees participating in the group insurance plans offered by the District are required to contribute 100% of the active premiums. In future years, contributions are assumed to increase at the same rate as premiums. The District's premium rates being charged to these retirees are lower than the expected cost for a retiree population under age 65. Thus, an implicit subsidy exists as a result of this difference between the actual cost and the true retiree cost.

Contributions to the Plan from the District were \$795,274 for the year ended June 30, 2018. Employees are not required to contribute to the OPEB plan.

Total OPEB Liability

The District's total OPEB liability was measured as of June 30, 2018 and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of June 30, 2018.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 9 - OTHER POSTEMPLOYMENT BENEFITS (Continued)

Actuarial Assumptions: The total OPEB liability in the July 1, 2017 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

<u>Valuation Date</u>	July 1, 2018
<u>Fiscal Year End</u>	June 30
<u>Mortality Rate</u>	RP-2014 Employee and Healthy Annuitant Mortality Tables for Males or Females, as appropriate, projected using a generational projection based on 100% of scale MP-2016 for years 2014 through 2029, 50% of MP-2016 for years 2030 through 2049, and 20% of MP-2016 for 2050 and thereafter.
<u>Discount Rate</u>	3.60%. Based on the Bond Buyer 20-bond General Obligation Index.
<u>Assumed Investment Return</u>	Not applicable since the plan is unfunded.
<u>Retirement Rate</u>	According to Crocker-Sarason Table T-5 less mortality, increased by 40% at all ages, with a minimum of 20% per year for employees under age 40 with fewer than 5 years of service.
<u>Inflation Rate</u>	2.25% per year
<u>Salary Increases</u>	3.0% per year
<u>Medicare Coverage</u>	All current and future participating retirees will qualify for Medicare coverage and enroll in Parts A and B upon age 65.
<u>Health Care Inflation</u>	Initial rate of 8.00% in fiscal 2018, decreasing to 5.00% for 2020-21 and after.
<u>Funding Method</u>	Entry Age Cost Method (Level Percentage of Pay).

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 9 - OTHER POSTEMPLOYMENT BENEFITS (Continued)

Changes in Total OPEB Liability

	Total OPEB Liability
Balance at June 30, 2017	\$ 17,341,828
Changes for the year:	
Service cost	825,300
Interest	639,702
Changes of benefit terms	-
Differences between actual and expected experience	-
Changes in assumptions	-
Benefit payments	(795,274)
Administrative expenses	-
Net change	<u>669,728</u>
Balance at June 30, 2018	<u><u>\$ 18,011,556</u></u>

Sensitivity of the Total OPEB Liability to changes in the Discount Rate: The following presents the Total OPEB Liability of the District, as well as what the District's Total OPEB Liability would be if it were calculated using a discount rate that is one percentage-point lower or one percentage-point higher than the current discount rate:

	1% Decrease (2.6%)	Current Discount Rate (3.6%)	1% Increase (4.6%)
Total OPEB liability	<u>\$ 20,194,192</u>	<u>\$ 18,011,556</u>	<u>\$ 16,175,406</u>

Sensitivity of the Total OPEB Liability to changes in the Healthcare Cost Trend Rates: The following presents the Total OPEB Liability of the District, as well as what the District's Total OPEB Liability would be if it were calculated using healthcare cost trend rates that are one percentage-point lower or one percentage-point higher than the current healthcare cost trend rates:

	1% Decrease (7.0% - 4.0%)	Healthcare Cost Trend Rates Rate (8.0% - 5.0%)	1% Increase (9.0% - 6.0%)
Total OPEB liability	<u>\$ 17,278,873</u>	<u>\$ 18,011,556</u>	<u>\$ 18,863,806</u>

OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2018, the District recognized OPEB expense of \$1,465,002.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2018

NOTE 10 - JOINT POWERS AGREEMENT

Schools Insurance Authority: The District is a member with other school districts of a Joint Powers Authority, Schools Insurance Authority (SIA), for the operation of a common risk management and insurance program for property and liability coverage. Settled claims resulting from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There have been no significant reductions in insurance coverage in the prior year. The following is a summary of financial information for SIA at June 30, 2017 (the latest information available):

Total assets	\$	140,450,093
Total deferred outflows of resources	\$	1,580,594
Total liabilities	\$	67,894,697
Total deferred inflows of resources	\$	253,160
Total net position	\$	73,882,830
Total revenues	\$	55,147,588
Total expenses	\$	48,132,916
Change in net position	\$	7,014,672

The relationship between the District and the Joint Powers Authority is such that the Joint Powers Authority is not a component unit of the District for financial reporting purposes.

NOTE 11 - CONTINGENCIES

The District is subject to legal proceedings and claims which arise in the ordinary course of business. In the opinion of management, the amount of ultimate liability with respect to these actions will not materially affect the financial position or results of operations of the District.

The District has received federal and state funds for specific purposes that are subject to review and audit by the grantor agencies. Although such audits could result in expenditure disallowances under terms of the grants, it is management's opinion that any required reimbursements of future revenue offsets subsequently determined will not be material.

At June 30, 2018, the District had commitments for capital construction projects totaling approximately \$6 million.

REQUIRED SUPPLEMENTARY INFORMATION

NATOMAS UNIFIED SCHOOL DISTRICT
GENERAL FUND
BUDGETARY COMPARISON SCHEDULE
For the Year Ended June 30, 2018

	<u>Budget</u>			Variance
	<u>Original</u>	<u>Final</u>	<u>Actual</u>	Favorable (Unfavorable)
Revenues:				
Local Control Funding Formula (LCFF):				
State apportionment	\$ 70,482,890	\$ 71,382,890	\$ 69,667,504	\$ (1,715,386)
Local sources	<u>14,211,868</u>	<u>14,552,421</u>	<u>16,000,703</u>	<u>1,448,282</u>
Total LCFF	<u>84,694,758</u>	<u>85,935,311</u>	<u>85,668,207</u>	<u>(267,104)</u>
Federal sources	5,055,368	5,300,375	4,882,524	(417,851)
Other state sources	8,841,884	9,379,016	9,395,607	16,591
Other local sources	<u>5,359,185</u>	<u>6,021,691</u>	<u>6,310,622</u>	<u>288,931</u>
Total revenues	<u>103,951,195</u>	<u>106,636,393</u>	<u>106,256,960</u>	<u>(379,433)</u>
Expenditures:				
Current:				
Certificated salaries	45,842,112	45,764,320	45,841,842	(77,522)
Classified salaries	17,534,410	17,928,974	18,172,886	(243,912)
Employee benefits	22,021,857	21,903,271	21,758,355	144,916
Books and supplies	6,926,438	7,772,544	5,856,967	1,915,577
Contract services and operating expenditures	10,495,951	14,572,167	14,881,375	(309,208)
Other outgo	324,786	832,660	1,209,920	(377,260)
Capital outlay	<u>2,488,656</u>	<u>3,794,116</u>	<u>3,310,605</u>	<u>483,511</u>
Total expenditures	<u>105,634,210</u>	<u>112,568,052</u>	<u>111,031,950</u>	<u>1,536,102</u>
Excess of revenues over expenditures	<u>(1,683,015)</u>	<u>(5,931,659)</u>	<u>(4,774,990)</u>	<u>1,156,669</u>
Other financing sources:				
Transfers in	<u>644,650</u>	<u>656,440</u>	<u>1,247,714</u>	<u>591,274</u>
Change in fund balance	(1,038,365)	(5,275,219)	(3,527,276)	1,747,943
Fund balance, July 1, 2017	<u>24,790,343</u>	<u>24,790,343</u>	<u>24,790,343</u>	-
Fund balance, June 30, 2018	<u>\$ 23,751,978</u>	<u>\$ 19,515,124</u>	<u>\$ 21,263,067</u>	<u>\$ 1,747,943</u>

See accompanying note to required supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
CHARTER SCHOOL FUND
BUDGETARY COMPARISON SCHEDULE
For the Year Ended June 30, 2018

	<u>Budget</u>			Variance
	<u>Original</u>	<u>Final</u>	<u>Actual</u>	Favorable (Unfavorable)
Revenues:				
Local Control Funding Formula (LCFF):				
State apportionment	\$ 20,278,046	\$ 20,919,309	\$ 20,420,628	\$ (498,681)
Local sources	<u>4,477,186</u>	<u>4,635,999</u>	<u>5,103,768</u>	<u>467,769</u>
Total LCFF	<u>24,755,232</u>	<u>25,555,308</u>	<u>25,524,396</u>	<u>(30,912)</u>
Federal sources	111,750	133,176	133,176	-
Other state sources	1,654,804	2,590,765	2,661,120	70,355
Other local sources	<u>1,470,146</u>	<u>1,607,876</u>	<u>1,764,576</u>	<u>156,700</u>
Total revenues	<u>27,991,932</u>	<u>29,887,125</u>	<u>30,083,268</u>	<u>196,143</u>
Expenditures:				
Current:				
Certificated salaries	12,844,175	12,772,532	12,848,158	(75,626)
Classified salaries	2,167,589	2,335,022	2,357,381	(22,359)
Employee benefits	5,212,481	5,091,092	5,039,228	51,864
Books and supplies	2,182,477	2,747,870	1,994,608	753,262
Contract services and operating expenditures	4,229,217	4,503,958	4,079,552	424,406
Other outgo	-	-	-	-
Capital outlay	45,300	749,123	1,137,984	(388,861)
Debt service:				
Principal retirement	-	100,355	83,546	16,809
Interest	<u>-</u>	<u>-</u>	<u>16,809</u>	<u>(16,809)</u>
Total expenditures	<u>26,681,239</u>	<u>28,299,952</u>	<u>27,557,266</u>	<u>742,686</u>
Excess of revenues over expenditures	<u>1,310,693</u>	<u>1,587,173</u>	<u>2,526,002</u>	<u>938,829</u>
Other financing sources (uses):				
Transfers in	175,200	175,200	175,200	-
Transfers out	1,973,289	2,102,545	(2,102,544)	(4,205,089)
Transfer to lapsed district	-	-	(10,510,571)	(10,510,571)
Proceeds from capital lease	<u>-</u>	<u>-</u>	<u>417,729</u>	<u>417,729</u>
Total other financing sources	<u>2,148,489</u>	<u>2,277,745</u>	<u>(12,020,186)</u>	<u>(3,787,360)</u>
Change in fund balance	3,459,182	3,864,918	(9,494,184)	(2,848,531)
Fund balance, July 1, 2017	<u>28,165,493</u>	<u>28,165,493</u>	<u>28,165,493</u>	<u>-</u>
Fund balance, June 30, 2018	<u>\$ 31,624,675</u>	<u>\$ 32,030,411</u>	<u>\$ 18,671,309</u>	<u>\$ (2,848,531)</u>

See accompanying note to required supplementary information.

SCHEDULE OF CHANGES IN THE
DISTRICT'S TOTAL OTHER POST EMPLOYMENT
BENEFIT (OPEB) LIABILITY

For the Year Ended June 30, 2018

Last 10 Fiscal Years

Total OPEB liability	
Service cost	\$ 825,300
Interest	639,702
Change in assumptions	-
Benefit payments	<u>(795,274)</u>
Net change in total OPEB liability	669,728
Total OPEB liability, beginning of year	<u>17,341,828</u>
Total OPEB liability, end of year	<u>\$ 18,011,556</u>
Covered employee payroll	\$ 59,765,420
Total OPEB liability as a percentage of covered-employee payroll	30%

This is a 10 year schedule, however the information in this schedule is not required to be presented retrospectively. The amounts presented for each fiscal year were determined as of the yearend that occurred one year prior. All years prior to 2018 are not available.

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE
SHARE OF THE NET PENSION LIABILITY
For the Year Ended June 30, 2018

State Teachers' Retirement Plan
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
District's proportion of the net pension liability	0.107%	0.119%	0.117%	0.116%
District's proportionate share of the net pension liability	\$ 62,433,000	\$ 80,055,000	\$ 94,646,000	\$107,134,000
State's proportionate share of the net pension liability associated with the District	<u>37,700,000</u>	<u>42,340,000</u>	<u>53,885,000</u>	<u>63,380,000</u>
Total net pension liability	<u>\$100,133,000</u>	<u>\$122,395,000</u>	<u>\$148,531,000</u>	<u>\$170,514,000</u>
District's covered payroll	\$ 53,170,669	\$ 55,192,000	\$ 58,319,000	\$ 61,398,000
District's proportionate share of the net pension liability as a percentage of its covered payroll	117.42%	145.05%	162.29%	148.83%
Plan fiduciary net position as a percentage of the total pension liability	76.52%	74.02%	70.04%	69.46%

The amounts presented for each fiscal year were determined as of the year-end that occurred one year prior.

All years prior to 2015 are not available.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE
SHARE OF THE NET PENSION LIABILITY
For the Year Ended June 30, 2018

Public Employer's Retirement Fund B
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
District's proportion of the net pension liability	0.138%	0.152%	0.155%	0.158%
District's proportionate share of the net pension liability	\$ 15,682,000	\$ 22,346,000	\$ 30,547,000	\$ 37,697,000
District's covered payroll	\$ 14,501,000	\$ 16,784,000	\$ 18,556,000	\$ 20,134,000
District's proportionate share of the net pension liability as a percentage of its covered payroll	108.14%	133.14%	164.62%	159.73%
Plan fiduciary net position as a percentage of the total pension liability	83.38%	79.43%	73.89%	71.87%

The amounts presented for each fiscal year were determined as of the year-end that occurred one year prior.

All years prior to 2015 are not available.

See accompanying note to required supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS
For the Year Ended June 30, 2018

State Teachers' Retirement Plan
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
Contractually required contribution	\$ 4,901,009	\$ 6,257,620	\$ 8,293,425	\$ 8,315,675
Contributions in relation to the contractually required contribution	<u>(4,901,009)</u>	<u>(6,257,620)</u>	<u>(8,293,425)</u>	<u>(8,315,675)</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered payroll	\$ 55,192,000	\$ 58,319,000	\$ 61,398,000	\$ 57,628,000
Contributions as a percentage of covered payroll	8.88%	10.73%	12.58%	14.43%

All years prior to 2015 are not available.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS
For the Year Ended June 30, 2018

Public Employer's Retirement Fund B
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
Contractually required contribution	\$ 1,975,605	\$ 2,198,301	\$ 2,792,719	\$ 3,155,035
Contributions in relation to the contractually required contribution	<u>(1,975,605)</u>	<u>(2,198,301)</u>	<u>(2,792,719)</u>	<u>(3,155,035)</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered payroll	\$ 16,784,000	\$ 18,556,000	\$ 20,134,000	\$ 20,314,000
Contributions as a percentage of covered payroll	11.77%	11.85%	13.89%	15.53%

All years prior to 2015 are not available.

See accompanying note to required supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
NOTE TO REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2018

NOTE 1 - PURPOSE OF SCHEDULES

A - Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board. The budgets are revised during the year by the Board of Trustees to provide for revised priorities. Expenditures cannot legally exceed appropriations by major object code. The originally adopted and final revised budgets for the General and Charter School Funds are presented as Required Supplementary Information. The basis of budgeting is the same as GAAP.

B - Schedule of Changes in Total Other Postemployment Benefits (OPEB) Liability

The Schedule of Changes in Total OPEB liability is presented to illustrate the elements of the District's Total OPEB liability. There is a requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available. The District has not accumulated assets in a qualified trust for the purpose of paying the benefits related to the District's Total OPEB Liability.

C - Schedule of the District's Proportionate Share of the Net Pension Liability

The Schedule of the District's Proportionate Share of the Net Pension Liability is presented to illustrate the elements of the District's Net Pension Liability. There is a requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

D - Schedule of the District's Contributions

The Schedule of the District's Contributions is presented to illustrate the District's required contributions relating to the pensions. There is a requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

E - Changes of Benefit Terms

There are no changes in benefit terms reported in the Required Supplementary Information.

F - Changes of Assumptions

The discount rate for Public Employer's Retirement Fund B (PERF B) was 7.50, 7.65, 7.65, and 7.15 percent in the June 30, 2013, 2014, 2015, and 2016 actuarial reports, respectively.

The following are the assumptions for State Teachers' Retirement Plan:

<u>Assumption</u>	<u>As of June 30, 2017</u>	<u>As of June 30, 2016</u>	<u>As of June 30, 2015</u>
Consumer price inflation	2.75%	3.00%	3.00%
Investment rate of return	7.10%	7.60%	7.60%
Wage growth	3.50%	3.75%	3.75%

SUPPLEMENTARY INFORMATION

NATOMAS UNIFIED SCHOOL DISTRICT
COMBINING BALANCE SHEET
ALL NON-MAJOR FUNDS
June 30, 2018

	Adult Education Fund	Child Development Fund	Cafeteria Fund	Deferred Maintenance Fund	County School Facilities Fund	Special Reserve for Capital Outlay Fund	Total
ASSETS							
Cash in County Treasury	\$ 14,461	\$ 27,820	\$ 516,366	\$ 746	\$ 43,605	\$ 8,751	\$ 611,749
Cash in banks	-	-	2,500	-	-	-	2,500
Receivables	21,486	45,668	1,237,153	(746)	-	65	1,303,626
Due from other funds	-	674	75,001	-	-	-	75,675
Stores inventory	-	-	39,770	-	-	-	39,770
Total assets	<u>\$ 35,947</u>	<u>\$ 74,162</u>	<u>\$ 1,870,790</u>	<u>\$ -</u>	<u>\$ 43,605</u>	<u>\$ 8,816</u>	<u>\$ 2,033,320</u>
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable	\$ 4,396	\$ 9,029	\$ 81,902	\$ -	\$ 32,776	\$ -	\$ 128,103
Due to other funds	8,645	60,785	374,250	-	-	-	443,680
Unearned revenue	-	4,348	-	-	-	-	4,348
Total liabilities	<u>13,041</u>	<u>74,162</u>	<u>456,152</u>	<u>-</u>	<u>32,776</u>	<u>-</u>	<u>576,131</u>
Fund balances:							
Nonspendable	-	-	39,770	-	-	-	39,770
Restricted	<u>22,906</u>	<u>-</u>	<u>1,374,868</u>	<u>-</u>	<u>10,829</u>	<u>8,816</u>	<u>1,417,419</u>
Total fund balances	<u>22,906</u>	<u>-</u>	<u>1,414,638</u>	<u>-</u>	<u>10,829</u>	<u>8,816</u>	<u>1,457,189</u>
Total liabilities and fund balances	<u>\$ 35,947</u>	<u>\$ 74,162</u>	<u>\$ 1,870,790</u>	<u>\$ -</u>	<u>\$ 43,605</u>	<u>\$ 8,816</u>	<u>\$ 2,033,320</u>

NATOMAS UNIFIED SCHOOL DISTRICT
COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGE IN FUND BALANCES
ALL NON-MAJOR FUNDS
For the Year Ended June 30, 2018

	Adult Education Fund	Child Development Fund	Cafeteria Fund	Deferred Maintenance Fund	County School Facilities Fund	Special Reserve for Capital Outlay Fund	Total
Revenues:							
Federal sources	\$ -	\$ -	\$ 3,996,265	\$ -	-	\$ -	\$ 3,996,265
Other state sources	329,893	814,874	248,632	-	-	-	1,393,399
Other local sources	3,301	-	956,620	-	(2,033)	125	958,013
Total revenues	<u>333,194</u>	<u>814,874</u>	<u>5,201,517</u>	<u>-</u>	<u>(2,033)</u>	<u>125</u>	<u>6,347,677</u>
Expenditures:							
Current:							
Certificated salaries	156,534	265,351	10,583	-	-	-	432,468
Classified salaries	84,102	267,352	1,859,809	-	-	-	2,211,263
Employee benefits	68,809	170,631	645,795	-	-	-	885,235
Books and supplies	22,912	40,616	2,515,666	-	-	-	2,579,194
Contract services and operating expenditures	21,677	10,139	107,105	-	1,004	-	139,925
Capital outlay	-	-	-	-	1,444,116	-	1,444,116
Total expenditures	<u>354,034</u>	<u>754,089</u>	<u>5,138,958</u>	<u>-</u>	<u>1,445,120</u>	<u>-</u>	<u>7,692,201</u>
(Deficiency) excess of revenues (under) over expenditures	<u>(20,840)</u>	<u>60,785</u>	<u>62,559</u>	<u>-</u>	<u>(1,447,153)</u>	<u>125</u>	<u>(1,344,524)</u>
Other financing (uses) sources:							
Transfers in	-	-	63,111	-	1,376,726	-	1,439,837
Transfers out	(5,445)	(60,785)	(374,216)	-	-	-	(440,446)
Total other financing (uses) sources	<u>(5,445)</u>	<u>(60,785)</u>	<u>(311,105)</u>	<u>-</u>	<u>1,376,726</u>	<u>-</u>	<u>999,391</u>
Net change in fund balances	(26,285)	-	(248,546)		(70,427)	125	(345,133)
Fund balances, July 1, 2017	49,191	-	1,663,184		81,256	8,691	1,802,322
Fund balances, June 30, 2018	<u>\$ 22,906</u>	<u>\$ -</u>	<u>\$ 1,414,638</u>	<u>\$ -</u>	<u>\$ 10,829</u>	<u>\$ 8,816</u>	<u>\$ 1,457,189</u>

NATOMAS UNIFIED SCHOOL DISTRICT
COMBINING STATEMENT OF CHANGES IN ASSETS
AND LIABILITIES
ALL AGENCY FUNDS
For the Year Ended June 30, 2018

	Balance July 1, <u>2017</u>	<u>Additions</u>	<u>Deductions</u>	Balance June 30, <u>2018</u>
Student Body Funds				
<u>American Lakes Elementary</u>				
Assets:				
Cash on hand and in banks	\$ <u>4,387</u>	\$ <u>11,006</u>	\$ <u>9,609</u>	\$ <u>5,784</u>
Liabilities:				
Due to student groups	\$ <u>4,387</u>	\$ <u>11,006</u>	\$ <u>9,609</u>	\$ <u>5,784</u>
<u>Bannon Creek Elementary</u>				
Assets:				
Cash on hand and in banks	\$ <u>7,178</u>	\$ <u>2,359</u>	\$ <u>4,199</u>	\$ <u>5,338</u>
Liabilities:				
Due to student groups	\$ <u>7,178</u>	\$ <u>2,359</u>	\$ <u>4,199</u>	\$ <u>5,338</u>
<u>H. Allen Hight Elementary</u>				
Assets:				
Cash on hand and in banks	\$ <u>7,858</u>	\$ <u>34,571</u>	\$ <u>29,750</u>	\$ <u>12,679</u>
Liabilities:				
Due to student groups	\$ <u>7,858</u>	\$ <u>34,571</u>	\$ <u>29,750</u>	\$ <u>12,679</u>
<u>Heron School</u>				
Assets:				
Cash on hand and in banks	\$ <u>35,045</u>	\$ <u>157,275</u>	\$ <u>159,724</u>	\$ <u>32,596</u>
Liabilities:				
Due to student groups	\$ <u>35,045</u>	\$ <u>157,275</u>	\$ <u>159,724</u>	\$ <u>32,596</u>
<u>Jefferson Elementary</u>				
Assets:				
Cash on hand and in banks	\$ <u>10,466</u>	\$ <u>13,827</u>	\$ <u>15,158</u>	\$ <u>9,135</u>
Liabilities:				
Due to student groups	\$ <u>10,466</u>	\$ <u>13,827</u>	\$ <u>15,158</u>	\$ <u>9,135</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
COMBINING STATEMENT OF CHANGES IN ASSETS
AND LIABILITIES
ALL AGENCY FUNDS
For the Year Ended June 30, 2018

	Balance July 1, <u>2017</u>	<u>Additions</u>	<u>Deductions</u>	Balance June 30, <u>2018</u>
Student Body Funds (Continued)				
<u>Natomas Park Elementary</u>				
Assets:				
Cash on hand and in banks	\$ 14,365	\$ 45,906	\$ 51,605	\$ 8,666
Liabilities:				
Due to student groups	\$ 14,365	\$ 45,906	\$ 51,605	\$ 8,666
<u>Two Rivers Elementary</u>				
Assets:				
Cash on hand and in banks	\$ 22,136	\$ 98,903	\$ 96,699	\$ 24,340
Liabilities:				
Due to student groups	\$ 22,136	\$ 98,903	\$ 96,699	\$ 24,340
<u>Witter Ranch Elementary</u>				
Assets:				
Cash on hand and in banks	\$ 6,340	\$ 23,323	\$ 21,738	\$ 7,925
Liabilities:				
Due to student groups	\$ 6,340	\$ 23,323	\$ 21,738	\$ 7,925
<u>Natomas Middle School</u>				
Assets:				
Cash on hand and in banks	\$ 5,529	\$ 31,605	\$ 21,847	\$ 15,287
Liabilities:				
Due to student groups	\$ 5,529	\$ 31,605	\$ 21,847	\$ 15,287
<u>Natomas Gateways Middle School</u>				
Assets:				
Cash on hand and in banks	\$ 5,193	\$ 4,614	\$ 5,086	\$ 4,721
Liabilities:				
Due to student groups	\$ 5,193	\$ 4,614	\$ 5,086	\$ 4,721

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
COMBINING STATEMENT OF CHANGES IN ASSETS
AND LIABILITIES
ALL AGENCY FUNDS
For the Year Ended June 30, 2018

	Balance July 1, <u>2017</u>	<u>Additions</u>	<u>Deductions</u>	Balance June 30, <u>2018</u>
Student Body Funds (Continued)				
<u>Discovery High School</u>				
Assets:				
Cash on hand and in banks	\$ 3,962	\$ -	\$ -	\$ 3,962
Liabilities:				
Due to student groups	\$ 3,962	\$ -	\$ -	\$ 3,962
<u>Inderkum High</u>				
Assets:				
Cash on hand and in banks	\$ 139,775	\$ 599,522	\$ 683,477	\$ 55,820
Liabilities:				
Due to student groups	\$ 139,775	\$ 599,522	\$ 683,477	\$ 55,820
<u>Natomas High</u>				
Assets:				
Cash on hand and in banks	\$ 37,077	\$ 150,739	\$ 138,910	\$ 48,906
Liabilities:				
Due to student groups	\$ 37,077	\$ 150,739	\$ 138,910	\$ 48,906
<u>Leroy Greene Academy</u>				
Assets:				
Cash on hand and in banks	\$ 24,973	\$ 83,070	\$ 74,627	\$ 33,416
Liabilities:				
Due to student groups	\$ 24,973	\$ 83,070	\$ 74,627	\$ 33,416
<u>Total Agency Funds</u>				
Assets:				
Cash on hand and in banks	\$ 324,284	\$ 1,256,720	\$ 1,312,429	\$ 268,575
Liabilities:				
Due to student groups	\$ 324,284	\$ 1,256,720	\$ 1,312,429	\$ 268,575

NATOMAS UNIFIED SCHOOL DISTRICT
ORGANIZATION
June 30, 2018

Natomas Unified School District, a political subdivision of the State of California, was established in 1950 and Unified on July 1, 1993. The District is located in Sacramento County, and currently operates five K-5 elementary school, three K-6 elementary schools, one K-8 elementary school, two middle schools, six charter schools (one TK-12, one K-5, one K-8, one 6-8, one 7-12 and one 9-12), two high schools, and one continuation high school. There were no changes in the boundaries of the District during the current year.

GOVERNING BOARD

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Scott Dosick	President	2020
Susan Heredia	Vice President	2020
B. Teri Burns	Clerk	2018
Micah Grant	Member	2020
Lisa Kaplan	Member	2018

ADMINISTRATION

Superintendent
Chris Evans

Deputy Superintendent
William C. Young

Deputy Superintendent
Javetta Cleveland

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF AVERAGE DAILY ATTENDANCE
For the Year Ended June 30, 2018

	Second Period <u>Report</u>	Audited Second Period <u>Report</u>	Annual <u>Report</u>
<u>District</u>			
Certificate Numbers	6F1D796A	23357849	7533E28C
Elementary:			
Transitional Kindergarten through Third	3,211	3,216	3,219
Fourth through Sixth	2,095	2,098	2,098
Seventh and Eighth	<u>991</u>	<u>992</u>	<u>993</u>
Subtotal Elementary	<u>6,297</u>	<u>6,306</u>	<u>6,310</u>
Secondary:			
Ninth through Twelfth	<u>3,056</u>	<u>3,057</u>	<u>3,038</u>
District Total	<u><u>9,353</u></u>	<u><u>9,363</u></u>	<u><u>9,348</u></u>
<u>Natomas Pacific Pathways Prep Elementary School</u>			
Certificate Numbers	91552F8D		EF17A455
<u>Classroom-Based:</u>			
Elementary:			
Transitional Kindergarten through Third	184		184
Fourth through Sixth	<u>105</u>		<u>105</u>
Total Natomas Pacific Pathways Prep Elementary School	<u><u>289</u></u>		<u><u>289</u></u>
<u>Natomas Pacific Pathways Prep Middle School</u>			
Certificate Numbers	E3985CE9		F1D4A378
<u>Classroom-Based:</u>			
Elementary:			
Fourth through Sixth	161		160
Seventh and Eighth	<u>334</u>		<u>333</u>
Total Natomas Pacific Pathways Prep Middle School	<u><u>495</u></u>		<u><u>493</u></u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF AVERAGE DAILY ATTENDANCE
For the Year Ended June 30, 2018

	<u>Second Period Report</u>	<u>Annual Report</u>
<u>Natomas Pacific Pathways Prep High School - Classroom-Based</u>		
Certificate Numbers	2123877F	3F0DB905
Secondary:		
Ninth through Twelfth	<u>596</u>	<u>594</u>
<u>Westlake Charter School</u>		
Certificate Numbers	B26278E9	6C4B5019
<u>Classroom-Based:</u>		
Elementary:		
Transitional Kindergarten through Third	425	425
Fourth through Sixth	300	300
Seventh and Eighth	<u>164</u>	<u>165</u>
Total Westlake Charter School	<u>889</u>	<u>890</u>
<u>Leroy Greene Academy Charter School</u>		
Certificate Numbers	F1EC11AF	11990C48
<u>Classroom-Based:</u>		
Elementary:		
Fourth through Sixth	153	152
Seventh and Eighth	276	276
Secondary:		
Ninth through Twelfth	<u>320</u>	<u>319</u>
Total Leroy Greene Academy Charter School	<u>749</u>	<u>747</u>

See accompanying notes to supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF INSTRUCTIONAL TIME
For the Year Ended June 30, 2018

<u>Grade Level</u>	<u>Statutory Minutes Requirement</u>	<u>2017-18 Actual Minutes</u>	<u>Number of Days Traditional Calendar</u>	<u>Status</u>
<u>District</u>				
Kindergarten	36,000	51,240	180	In Compliance
Grade 1	50,400	54,120	180	In Compliance
Grade 2	50,400	54,120	180	In Compliance
Grade 3	50,400	54,120	180	In Compliance
Grade 4	54,000	56,640	180	In Compliance
Grade 5	54,000	56,640	180	In Compliance
Grade 6	54,000	56,640	180	In Compliance
Grade 7	54,000	64,895	180	In Compliance
Grade 8	54,000	64,895	180	In Compliance
Grade 9	64,800	65,440	180	In Compliance
Grade 10	64,800	65,440	180	In Compliance
Grade 11	64,800	65,440	180	In Compliance
Grade 12	64,800	65,440	180	In Compliance
<u>Natomas Pacific Pathways Prep Elementary School - Classroom-Based</u>				
Kindergarten	36,000	60,990	178	In Compliance
Grade 1	50,400	59,700	178	In Compliance
Grade 2	50,400	59,700	178	In Compliance
Grade 3	50,400	59,700	178	In Compliance
Grade 4	54,000	59,475	178	In Compliance
Grade 5	54,000	59,475	178	In Compliance
<u>Natomas Pacific Pathways Prep Middle School - Classroom-Based</u>				
Grade 6	54,000	63,322	178	In Compliance
Grade 7	54,000	63,322	178	In Compliance
Grade 8	54,000	63,322	178	In Compliance
<u>Natomas Pacific Pathways Prep High School - Classroom-Based</u>				
Grade 9	64,800	67,441	178	In Compliance
Grade 10	64,800	67,441	178	In Compliance
Grade 11	64,800	67,441	178	In Compliance
Grade 12	64,800	67,441	178	In Compliance

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF INSTRUCTIONAL TIME
For the Year Ended June 30, 2018

<u>Grade Level</u>	<u>Statutory Minutes Requirement</u>	<u>2017-18 Actual Minutes</u>	<u>Number of Days Traditional Calendar</u>	<u>Status</u>
<u>Westlake Charter School - Classroom-Based</u>				
Kindergarten	36,000	51,240	180	In Compliance
Grade 1	50,400	56,970	180	In Compliance
Grade 2	50,400	56,970	180	In Compliance
Grade 3	50,400	56,970	180	In Compliance
Grade 4	54,000	56,970	180	In Compliance
Grade 5	54,000	56,970	180	In Compliance
Grade 6	54,000	64,330	180	In Compliance
Grade 7	54,000	64,330	180	In Compliance
Grade 8	54,000	64,330	180	In Compliance
<u>Leroy Green Academy - Classroom- Based</u>				
Grade 7	54,000	67,551	178	In Compliance
Grade 8	54,000	67,551	178	In Compliance
Grade 9	64,800	67,551	178	In Compliance

See accompanying notes to supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF EXPENDITURE OF FEDERAL AWARDS
For the Year Ended June 30, 2018

<u>Federal Catalog Number</u>	<u>Federal Grantor/Pass-Through Grantor/Program or Cluster Title</u>	<u>Pass- Through Entity Identifying Number</u>	<u>Federal Expenditures</u>
<u>U.S. Department of Education - Passed through California Department of Education</u>			
	Special Education Cluster:		
84.027	Special Education: IDEA Mental Health Services, Part B, Sec 611	15321	\$ 123,850
84.027	Special Education: IDEA Basic and Local Assistance Entitlement, Part B, Sec 611 (Formerly 94-142)	13379	2,056,840
84.027A	Special Education: IDEA Preschool Local Entitlement, Part B, Section 611	13682	163,576
84.173	Special Education: IDEA Preschool Local Entitlement, Part B, Sec 619	13430	<u>54,181</u>
	Subtotal Special Education Cluster		<u>2,398,447</u>
	ESEA: Title III Programs:		
84.365	ESEA: Title III, Immigrant Education Program	15146	2,613
84.365	ESEA: Title III, English Learner Student Program	14346	<u>252,286</u>
	Subtotal ESEA: Title III Programs		<u>254,899</u>
84.367	ESEA: Title II, Part A, Improving Teacher Quality Local Grants	14341	236,526
84.010	ESEA: Title I, Part A, Basic Grants Low Income and Neglected	14329	1,697,407
84.196	ESEA: Education for Homeless Children and Youth	14332	71,485
84.282A	NCLB: Title V, Part B, Charter School Grants	14941	14,524
84.048	Carl D. Perkins Career and Technical Education: Secondary, Section 131 (Vocational Education)	14894	<u>72,998</u>
	Total U.S. Department of Education		<u>4,746,286</u>
<u>U.S. Department of Health and Human Services - Passed through California Department of Education</u>			
	Medicaid Cluster:		
93.778	Medi-Cal Billing Option	10013	566,357
93.778	School Based Medi-Cal Administrative Activities	10060	<u>13,123</u>
	Subtotal Medicaid Cluster		<u>579,480</u>
	Total U.S. Department of Health and Human Services		<u>579,480</u>

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF EXPENDITURE OF FEDERAL AWARDS
For the Year Ended June 30, 2018

<u>Federal Catalog Number</u>	<u>Federal Grantor/Pass-Through Grantor/Program or Cluster Title</u>	<u>Pass- Through Entity Identifying Number</u>	<u>Federal Expenditures</u>
<u>U.S. Department of Agriculture - Passed through California Department of Education</u>			
	Child Nutrition Cluster:		
10.555	Child Nutrition: School Programs	13523	\$ 3,661,177
10.559	Child Nutrition: Summer Food Service Program	13004	<u>266,535</u>
	Subtotal Child Nutrition Cluster		<u>3,927,712</u>
	Total U.S. Department of Agriculture		<u>3,927,712</u>
	Total Federal Programs		<u>\$ 9,253,478</u>

See accompanying notes to supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
RECONCILIATION OF UNAUDITED ACTUAL FINANCIAL REPORT
WITH AUDITED FINANCIAL STATEMENTS
For the Year Ended June 30, 2018

	Bond Interest and Redemption <u>Fund</u>
Unaudited Actual Financial Statements ending Fund Balances June 30, 2018	\$ 13,790,003
Adjustment to record the use of funds from issuance of debt in 2016-2017	<u>1,203,180</u>
Audited Ending Fund Balances, June 30, 2018	<u><u>\$ 14,993,183</u></u>
	Building <u>Fund</u>
Unaudited Actual Financial Statements ending Fund Balances June 30, 2018	\$ 18,951,006
Adjustment to record activity related to COPs in 2016-2017	<u>619,824</u>
Audited Ending Fund Balances, June 30, 2018	<u><u>\$ 19,570,830</u></u>

There were no audit adjustments proposed to any other funds of the District.

See accompanying notes to supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS
For the Year Ended June 30, 2018
(UNAUDITED)

	(Budget) <u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>
<u>General Fund</u>				
Revenues and other financing sources	\$ 113,932,676	\$ 107,504,674	\$ 107,061,921	\$ 102,837,287
Expenditures	<u>117,340,698</u>	<u>111,031,950</u>	<u>100,614,717</u>	<u>96,572,664</u>
Total outgo	<u>117,340,698</u>	<u>111,031,950</u>	<u>100,614,717</u>	<u>96,572,664</u>
Change in fund balance	<u>\$ (3,408,022)</u>	<u>\$ (3,527,276)</u>	<u>\$ 6,447,204</u>	<u>\$ 6,264,623</u>
Ending fund balance	<u>\$ 17,855,045</u>	<u>\$ 21,263,067</u>	<u>\$ 24,790,343</u>	<u>\$ 18,343,139</u>
Available reserves	<u>\$ 3,541,000</u>	<u>\$ 3,322,000</u>	<u>\$ 3,040,000</u>	<u>\$ 2,890,000</u>
Designated for economic uncertainties	<u>\$ 3,541,000</u>	<u>\$ 3,322,000</u>	<u>\$ 3,040,000</u>	<u>\$ 2,890,000</u>
Undesignated fund balance	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Available reserves as percentages of total outgo	<u>3.0%</u>	<u>3.0%</u>	<u>3.0%</u>	<u>3.0%</u>
<u>All Funds</u>				
Total long-term liabilities	<u>\$ 428,015,216</u>	<u>\$ 437,206,479</u>	<u>\$ 438,465,952</u>	<u>\$ 373,627,333</u>
Average daily attendance at P-2, excluding Charter School	<u>9,390</u>	<u>9,363</u>	<u>9,323</u>	<u>9,537</u>

The General Fund fund balance has increased by \$9,184,551 over the past three years. The District has incurred operating surpluses in two of the past three years, and anticipates incurring an deficit of \$3,408,022 during the 2018-2019 fiscal year. For a district this size, the State requires available reserves of at least 3% of total General Fund expenditures, transfers out, and other uses. The District has met this requirement.

Total long-term liabilities have increased by \$63,579,146 over the past two years.

Average daily attendance has decreased by 174 over the past two years. The District anticipates a increase of 27 ADA for the 2018-2019 fiscal year.

See accompanying notes to supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF CHARTER SCHOOLS
For the Year Ended June 30, 2018

<u>Charter #</u>	<u>Charter Schools Chartered by District</u>	<u>Included in District Financial Statements, or Separate Report</u>
1803	NP3 (Natomas Pacific Pathway Prep) Elementary School	Included in the Charter School Fund
1106	NP3 (Natomas Pacific Pathway Prep) Middle School	Included in the Charter School Fund
0823	NP3 (Natomas Pacific Pathway Prep) High School	Included in the Charter School Fund
0711	Westlake Charter School	Included in the Charter School Fund
1405	Leroy Greene Academy Charter School	Included in the Charter School Fund

See accompanying notes to supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF FIRST 5 REVENUES AND EXPENSES
For the Year Ended June 30, 2018

	<u>First 5/ School Readiness</u>
Revenues	
Other local sources	\$ 389,269
Expenditures:	
Current:	
Certificated salaries	130,856
Classified salaries	129,969
Employee benefits	82,798
Books and supplies	8,567
Contract services and operating expenditures	<u>37,079</u>
Total expenditures	<u>389,269</u>
Excess of revenues over expenditures	<u>-</u>
Fund balances, July 1, 2017	<u>-</u>
Fund balances, July 1, 2018	<u><u>\$ -</u></u>

See accompanying notes to supplementary information.

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION
June 30, 2018

NOTE 1 - PURPOSE OF SCHEDULES

A - Schedule of Average Daily Attendance

Average daily attendance is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of state funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

B - Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District neither met nor exceeded its target funding. This schedule presents information on the amount of instructional time offered by the District, and whether the District complied with the provisions of Education Code Sections 46201 through 46206.

C - Schedule of Expenditure of Federal Awards

The Schedule of Expenditure of Federal Awards includes the federal award activity of Natomas Unified School District, and is presented on the accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*. Expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. The District has elected not to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

The following schedule provides a reconciliation between revenues reported on the Statement of Revenues, Expenditures and Change in Fund Balances and the related expenditures reported on the Schedule of Expenditure of Federal Awards. The reconciling amounts represent Federal funds that have been recorded as revenues that have not been expended by June 30, 2018.

<u>Description</u>	<u>CFDA Number</u>	<u>Amount</u>
Total Federal revenues, Statement of Revenues, Expenditures and Change in Fund Balances		\$ 9,011,965
Add:		
Medi-Cal Billing Option expenditures in excess of revenues	93.788	392,847
Less:		
Medi-Cal Administrative Activities funding not spent	93.788	(82,781)
Child Nutrition Programs funding not spent	10.555	<u>(68,553)</u>
Total Schedule of Expenditure of Federal Awards		<u>\$ 9,253,478</u>

D - Reconciliation of Unaudited Actual Financial Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the Unaudited Actual Financial Report to the audited financial statements.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION
June 30, 2018

NOTE 1 - PURPOSE OF SCHEDULES (Continued)

E - Schedule of Financial Trends and Analysis

This schedule provides information on the District's financial condition over the past three years and its anticipated condition for the 2018-2019 fiscal year, as required by the State Controller's Office. The information on this schedule has been derived from audited information.

F - Schedule of Charter Schools

This schedule provides information for the California Department of Education to monitor financial reporting by Charter Schools.

G - Schedule of First 5 Revenues and Expenditures

This schedule provides information about the First 5 Sacramento County Program.

NOTE 2 - EARLY RETIREMENT INCENTIVE PROGRAM

Education Code Section 14502 requires certain disclosure in the financial statements of districts which adopt Early Retirement Incentive Programs pursuant to Education Code Sections 22714 and 44929. For the fiscal year ended June 30, 2018, the District did not adopt this program.

INDEPENDENT AUDITOR'S REPORT
ON COMPLIANCE WITH STATE LAWS AND REGULATIONS

Board of Trustees
Natomas Unified School District
Sacramento, California

Report on Compliance with State Laws and Regulations

We have audited Natomas Unified School District's compliance with the types of compliance requirements described in the State of California's *2017-18 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* (the "Audit Guide") applicable to the state laws and regulations listed below for the year ended June 30, 2018.

<u>Description</u>	<u>Procedures Performed</u>
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	No, see below
Continuation Education	Yes
Instructional Time	Yes
Instructional Materials	Yes
Ratio of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No, see below
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No, see below
Middle or Early College High Schools	No, see below
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Apprenticeship: Related and Supplemental Instruction	No, see below
Educator Effectiveness	Yes
California Clean Energy Jobs Act	Yes
After/Before School Education and Safety Program:	
General requirements	Yes
After school	Yes
Before school	No, see below
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Independent Study – Course Based	No, see below
Attendance, for charter schools	Yes
Mode of Instruction, for charter schools	Yes
Nonclassroom-Based Instruction/Independent Study, for charter schools	No, see below
Determination of Funding for Nonclassroom-Based Instruction, for charter schools	No, see below
Annual Instructional Minutes - Classroom-Based, for charter schools	Yes
Charter School Facility Grant Program	No, see below

(Continued)

The District's reported ADA for Independent Study was below the materiality level that requires testing; therefore, we did not perform any testing of Independent Study.

The District does not offer an Early Retirement Incentive Program; therefore, we did not perform any procedures related to this program.

The District does not have any Juvenile Court Schools, therefore, we did not perform any procedures related to Juvenile Court Schools.

The District does not have any Middle or Early College High Schools, therefore, we did not perform any procedures related to Middle or Early College High Schools.

The District did not offer Apprenticeship: Related and Supplemental Instruction, therefore we did not perform any procedures related to Apprenticeship: Related and Supplemental Instruction.

The District did not offer a Before School Education and Safety Program; therefore, we did not perform any procedures relating to the Before School Education and Safety Program.

The District did not offer an Independent Study-Course Based program; therefore, we did not perform any procedures related to this program.

The District does not have Non-Classroom Based charter schools therefore, we did not perform any procedures related to Nonclassroom-Based Instruction/Independent Study, for charter schools and Determination of Funding for Nonclassroom-Based Instruction, for charter schools.

The District did not received funding from the Charter School Facility Grant Program in fiscal year ended June 30, 2018.

Management's Responsibility

Management is responsible for compliance with the requirements of state laws and regulations, as listed above.

Auditor's Responsibility

Our responsibility is to express an opinion on Natomas Unified School District's compliance with state laws and regulations as listed above based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States; and the *2017-18 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* (Audit Guide). Those standards and the Audit Guide require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a material effect on Natomas Unified School District's compliance with the state laws and regulations listed above occurred. An audit includes examining, on a test basis, evidence about Natomas Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance with state laws and regulations. However, our audit does not provide a legal determination of Natomas Unified School District's compliance.

Opinion on Compliance with State Laws and Regulations

In our opinion Natomas Unified School District complied, in all material respects, with the compliance requirements referred to above that are applicable to the state laws and regulations referred to above for the year ended June 30, 2018.

(Continued)

Purpose of this Report

The purpose of this report on compliance is solely to describe the scope of our testing of compliance and the results of that testing based on the requirements of the State of California's *2017-18 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Crowe LLP". The script is cursive and fluid.

Crowe LLP

Sacramento, California
December 5, 2018

INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN
AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS

Board of Trustees
Natomas Unified School District
Sacramento, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Natomas Unified School District as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise Natomas Unified School District's basic financial statements, and have issued our report thereon dated December 5, 2018.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Natomas Unified School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Natomas Unified School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Natomas Unified School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

We did identify a significant deficiency in internal control that we communicated to management as described in the accompanying Schedule of Audit Findings and Questioned Costs as finding 2018-001.

(Continued)

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Natomas Unified School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Other Matter

Natomas Unified School District's responses to the findings identified in our audit are described in the accompanying schedule of Audit Findings and Questioned Costs. Natomas Unified School District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



Crowe LLP

Sacramento, California
December 5, 2018

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH REQUIREMENTS
APPLICABLE TO THE FIRST 5 SACRAMENTO COUNTY PROGRAM

Board of Trustees
Natomas Unified School District
Sacramento, California

Report on Compliance with the First 5 Sacramento County Program

We have audited the compliance of Natomas Unified School District with the types of compliance requirements described in the Program Guidelines for the First 5 Sacramento County Program that could have a direct and material effect on its First 5 Sacramento County Program for the year ended June 30, 2018.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to the First 5 Sacramento County Program.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance on Natomas Unified School District's First 5 Sacramento County Program based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance referred to above that could have a direct and material effect on First 5 Sacramento County Program. An audit includes examining, on a test basis, evidence about Natomas Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for the First 5 Sacramento County Program. However, our audit does not provide a legal determination of Natomas Unified School District's compliance with those requirements.

Opinion on the First 5 Sacramento County Program

In our opinion, Natomas Unified School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on its First 5 Sacramento County Program for the year ended June 30, 2018.



Crowe LLP

Sacramento, California
December 5, 2018

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE
FOR EACH MAJOR FEDERAL PROGRAM AND REPORT
ON INTERNAL CONTROL OVER COMPLIANCE

Board of Trustees
Natomas Unified School District
Sacramento, California

Report on Compliance for Each Major Federal Program

We have audited Natomas Unified School District's compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Natomas Unified School District's major federal programs for the year ended June 30, 2018. Natomas Unified School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Natomas Unified School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Natomas Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of Natomas Unified School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Natomas Unified School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of Natomas Unified School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Natomas Unified School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Natomas Unified School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



Crowe LLP

Sacramento, California
December 5, 2018

FINDINGS AND RECOMMENDATIONS

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2018

SECTION I - SUMMARY OF AUDITORS' RESULTS

FINANCIAL STATEMENTS

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

Material weakness(es) identified?	<u> </u> Yes	<u> X </u> No
Significant deficiency(ies) identified not considered to be material weakness(es)?	<u> X </u> Yes	<u> </u> None reported

Noncompliance material to financial statements noted?

<u> </u> Yes	<u> X </u> No
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FEDERAL AWARDS

Internal control over major programs:

Material weakness(es) identified?	<u> </u> Yes	<u> X </u> No
Significant deficiency(ies) identified not considered to be material weakness(es)?	<u> </u> Yes	<u> X </u> None reported

Type of auditor's report issued on compliance for major programs: Unmodified

Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

<u> </u> Yes	<u> X </u> No
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Identification of major programs:

CFDA Number(s)

Name of Federal Program or Cluster

10.555, 10.559

Child Nutrition Cluster

Dollar threshold used to distinguish between Type A and Type B programs:

\$	750,000
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Auditee qualified as low-risk auditee?

<u> X </u> Yes	<u> </u> No
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STATE AWARDS

Type of auditor's report issued on compliance for state programs: Unmodified

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2018

SECTION II - FINANCIAL STATEMENT FINDINGS

2018-001 SIGNIFICANT DEFICIENCY - INTERNAL CONTROL - CAPITAL ASSET ACCOUNTING (30000)

Criteria

Governmental accounting standards require that amounts should be recorded as work in process while the asset is being constructed, with the balances transferred from work in process to the appropriate depreciable asset category once construction is complete.

Condition

Since fiscal year 2013-14, work in process balances were not appropriately cleared when the assets were placed into service.

Effect

Potential misstatement of capital assets.

Cause

Established procedures have not been implemented and followed.

Fiscal Impact

Not determinable.

Recommendation

Detailed records of capital assets should be maintained and updated regularly, including a detailed analysis of items recorded as work-in-process to determine if certain assets have been placed in service at each reporting date.

View of Responsible Officials and Planned Corrective Actions

During the 2017-18 fiscal year, staff performed a detailed review of capital asset accounts. Capital assets and work in progress were reconciled and corrected to reflect actual balances. Staff will continue to maintain and update capital assets regularly.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2018

SECTION III - FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

No matters were reported.

(Continued)

NATOMAS UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2018

SECTION IV - STATE AWARD FINDINGS AND QUESTIONED COSTS

No matters were reported.

STATUS OF PRIOR YEAR
FINDINGS AND RECOMMENDATIONS

NATOMAS UNIFIED SCHOOL DISTRICT
STATUS OF PRIOR YEAR FINDINGS AND RECOMMENDATIONS
Year Ended June 30, 2018

<u>Finding/Recommendation</u>	<u>Current Status</u>	<u>District Explanation If Not Implemented</u>
2017-01	Implemented.	
<u>Condition:</u> At Inderkum High School, there is no evidence that a profit and loss statement is prepared and reviewed for the student store.		
<u>Recommendation:</u> School sites should implement the proper control procedures in order to protect ASB funds from misappropriation:		

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APPENDIX B
FORM OF CONTINUING DISCLOSURE CERTIFICATE

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APPENDIX B

CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the NATOMAS UNIFIED SCHOOL DISTRICT (the “District”) in connection with the issuance by the District of its \$60,000,000 Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2018, Series 2019 (the “Bonds”). The Bonds are being issued pursuant to a resolution adopted by the Board of Trustees of the District on June 19, 2019 (the “Bond Resolution”). The District covenants and agrees as follows:

Section 1. Definitions. In addition to the definitions set forth above and in the Indenture which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section 1, the following capitalized terms shall have the following meanings:

“*Annual Report*” means any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“*Annual Report Date*” means the date that is nine months after the end of the District’s fiscal year (currently March 31 based on the District’s fiscal year end of June 30).

“*Dissemination Agent*” shall mean, initially, Willdan Financial Services, or any successor Dissemination Agent designed in writing by the District and which has been filed with the then current Dissemination Agent a written acceptance of such designation.

“*Fiscal Year*” means any twelve-month period beginning on July 1 in any year and extending to the next succeeding June 30, both dates inclusive, or any other twelve-month period selected and designated by the District as its official fiscal year period under a Certificate of the District filed with the Trustee.

“*MSRB*” means the Municipal Securities Rulemaking Board, which has been designated by the Securities and Exchange Commission as the sole repository of disclosure information for purposes of the Rule, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

“*Official Statement*” means the final official statement executed by the District in connection with the issuance of the Bonds.

“*Participating Underwriter*” shall mean the original underwriter of the Bonds, required to comply with the Rule in connection with offering of the Bonds.

“*Rule*” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as it may be amended from time to time.

“*Significant Events*” means any of the events listed in Section 5(a) of this Disclosure Certificate.

Section 2. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the holders and beneficial owners of the Bonds and in order to assist the Participating Underwriter in complying with S.E.C. Rule 15c2-12(b)(5).

Section 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than the Annual Report Date, commencing March 31, 2020, with the report for fiscal year 2018-19 provide to the MSRB, in an electronic format as prescribed by the MSRB, an Annual Report that is consistent with the requirements of Section 4 of this Disclosure Certificate. Not later than 15 Business Days prior to the Annual Report Date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District).

If by 15 Business Days prior to the Annual Report Date the Dissemination Agent (if other than the District) has not received a copy of the Annual Report, the Dissemination Agent shall contact the District to determine if the District is in compliance with the previous sentence. The Annual Report may be submitted as a single document or as separate documents comprising a package and may include by reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report, and later than the Annual Report Date, if not available by that date. If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Significant Event under Section 5(c). The District shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by the District hereunder.

(b) If the District does not provide (or cause the Dissemination Agent to provide) an Annual Report by the Annual Report Date, the District in a timely manner shall provide (or cause the Dissemination Agent to provide) to the MSRB, in an electronic format as prescribed by the MSRB, a notice in substantially the form attached as Exhibit A.

(c) With respect to each Annual Report, the Dissemination Agent shall:

(i) determine each year prior to the Annual Report Date the then-applicable rules and electronic format prescribed by the MSRB for the filing of annual continuing disclosure reports; and

(ii) if the Dissemination Agent is other than the District, file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, and stating the date it was provided.

Section 4. Content of Annual Reports. The District's Annual Report shall contain or incorporate by reference the following:

(a) The District's audited financial statements prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the Annual Report Date, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) Unless otherwise provided in the audited financial statements filed on or prior to the annual filing deadline for Annual Reports provided for in Section 3 above, financial information and operating data with respect to the District for preceding fiscal year, substantially similar to that provided in the Official Statement, as follows:

- (i) State funding received by the District for the last completed fiscal year;
- (ii) average daily attendance of the District for the last completed fiscal year;
- (iii) summary financial information on revenues, expenditures and fund balances for the District's adopted budget for the current fiscal year;
- (iv) current fiscal year assessed valuation of taxable properties in the District; and
- (v) assessed valuation of the top ten taxpayers in the District.

(c) In addition to any of the information expressly required to be provided under this Disclosure Certificate, the District shall provide such further material information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

(d) Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which are available to the public on the MSRB's Internet web site or filed with the Securities and Exchange Commission. The District shall clearly identify each such other document so included by reference.

Section 5. Reporting of Significant Events.

(a) The District shall give, or cause to be given, notice of the occurrence of any of the following Significant Events with respect to the Bonds:

- (i) Principal and interest payment delinquencies;
- (ii) Non-payment related defaults, if material;
- (iii) Unscheduled draws on debt service reserves reflecting financial difficulties;
- (iv) Unscheduled draws on credit enhancements reflecting financial difficulties;
- (v) Substitution of credit or liquidity providers, or their failure to perform;
- (vi) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security;
- (vii) Modifications to rights of security holders, if material;
- (viii) Bond calls, if material, and tender offers;
- (ix) Defeasances;
- (x) Release, substitution, or sale of property securing repayment of the securities, if material;
- (xi) Rating changes;
- (xii) Bankruptcy, insolvency, receivership or similar event of the District or other obligated person;
- (xiii) The consummation of a merger, consolidation, or acquisition involving the District or an obligated person, or the sale of all or substantially all of the assets of the District or an obligated person (other than in the ordinary course of business), the entry into a definitive agreement to undertake such an action, or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;
- (xiv) Appointment of a successor or additional trustee or the change of name of a trustee, if material;
- (xv) The incurrence of a financial obligation of the District or other obligated person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the District or other obligated person, any of which affect security holders, if material; or
- (xvi) A default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the District or other obligated person, any of which reflect financial difficulties.

(b) Whenever the District obtains knowledge of the occurrence of a Significant Event, the District shall, or shall cause the Dissemination Agent (if not the District) to, file a notice of such occurrence with the MSRB, in an electronic format as prescribed by the MSRB, in a timely manner not in excess of 10 business days after the occurrence of the Significant Event. Notwithstanding the foregoing, notice of Significant Events described in subsection (a)(viii) above need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to holders of affected Bonds under the Indenture.

(c) The District acknowledges that the events described in subparagraphs (a)(ii), (a)(vii), (a)(viii) (if the event is a bond call), (a)(x), (a)(xiii), (a)(xiv) and (a) (xv) of this Section 5 contain the qualifier “if material.” The District shall cause a notice to be filed as set forth in paragraph (b) above with respect to any such event only to the extent that the District determines the event’s occurrence is material for purposes of U.S. federal securities law. The District intends that the words used in paragraphs (xv) and (xvi) and the definition of “financial obligation” to have the meanings ascribed thereto in SEC Release No. 34-83885 (August 20, 2018).

(d) For purposes of this Disclosure Certificate, any event described in paragraph (a)(xii) above is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

Section 6. Identifying Information for Filings with the MSRB. All documents provided to the MSRB under this Disclosure Certificate shall be accompanied by identifying information as prescribed by the MSRB.

Section 7. Termination of Reporting Obligation. The District’s obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Significant Event under Section 5(b).

Section 8. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any Dissemination Agent, with or without appointing a successor Dissemination Agent. Any Dissemination Agent may resign by providing 30 days’ written notice to the District.

Section 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(a) if the amendment or waiver relates to the provisions of Sections 3(a), 4 or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of an obligated person with respect to the Bonds, or type of business conducted;

(b) the undertakings herein, as proposed to be amended or waived, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) the proposed amendment or waiver either (i) is approved by holders of the Bonds in the manner provided in the Indenture for amendments to the Indenture with the consent of holders, or (ii) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the holders or beneficial owners of the Bonds.

If the annual financial information or operating data to be provided in the Annual Report is amended pursuant to the provisions hereof, the first annual financial information filed pursuant hereto containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

If an amendment is made to the undertaking specifying the accounting principles to be followed in preparing financial statements, the annual financial information for the year in which the change is made shall present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information, in order to provide information to investors to enable them to evaluate the ability of the District to meet its obligations. To the extent reasonably feasible, the comparison shall be quantitative.

The Dissemination Agent shall not be obligated to enter into any amendment increasing or affecting its duties or obligations hereunder.

A notice of any amendment made pursuant to this Section 9 shall be filed in the same manner as for a Significant Event under Section 5(c).

Section 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Significant Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Significant Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Significant Event.

Section 11. Default. If the District fails to comply with any provision of this Disclosure Certificate, the Participating Underwriter or any holder or beneficial owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Indenture, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

Section 12. Duties, Immunities and Liabilities of Dissemination Agent.

(a) Article VIII of the Indenture is hereby made applicable to this Disclosure Certificate as if this Disclosure Certificate were (solely for this purpose) contained in the Indenture. The Dissemination Agent shall be entitled to the protections and limitations from liability afforded to the Trustee thereunder. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which they may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The Dissemination Agent shall have no duty or obligation to review any information provided to it by the District hereunder and shall not be deemed to be acting in any fiduciary capacity for the District, the Bond holders or any other party. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

(b) The Dissemination Agent shall be paid compensation by the District for its services provided hereunder in accordance with its schedule of fees as amended from time to time, and shall be reimbursed

for all expenses, legal fees and advances made or incurred by the Dissemination Agent in the performance of its duties hereunder.

Section 13. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and the holders and beneficial owners from time to time of the Bonds and shall create no rights in any other person or entity.

Section 14. Counterparts. This Disclosure Certificate may be executed in several counterparts, each of which shall be regarded as an original, and all of which shall constitute one and the same instrument.

Date: [Closing Date]

NATOMAS UNIFIED SCHOOL DISTRICT

By _____
Authorized Officer

ACKNOWLEDGED:

WILLDAN FINANCIAL SERVICES, as
Dissemination Agent

By _____
Authorized Officer

EXHIBIT A

NOTICE TO EMMA OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: Natomas Unified School District

Name of Issue: Natomas Unified School District (Sacramento County, California) General
Obligation Bonds, Election of 2018, Series 2019

Date of Issuance: [Closing Date]

NOTICE IS HEREBY GIVEN that the Obligor has not provided an Annual Report with respect to the above-named Issue as required by the Continuing Disclosure Certificate, dated [Closing Date], furnished by the Issuer in connection with the Issue. The Issuer anticipates that the Annual Report will be filed by _____.

Dated: _____

WILLDAN FINANCIAL SERVICES, as
Dissemination Agent

By _____
Title _____

cc: Paying Agent

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APPENDIX C
FORM OF OPINION OF BOND COUNSEL

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APPENDIX C

FORM OF OPINION OF BOND COUNSEL

[Letterhead of Quint & Thimmig LLP]

[Closing Date]

Board of Trustees of the
Natomas Unified School District
1901 Arena Boulevard
Sacramento, California 95834

OPINION: \$60,000,000 Natomas Unified School District (Sacramento County, California)
General Obligation Bonds, Election of 2018, Series 2019

Members of the Board of Trustees:

We have acted as bond counsel to the Natomas Unified School District (the "District") in connection with the issuance by the District of \$60,000,000 principal amount of Natomas Unified School District (Sacramento County, California) General Obligation Bonds, Election of 2018, Series 2019 (the "Bonds"), pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 (commencing with section 53506) of the California Government Code (the "Act"), and a resolution adopted by the Board of Trustees of the District (the "Board") on June 19, 2019 (the "Resolution"). We have examined the law and such certified proceedings and other papers as we deemed necessary to render this opinion.

As to questions of fact material to our opinion, we have relied upon representations of the District contained in the Resolution and in the certified proceedings and certifications of public officials and others furnished to us, without undertaking to verify such facts by independent investigation.

Based upon our examination, we are of the opinion, as of the date hereof, that:

1. The District is duly created and validly existing as a school district with the power to issue the Bonds and to perform its obligations under the Resolution and the Bonds.

2. The Resolution has been duly adopted by the District and creates a valid first lien on the funds pledged under the Resolution for the security of the Bonds.

3. The Bonds have been duly authorized, executed and delivered by the Board and are valid and binding general obligations of the District. The Board of Supervisors of Sacramento County is required under the Act to levy a tax upon all taxable property in the District for the interest and redemption of all outstanding bonds of the District, including the Bonds. The Bonds are payable from an *ad valorem* tax levied without limitation as to rate or amount.

4. Subject to the District's compliance with certain covenants, interest on the Bonds is excludable from gross income of the owners thereof for federal income tax purposes and is not included as an item of tax preference in computing the alternative minimum tax for individuals under the Internal Revenue Code of 1986, as amended. Failure to comply with certain of such District covenants could cause interest on the Bonds to be includible in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds.

5. The interest on the Bonds is exempt from personal income taxation imposed by the State of California.

Ownership of the Bonds may result in other tax consequences to certain taxpayers, and we express no opinion regarding any such collateral consequences arising with respect to the Bonds.

The rights of the owners of the Bonds and the enforceability of the Bonds and the Resolution may be subject to the bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted and also may be subject to the exercise of judicial discretion in accordance with general principles of equity.

Our opinion represents our legal judgment based upon such review of the law and the facts that we deem relevant to render our opinion and is not a guarantee of a result. This opinion is given as of the date hereof and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

Respectfully submitted,

APPENDIX D

SACRAMENTO COUNTY ANNUAL INVESTMENT POLICY

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SACRAMENTO COUNTY

**Annual Investment Policy
of the Pooled Investment Fund**

CALENDAR YEAR 2019

*Approved by the
Sacramento County Board of Supervisors*

**December 4, 2018
Resolution No. 2018-0839**

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SACRAMENTO COUNTY

Annual Investment Policy of the Pooled Investment Fund

CALENDAR YEAR 2019

I. Authority

Under the Sacramento County Charter, the Board of Supervisors established the position of Director of Finance and by ordinance will annually review and renew the Director of Finance's authority to invest and reinvest all the funds in the County Treasury.

II. Policy Statement

This Investment Policy (Policy) establishes cash management and investment guidelines for the Director of Finance, who is responsible for the stewardship of the Sacramento County Pooled Investment Fund. Each transaction and the entire portfolio must comply with California Government Code and this Policy. All portfolio activities will be judged by the standards of the Policy and its investment objectives. Activities that violate its spirit and intent will be considered contrary to the Policy.

III. Standard of Care

The Director of Finance is the Trustee of the Pooled Investment Fund and therefore, a fiduciary subject to the prudent investor standard. The Director of Finance, employees involved in the investment process, and members of the Sacramento County Treasury Oversight Committee (Oversight Committee) shall refrain from all personal business activities that could conflict with the management of the investment program. All individuals involved will be required to report all gifts and income in accordance with California state law. When investing, reinvesting, purchasing, acquiring, exchanging, selling and managing public funds, the Director of Finance shall act with care, skill, prudence, and diligence to meet the aims of the investment objectives listed in Section IV, Investment Objectives.

IV. Investment Objectives

The Pooled Investment Fund shall be prudently invested in order to earn a reasonable return, while awaiting application for governmental purposes. The specific objectives for the Pooled Investment Fund are ranked in order of importance.

A. Safety of Principal

The preservation of principal is the primary objective. Each transaction shall seek to ensure that capital losses are avoided, whether they be from securities default or erosion of market value.

B. Liquidity

As a second objective, the Pooled Investment Fund should remain sufficiently flexible to enable the Director of Finance to meet all operating requirements that may be reasonably anticipated in any depositor's fund.

C. Public Trust

In managing the Pooled Investment Fund, the Director of Finance and the authorized investment traders should avoid any transactions that might impair public confidence in Sacramento County and the participating local agencies. Investments should be made with precision and care, considering the probable safety of the capital as well as the probable income to be derived.

D. Maximum Rate of Return

As the fourth objective, the Pooled Investment Fund should be designed to attain a market average rate of return through budgetary and economic cycles, consistent with the risk limitations, prudent investment principles and cash flow characteristics identified herein. For comparative purposes, the State of California Local Agency Investment Fund (LAIF) will be used as a performance benchmark. The Pooled Investment Fund quarterly performance benchmark target has been set at or above LAIF's yield. This benchmark was chosen because LAIF's portfolio structure is similar to the Pooled Investment Fund.

V. Pooled Investment Fund Investors

The Pooled Investment Fund investors are comprised of Sacramento County, school and community college districts, districts directed by the Board of Supervisors, and independent special districts whose treasurer is the Director of Finance. Any local agencies not included in this category are subject to California Government Code section 53684 and are referred to as outside investors.

VI. Implementation

In order to provide direction to those responsible for management of the Pooled Investment Fund, the Director of Finance has established this Policy and will provide it to the Oversight Committee and render it to legislative bodies of local agencies that participate in the Pooled Investment Fund. In accordance with California Government Code section 53646, et seq., the Board of Supervisors shall review and approve this Policy annually.

This Policy provides a detailed description of investment parameters used to implement the investment process and includes the following: investable funds; authorized instruments; prohibited investments; credit requirements; maximum maturities and concentrations; repurchase agreements; Community Reinvestment Act Program; criteria and qualifications of broker/dealers and direct issuers; investment guidelines, management style and strategy; Approved Lists; and calculation of yield and costs.

VII. Internal Controls

The Director of Finance shall establish internal controls to provide reasonable assurance that the investment objectives are met and to ensure that the assets are protected from loss, theft, or misuse. To assist in implementation and internal controls, the Director of Finance has established an Investment Group and a Review Group.

The Investment Group, which is comprised of the Director of Finance and his/her designees, is responsible for maintenance of the investment guidelines and Approved Lists. These guidelines and lists can be altered daily, if needed, to adjust to the ever-changing financial markets. The guidelines can be more conservative or match the policy language. In no case can the guidelines override the Policy.

The Review Group, which is comprised of the Director of Finance and his/her designees, is responsible for the monthly review and appraisal of all the investments purchased by the Director of Finance and staff. This review includes bond proceeds, which are invested separately from the Pooled Investment Fund and are not governed by this Policy.

The Director of Finance shall establish a process for daily, monthly, quarterly, and annual review and monitoring of the Pooled Investment Fund activity. The following articles, in order of supremacy, govern the Pooled Investment Fund:

1. California Government Code
2. Annual Investment Policy
3. Current Investment Guidelines
4. Approved Lists (see page 9, Section IX.K)

The Director of Finance shall review the daily investment activity and corresponding bank balances.

Monthly, the Review Group shall review all investment activity and its compliance to the corresponding governing articles and investment objectives.

Quarterly, the Director of Finance will provide the Oversight Committee with a copy of the Pooled Investment Fund activity and its compliance to the annual Policy and California Government Code.

Annually, the Oversight Committee shall cause an annual audit of the activities within the Pooled Investment Fund to be conducted to determine compliance to the Policy and California Government Code. This audit will include issues relating to the structure of the investment portfolio and risk.

All securities purchased, with the exception of time deposits, money market mutual funds, LAIF and Wells Fargo's overnight investment fund, shall be delivered to the independent third-party custodian selected by the Director of Finance. This includes all collateral for repurchase agreements. All trades, where applicable, will be executed by delivery versus payment by the designated third-party custodian.

VIII. Sacramento County Treasury Oversight Committee

In accordance with California Government Code section 27130 et seq., the Board of Supervisors, in consultation with the Director of Finance, has created the Sacramento County Treasury Oversight Committee (Oversight Committee). Annually, the Director of Finance shall prepare an Investment Policy that will be forwarded to and monitored by the Oversight Committee and rendered to Boards of all local agency participants. The Board of Supervisors shall review and approve the Policy during public session. Quarterly, the Director of Finance shall provide the Oversight Committee a report of all investment activities of the Pooled Investment Fund to ensure compliance to the Policy. Annually, the Oversight Committee shall cause an audit to be conducted on the Pooled Investment Fund. The meetings of the Oversight Committee shall be open to the public and subject to the Ralph M. Brown Act.

A member of the Oversight Committee may not be employed by an entity that has contributed to the campaign of a candidate for the office of local treasurer, or contributed to the campaign of a candidate to be a member of a legislative body of any local agency that has deposited funds in the county treasury, in the previous three years or during the period that the employee is a member of the Oversight Committee. A member may not directly or indirectly raise money for a candidate for local treasurer or a member of the Sacramento County Board of Supervisors or governing board of any local agency that has deposited funds in the county treasury while a member of the Oversight Committee. Finally, a member may not secure employment with, or be employed by bond underwriters, bond counsel, security brokerages or dealers, or financial services firms, with whom the treasurer is doing business during the period that the person is a member of the Oversight Committee or for one year after leaving the committee.

The Oversight Committee is not allowed to direct individual investment decisions, select individual investment advisors, brokers or dealers, or impinge on the day-to-day operations of the Department of Finance treasury and investment operations.

IX. Investment Parameters

A. Investable Funds

Total Investable Funds (TIF) for purposes of this Policy are all Pooled Investment Fund moneys that are available for investment at any one time, including the estimated bank account float. Included in TIF are funds of outside investors, if applicable, for which the Director of Finance provides investment services. Excluded from TIF are all funds held in separate portfolios.

The Cash Flow Horizon is the period in which the Pooled Investment Fund cash flow can be reasonably forecasted. This Policy establishes the Cash Flow Horizon to be one (1) year.

Once the Director of Finance has deemed that the cash flow forecast can be met, the Director of Finance may invest funds with maturities beyond one year. These securities will be referred to as the Core Portfolio.

B. Authorized Investments

Authorized investments shall match the general categories established by the California Government Code sections 53601 et seq. and 53635 et seq. Authorized investments shall include, in accordance with California Government Code section 16429.1, investments into LAIF. Authorization for specific instruments within these general categories, as well as narrower portfolio concentration and maturity limits, will be established and maintained by the Investment Group as part of the Investment Guidelines. As the California Government Code is amended, this Policy shall likewise become amended.

C. Prohibited Investments

No investments shall be authorized that have the possibility of returning a zero or negative yield if held to maturity. These shall include inverse floaters, range notes, and interest only strips derived from a pool of mortgages.

All legal investments issued by a tobacco-related company are prohibited. A tobacco-related company is defined as an entity that makes smoking products from tobacco used in cigarettes, cigars, or snuff or for smoking in pipes. The tobacco-related issuers restricted from any investment are any component companies in the Dow Jones U.S. Tobacco Index or the NYSE Arca Tobacco Index. Annually the Director of Finance and/or his designee will update the list of tobacco-related companies.

D. Credit Requirements

Except for municipal obligations and Community Reinvestment Act (CRA) bank deposits and certificates of deposit, the issuer's short-term credit ratings shall be at or above A-1 by Standard & Poor's, P-1 by Moody's, and, if available, F1 by Fitch, and the issuer's long-term credit ratings shall be at or above A by Standard & Poor's, A2 by Moody's, and, if available, A by Fitch. There are no credit requirements for Registered State Warrants. All other municipal obligations shall be at or above a short-term rating of SP-1 by Standard & Poor's, MIG1 by Moody's, and, if available, F1 by Fitch. In addition, domestic banks are limited to those with a Fitch Viability rating of a or better, without regard to modifiers. The Investment Group is granted the authority to specify approved California banks with Fitch Viability ratings of bbb+ but they must have a Support rating of 1 where appropriate. Foreign banks with domestic licensed offices must have a Sovereign rating of AAA from Standard and Poor's, Moody's, or Fitch and a Fitch Viability rating of a or better, without regard to modifiers; however, a foreign bank may have a rating of bbb+ but they must have a Support rating of 1. Domestic savings banks must be rated a or better, without regard to modifiers, or may have a rating of bbb+ but they must have a Support rating of 1.

Community Reinvestment Act Program Credit Requirements

Maximum Amount	Minimum Requirements
Up to the FDIC- or NCUSIF-insured limit for the term of the deposit	<u>Banks</u> — FDIC Insurance Coverage
	<u>Credit Unions</u> — NCUSIF Insurance Coverage <i>Credit unions are limited to a maximum deposit of the NCUSIF-insured limit since they are not rated by nationally recognized rating agencies and are not required to provide collateral on public deposits.</i>
Over the FDIC- or NCUSIF-insured limit to \$10 million	(Any 2 of 3 ratings) S&P: A-2 Moody's: P-2 Fitch: F-2 OR Through a private sector entity that assists in the placement of deposits to achieve FDIC insurance coverage of the full deposit and accrued interest. Collateral is required

Eligible banks must have Community Reinvestment Act performance ratings of “satisfactory” or “outstanding” from each financial institution’s regulatory authority. In addition, deposits greater than the federally-insured amount must be collateralized. Banks must place securities worth between 110% and 150% of the value of the deposit with the Federal Reserve Bank of San Francisco, the Home Loan Bank of San Francisco, or a trust bank.

Since credit unions do not have Community Reinvestment Act performance ratings, they must demonstrate their commitment to meeting the community reinvestment lending and charitable activities, which are also required of banks.

All commercial paper and medium-term note issues must be issued by corporations operating within the United States and having total assets in excess of one billion dollars (\$1,000,000,000).

The Investment Group may raise these credit standards as part of the Investment Guidelines and Approved Lists. Appendix A provides a Comparison and Interpretation of Credit Ratings by Standard & Poor’s, Moody’s, and Fitch.

E. Maximum Maturities

Due to the nature of the invested funds, no investment with limited market liquidity should be used. Appropriate amounts of highly-liquid investments, such as Treasury and Agency securities, should be maintained to accommodate unforeseen withdrawals.

The maximum maturity, determined as the term from the date of ownership to the date of maturity, for each investment shall be established as follows:

U.S. Treasury and Agency Obligations	5 years
Washington Supranational Obligations ¹	5 years
Municipal Notes	5 years
Registered State Warrants	5 years
Bankers Acceptances	180 days
Commercial Paper	270 days
Negotiable Certificates of Deposit	180 days
CRA Bank Deposit/Certificates of Deposit	1 year
Repurchase Agreements	1 year
Reverse Repurchase Agreements	92 days
Medium-Term Corporate Notes	180 days
Collateralized Mortgage Obligations	180 days

The Investment Group may reduce these maturity limits to a shorter term as part of the Investment Guidelines and the Approved Lists.

The ultimate maximum maturity of any investment shall be five (5) years. The dollar-weighted average maturity of all securities shall be equal to or less than three (3) years.

F. Maximum Concentrations

No more than 80% of the portfolio may be invested in issues other than United States Treasuries and Government Agencies. The maximum allowable percentage for each type of security is set forth as follows:

U.S. Treasury and Agency Obligations	100%
Municipal Notes	80%
Registered State Warrants	80%
Bankers Acceptances	40%
Commercial Paper	40%
Washington Supranational Obligations	30%
Negotiable Certificates of Deposit and CRA Bank Deposit/Certificates of Deposit	30%
Repurchase Agreements	30%
Reverse Repurchase Agreements	20%
Medium-Term Corporate Notes	30%
Money Market Mutual Funds	20%
Collateralized Mortgage Obligations	20%
Local Agency Investment Fund (LAIF)	(per State limit) ²

The Investment Group may reduce these concentrations as part of the Investment Guidelines and the Approved Lists.

¹ The International Bank for Reconstruction and Development, International Finance Corporation, and Inter-American Development Bank.

² LAIF current maximum allowed is \$65 million.

No more than 10% of the portfolio, except **Treasuries and Agencies**, may be invested in securities of a single issuer including its related entities.

Where a percentage limitation is established above, for the purpose of determining investment compliance, that maximum percentage will be applied on the date of purchase.

G. Repurchase Agreements

Under California Government Code section 53601, paragraph (j) and section 53635, the Director of Finance may enter into Repurchase Agreements and Reverse Repurchase Agreements. The maximum maturity of a Repurchase Agreement shall be one year. The maximum maturity of a reverse repurchase agreement shall be 92 days, and the proceeds of a reverse repurchase agreement may not be invested beyond the expiration of the agreement. The reverse repurchase agreement must be "matched to maturity" and meet all other requirements in the code.

All repurchase agreements must have an executed Sacramento County Master Repurchase Agreement on file with both the Director of Finance and the Broker/Dealer. Repurchase Agreements executed with approved broker-dealers must be collateralized with either: (1) U.S. Treasuries or Agencies with a market value of 102% for collateral marked to market daily; or (2) money market instruments which are on the Approved Lists of the County and which meet the qualifications of the Policy, with a market value of 102%. Since the market value of the underlying securities is subject to daily market fluctuations, investments in repurchase agreements shall be in compliance if the value of the underlying securities is brought back up to 102% no later than the next business day. Use of mortgage-backed securities for collateral is not permitted. Strictly for purposes of investing the daily excess bank balance, the collateral provided by the Sacramento County's depository bank can be Treasuries or Agencies valued at 110%, or mortgage-backed securities valued at 150%.

H. Community Reinvestment Act Program

The Director of Finance has allocated within the Pooled Investment Fund, a maximum of \$90 million for the Community Reinvestment Act Program to encourage community investment by financial institutions, which includes community banks and credit unions, and to acknowledge and reward local financial institutions which support the community's financial needs. The Director of Finance may increase this amount, as appropriate, while staying within the investment policy objectives and maximum maturity and concentration limits. The eligible banks and savings banks must have Community Reinvestment Act performance ratings of "satisfactory" or "outstanding" from each financial institution's regulatory authority. The minimum credit requirements are located on page 5 of Section IX.D.

I. Criteria and Qualifications of Brokers/Dealers and Direct Issuers

All transactions initiated on behalf of the Pooled Investment Fund and Sacramento County shall be executed through either government security dealers reporting as primary dealers to the Market Reports Division of the Federal Reserve Bank of New York or direct issuers that directly issue their own securities which have been placed on the Approved List of

brokers/dealers and direct issuers. Further, these firms must have an investment grade rating from at least two national rating services, if available.

Brokers/Dealers and direct issuers which have exceeded the political contribution limits, as contained in Rule G-37 of the Municipal Securities Rulemaking Board, within the preceding four-year period to the Director of Finance, any member of the Board of Supervisors, or any candidate for the Board of Supervisors, are prohibited from the Approved List of brokers/dealers and direct issuers.

Each broker/dealer and direct issuer will be sent a copy of this Policy and a list of those persons authorized to execute investment transactions. Each firm must acknowledge receipt of such materials to qualify for the Approved List of brokers/dealers and direct issuers.

Each broker/dealer and direct issuer authorized to do business with Sacramento County shall, at least annually, supply the Director of Finance with audited financial statements.

J. Investment Guidelines, Management Style and Strategy

The Investment Group, named by the Director of Finance, shall issue and maintain Investment Guidelines specifying authorized investments, credit requirements, permitted transactions, and issue maturity and concentration limits which are consistent with this Policy.

The Investment Group shall also issue a statement describing the investment management style and current strategy for the entire investment program. The management style and strategy can be changed to accommodate shifts in the financial markets, but at all times they must be consistent with this Policy and its objectives.

K. Approved Lists

The Investment Group, named by the Director of Finance, shall issue and maintain various Approved Lists. These lists are:

1. Approved Domestic Banks for all legal investments.
2. Approved Foreign Banks for all legal investments.
3. Approved Commercial Paper and Medium Term Note Issuers.
4. Approved Money Market Mutual Funds.
5. Approved Firms for Purchase or Sale of Securities (Brokers/Dealers and Direct Issuers).
6. Approved Banks / Credit Unions for the Community Reinvestment Act Program.

L. Calculation of Yield and Costs

The costs of managing the investment portfolio, including but not limited to: investment management; accounting for the investment activity; custody of the assets; managing and accounting for the banking; receiving and remitting deposits; oversight controls; and indirect and overhead expenses are charged to the investment earnings based upon actual labor hours worked in respective areas. Costs of these respective areas are accumulated by specific cost

accounting projects and charged to the Pooled Investment Fund on a quarterly basis throughout the fiscal year.

The Department of Finance will allocate the net interest earnings of the Pooled Investment Fund quarterly. The net interest earnings are allocated based upon the average daily cash balance of each Pooled Investment Fund participant.

X. Reviewing, Monitoring and Reporting of the Portfolio

The Review Group will prepare and present to the Director of Finance at least monthly a comprehensive review and evaluation of the transactions, positions, performance of the Pooled Investment Fund and compliance to the California Government Code, Policy, and Investment Guidelines.

Quarterly, the Director of Finance will provide to the Oversight Committee and to any local agency participant that requests a copy, a detailed report on the Pooled Investment Fund. Pursuant to California Government Code section 53646, the report will list the type of investments, name of issuer, maturity date, par and dollar amount of the investment. For the total Pooled Investment Fund, the report will list average maturity, the market value, and the pricing source. Additionally, the report will show any funds under the management of contracting parties, a statement of compliance to the Policy and a statement of the Pooled Investment Fund's ability to meet the expected expenditure requirements for the next six months.

Each quarter, the Director of Finance shall provide to the Board of Supervisors and interested parties a comprehensive report on the Pooled Investment Fund.

Annually, the Director of Finance shall provide to the Oversight Committee the Investment Policy. Additionally, the Director of Finance will render a copy of the Investment Policy to the legislative body of the local agencies that participate in the Pooled Investment Fund.

XI. Withdrawal Requests for Pooled Fund Investors

The Director of Finance will honor all requests to withdraw funds for normal cash flow purposes that are approved by the Director of Finance at a one dollar net asset value. Any requests to withdraw funds for purposes other than immediate cash flow needs, such as for external investing, are subject to the consent of the Director of Finance. In accordance with California Government Code Sections 27133(h) and 27136, such requests for withdrawals must first be made in writing to the Director of Finance. When evaluating a request to withdraw funds, the Director of Finance will take into account the effect of a withdrawal on the stability and predictability of the Pooled Investment Fund and the interests of other depositors. Any withdrawal for such purposes will be at the market value of the Pooled Investment Fund on the date of the withdrawal.

XII. Limits on Honoraria, Gifts, and Gratuities

In accordance with California Government Code Section 27133(d), this Policy establishes limits for the Director of Finance; individuals responsible for management of the portfolios; and members of the Investment Group and Review Group who direct individual investment decisions, select individual investment advisors and broker/dealers, and conduct day-to-day investment

trading activity. The limits also apply to members of the Oversight Committee. Any individual who receives an aggregate total of gifts, honoraria and gratuities in excess of \$50 in a calendar year from a broker/dealer, bank or service provider to the Pooled Investment Fund must report the gifts, dates and firms to the designated filing official and complete the appropriate State forms.

No individual may receive aggregate gifts, honoraria, and gratuities from any single source in a calendar year in excess of the amount specified in Section 18940.2(a) of Title 2, Division 6 of the California Code of Regulations. This limitation was \$470 for the period January 1, 2017, to December 31, 2018, and is adjusted for inflation every odd-numbered year. Any violation must be reported to the State Fair Political Practices Commission.

XIII. Terms and Conditions for Outside Investors

Outside investors may invest in the Pooled Investment Fund through California Government Code Section 53684. Their deposits are subject to the consent of the Director of Finance. The legislative body of the local agency must approve the Sacramento County Pooled Investment Fund as an authorized investment and execute a Memorandum of Understanding. Any withdrawal of these deposits must be made in writing 30 days in advance and will be paid based upon the market value of the Pooled Investment Fund. If the Director of Finance considers it appropriate, the deposits may be returned at any time to the local agency.

Appendix A

Comparison and Interpretation of Credit Ratings

Long Term Debt & Individual Bank Ratings				
Rating Interpretation	Moody's	S&P	Fitch	Fitch Viability Rating
<i>Best-quality grade</i>	Aaa	AAA	AAA	aaa
<i>High-quality grade</i>	Aa1	AA+	AA+	aa+
	Aa2	AA	AA	aa
	Aa3	AA-	AA-	aa-
<i>Upper Medium Grade</i>	A1	A+	A+	a+
	A2	A	A	a
	A3	A-	A-	a-
<i>Medium Grade</i>	Baa1	BBB+	BBB+	bbb+
	Baa2	BBB	BBB	bbb
	Baa3	BBB-	BBB-	bbb-
<i>Speculative Grade</i>	Ba1	BB+	BB+	bb+
	Ba2	BB	BB	bb
	Ba3	BB-	BB-	bb-
<i>Low Grade</i>	B1	B+	B+	b+
	B2	B	B	b
	B3	B-	B-	b-
<i>Poor Grade to Default</i>	Caa	CCC+	CCC	ccc
<i>In Poor Standing</i>	-	CCC	-	
	-	CCC-	-	
<i>Highly Speculative Default</i>	Ca	CC	CC	cc
	C	-	-	c
<i>Default</i>	-	-	DDD	f
	-	-	DD	f
	-	D	D	f

Short Term / Municipal Note Investment Grade Ratings			
Rating Interpretation	Moody's	S&P	Fitch
<i>Superior Capacity</i>	MIG-1	SP-1+/SP-1	F1+/F1
<i>Strong Capacity</i>	MIG-2	SP-2	F2
<i>Acceptable Capacity</i>	MIG-3	SP-3	F3

Appendix A

Short Term / Commercial Paper Investment Grade Ratings

Rating Interpretation	Moody's	S&P	Fitch
<i>Superior Capacity</i>	P-1	A-1+/A-1	F1+/F1
<i>Strong Capacity</i>	P-2	A-2	F2
<i>Acceptable Capacity</i>	P-3	A-3	F3

Fitch Support Ratings

Rating	Interpretation
1	A bank for which there is an extremely high probability of external support. The potential provider of support is very highly rated in its own right and has a very high propensity to support the bank in question. This probability of support indicates a minimum Long-Term Rating floor of 'A-'.
2	A bank for which there is a high probability of external support. The potential provider of support is highly rated in its own right and has a high propensity to provide support to the bank in question. This probability of support indicates a minimum Long-Term Rating floor of 'BBB-'.
3	A bank for which there is a moderate probability of support because of uncertainties about the ability or propensity of the potential provider of support to do so. This probability of support indicates a minimum Long-Term Rating floor of 'BB-'.
4	A bank for which there is a limited probability of support because of significant uncertainties about the ability or propensity of any possible provider of support to do so. This probability of support indicates a minimum Long-Term Rating floor of 'B'.
5	A bank for which external support, although possible, cannot be relied upon. This may be due to a lack of propensity to provide support or to very weak financial ability to do so. This probability of support indicates a Long-Term Rating floor no higher than 'B-' and in many cases no floor at all.

Appendix A

Fitch Sovereign Risk Ratings	
Rating	Interpretation
AAA	Highest credit quality. 'AAA' ratings denote the lowest expectation of default risk. They are assigned only in cases of exceptionally strong capacity for payment of financial commitments. This capacity is highly unlikely to be adversely affected by foreseeable events.
AA	Very high credit quality. 'AA' ratings denote expectations of very low default risk. They indicate very strong capacity for payment of financial commitments. This capacity is not significantly vulnerable to foreseeable events.
A	High credit quality. 'A' ratings denote expectations of low default risk. The capacity for payment of financial commitments is considered strong. This capacity may, nevertheless, be more vulnerable to adverse business or economic conditions than is the case for higher ratings.
BBB	Good credit quality. 'BBB' ratings indicate that expectations of default risk are currently low. The capacity for timely payment of financial commitments is considered adequate but adverse business or economic conditions are more likely to impair this capacity.
BB	Speculative. 'BB' ratings indicate an elevated vulnerability to default risk, particularly in the event of adverse changes in business or economic conditions over time.
B	Highly speculative. 'B' ratings indicate that material default risk is present, but a limited margin of safety remains. Financial commitments are currently being met; however, capacity for continued payment is vulnerable to deterioration in the business and economic environment.
CCC	High default risk. Default is a real possibility.
CC	Very high levels of credit risk. Default of some kind appears probable.
C	Exceptionally high levels of credit risk. Default appears imminent or inevitable.
D	Default. Indicates a default. Default generally is defined as one of the following: • Failure to make payment of principal and/or interest under the contractual terms of the rated obligation; • The bankruptcy filings, administration, receivership, liquidation or other winding-up or cessation of the business of an issuer/obligor; or • The coercive exchange of an obligation, where creditors were offered securities with diminished structural or economic terms compared with the existing obligation.

APPENDIX E

DTC BOOK-ENTRY ONLY SYSTEM

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The following information concerning The Depository Trust Company, New York, New York (“DTC”) and DTC’s book-entry-only system has been provided by DTC for use in securities disclosure documents. The District takes no responsibility for the accuracy or completeness thereof. There can be no assurance that DTC will abide by its procedures or that such procedures will not be changed from time to time.

The following description includes the procedures and record-keeping with respect to beneficial ownership interests in the Bonds payment of principal and interest, other payments with respect to the Bonds to Direct Participants or Beneficial Owners, confirmation and transfer of beneficial ownership interests in such Bonds, notices to beneficial owners and other related transactions by and between DTC, the Participants, and the Beneficial Owners. However, DTC, the Participants, and the Beneficial Owners should not rely on the following information with respect to such matters, but should instead confirm the same with DTC or the Direct Participants, as the case may be.

The Depository Trust Company, New York, New York (“DTC”) will act as securities depository for the securities (in this Appendix, the “Bonds”). The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond will be issued for each maturity of the Bonds, in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each Bond (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive Bonds representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC’s records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial

Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or the Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bonds are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

APPENDIX F

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER:

Policy No: -N

BONDS: \$ in aggregate principal amount of

Effective Date:

Premium: \$

ASSURED GUARANTY MUNICIPAL CORP. ("AGM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") (as set forth in the documentation providing for the issuance of and securing the Bonds) for the Bonds, for the benefit of the Owners or, at the election of AGM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the Business Day next following the Business Day on which AGM shall have received Notice of Nonpayment, AGM will disburse to or for the benefit of each Owner of a Bond the face amount of principal of and interest on the Bond that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by AGM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of the principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in AGM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by AGM is incomplete, it shall be deemed not to have been received by AGM for purposes of the preceding sentence and AGM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, who may submit an amended Notice of Nonpayment. Upon disbursement in respect of a Bond, AGM shall become the owner of the Bond, any appurtenant coupon to the Bond or right to receipt of payment of principal of or interest on the Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under the Bond, to the extent of any payment by AGM hereunder. Payment by AGM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of AGM under this Policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity unless AGM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment of principal or interest that is Due for Payment made to an Owner by or on behalf of the Issuer which has been recovered from such Owner pursuant to the

United States Bankruptcy Code by a trustee in bankruptcy in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means telephonic or telecopied notice, subsequently confirmed in a signed writing, or written notice by registered or certified mail, from an Owner, the Trustee or the Paying Agent to AGM which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount and (d) the date such claimed amount became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

AGM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to AGM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to AGM and shall not be deemed received until received by both and (b) all payments required to be made by AGM under this Policy may be made directly by AGM or by the Insurer's Fiscal Agent on behalf of AGM. The Insurer's Fiscal Agent is the agent of AGM only and the Insurer's Fiscal Agent shall in no event be liable to any Owner for any act of the Insurer's Fiscal Agent or any failure of AGM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, AGM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to AGM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy.

This Policy sets forth in full the undertaking of AGM, and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, (a) any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity and (b) this Policy may not be canceled or revoked. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW.

In witness whereof, ASSURED GUARANTY MUNICIPAL CORP. has caused this Policy to be executed on its behalf by its Authorized Officer.

ASSURED GUARANTY MUNICIPAL CORP.

By _____
Authorized Officer

A subsidiary of Assured Guaranty Municipal Holdings Inc.
1633 Broadway, New York, N.Y. 10019
(212) 974-0100